

860 Transfers and Servicing

860 Transfers and Servicing

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

860-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Affiliate	Amended	Maintenance Update 2018-12 	09/10/2018
	Bankruptcy-Remote Entity	Added	Accounting Standards Update No. 2009-16	12/23/2009
	Beneficial Interests	Amended	Accounting Standards Update No. 2009-16	12/23/2009
	Cleanup Call Option	Amended	Accounting Standards Update No. 2009-16	12/23/2009
	Consolidated Affiliate	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
	Consolidated Affiliate of the Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
	Continuing Involvement	Amended	Accounting Standards Update No. 2009-16	12/23/2009
	Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
	Derivative Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024
	Derivative Financial Instrument	Amended	Maintenance Update 2014-20 	09/29/2014
	Derivative Financial Instrument	Added	Accounting Standards Update No. 2009-16	12/23/2009
	Derivative Financial Instrument	Added	Maintenance Update 2014-20 	09/29/2014

Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Direct Financing Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024
In Substance Nonfinancial Asset	Added	Accounting Standards Update No. 2017-05	02/22/2017
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Payments	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Receivable	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessee	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessor	Added	Accounting Standards Update No. 2016-02	02/25/2016
Loan Origination Fees	Added	Accounting Standards Update No. 2009-16	12/23/2009
Not-for-Profit Entity	Added	Accounting Standards Update No. 2014-11	06/12/2014
Participating Interest	Added	Accounting Standards Update No. 2009-16	12/23/2009
Public Business Entity	Amended	Maintenance Update 2017-06 	04/07/2017
Public Business Entity	Amended	Maintenance Update 2016-11 	06/27/2016
Public Business Entity	Added	Accounting Standards Update No. 2014-11	06/12/2014
Qualifying Special-Purpose Entity	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Remote	Added	Accounting Standards Update No. 2009-16	12/23/2009
Repurchase Agreement	Amended	Accounting Standards Update No. 2014-11	06/12/2014
Repurchase-to-Maturity Transaction	Added	Accounting Standards Update No. 2014-11	06/12/2014
Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Sales-Type Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Set-off Right	Added	Accounting Standards Update No. 2009-16	12/23/2009
Standard Representations and Warranties	Added	Accounting Standards Update No. 2009-16	12/23/2009
Transferee	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferred Financial Assets	Amended	Accounting Standards Update No. 2014-06	03/14/2014

Transferred Financial Assets	Added	Accounting Standards Update No. 2009-16	12/23/2009
Underlying Asset	Added	Accounting Standards Update No. 2016-02	02/25/2016
Undivided Interest	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Unguaranteed Residual Asset	Added	Accounting Standards Update No. 2016-02	02/25/2016
860-10-05-2	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-5	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-8	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-9	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-10	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-14	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-15	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-21	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-05-21A	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-05-21B	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-10-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-10-2	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-15-4	Amended	Accounting Standards Update No. 2017-05	02/22/2017
860-10-15-4	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-10-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
860-10-30-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-35-1 through 35-12	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-1	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-2	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-3	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-4A	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-4A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-4B	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-4B	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-4C through 40-4E	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-5	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-5	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-5A	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-6	Amended	Maintenance Update 2021-09 	08/20/2021
860-10-40-6	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-6A	Added	Accounting Standards Update No. 2009-16	12/23/2009

860-10-40-7 through 40-16	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-16A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-17 through 40-19	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-20	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-21	Amended	Accounting Standards Update No. 2015-10	06/12/2015
860-10-40-21	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-22	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-22A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-23 through 40-28	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-24	Amended	Maintenance Update 2014-20 	09/29/2014
860-10-40-24	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-24	Amended	Accounting Standards Update No. 2011-03	04/29/2011
860-10-40-24A	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-25	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-40-26	Superseded	Accounting Standards Update No. 2011-03	04/29/2011
860-10-40-27	Superseded	Accounting Standards Update No. 2011-03	04/29/2011
860-10-40-28A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-29	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-30 through 40-32	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-33	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-34 through 40-41	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-40-42 through 40-47	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-50-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-50-2	Amended	Accounting Standards Update No. 2015-10	06/12/2015
860-10-50-2 through 50-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-50-4A	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-10-50-4A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-50-5 through 50-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-50-7	Amended	Accounting Standards Update No. 2015-10	06/12/2015
860-10-55-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-3	Amended	Accounting Standards Update No. 2025-12	12/17/2025
860-10-55-3	Amended	Accounting Standards Update No. 2017-05	02/22/2017
860-10-55-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
860-10-55-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-5	Amended	Accounting Standards Update No. 2025-12	12/17/2025
860-10-55-5	Amended	Accounting Standards Update No. 2016-02	02/25/2016

860-10-55-6	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-10-55-6	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-13	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-14	Amended	Accounting Standards Update No. 2015-10	06/12/2015
860-10-55-14A	Added	Accounting Standards Update No. 2025-12	12/17/2025
860-10-55-15	Amended	Accounting Standards Update No. 2024-02	03/29/2024
860-10-55-16	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-17A through 55-17C	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-17D through 55-17N	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-18	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-18A through 55-18C	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-19 through 55-24	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-22	Amended	Maintenance Update 2018-02 	02/02/2018
860-10-55-24A	Amended	Maintenance Update 2017-06 	04/07/2017
860-10-55-24B	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-25	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-25A	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-26 through 55-35	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-34	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-34	Amended	Accounting Standards Update No. 2011-03	04/29/2011
860-10-55-35	Amended	Accounting Standards Update No. 2011-03	04/29/2011
860-10-55-36 through 55-38	Superseded	Accounting Standards Update No. 2011-03	04/29/2011
860-10-55-38	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-39	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-40	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-41	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-42	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-42A through 55-42D	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-42B	Amended	Accounting Standards Update No. 2025-12	12/17/2025
860-10-55-43 through 55-46	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-48 through 55-50	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-48	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-50	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-51	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-51	Amended	Accounting Standards Update No. 2009-16	12/23/2009

860-10-55-51A	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-51B	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-52	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-53	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-53	Amended	Accounting Standards Update No. 2011-03	04/29/2011
860-10-55-54	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-54	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-55	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-55	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-55	Amended	Accounting Standards Update No. 2011-03	04/29/2011
860-10-55-55A	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-56A	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-56B	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-10-55-57 through 55-59	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-61	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-62 through 55-64	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-66	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-67	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-68	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-68A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-69	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-70	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-72	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-74	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-75 through 55-79B	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-10-55-77	Amended	Accounting Standards Update No. 2016-01	01/05/2016
860-10-65-3	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-10-65-4	Added	Accounting Standards Update No. 2011-03	04/29/2011
860-10-65-5	Added	Accounting Standards Update No. 2014-11	06/12/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

860-10-05-1 The Transfers and Servicing Topic establishes accounting and reporting standards for [transfers](#) and servicing of [financial assets](#). It also establishes the accounting for transfers of servicing rights.

860-10-05-2 The Transfers and Servicing Topic includes the following four Subtopics:

- a. Overall
- b. Sales of Financial Assets
- c. Secured Borrowings and Collateral
- d. [Subparagraph superseded by Accounting Standards Update No. 2009-16](#).
- e. Servicing Assets and Liabilities.

> Transfers of Financial Assets

860-10-05-3 This Subtopic, together with the other Subtopics within this Topic, provides accounting and reporting standards for transfers and servicing of financial assets. It also addresses transfers of servicing rights.

860-10-05-4 Accounting for transfers in which the [transferor](#) has no [continuing involvement](#) with the [transferred financial assets](#) or with the [transferee](#) has not been controversial. However, transfers of financial assets often occur in which the transferor has some continuing involvement either with the assets transferred or with the transferee. Examples of continuing involvement with the transferred financial assets include, but are not limited to, any of the following:

- a. Servicing arrangements
- aa. [Recourse](#) arrangements
- aaa. Guarantee arrangements
- b. [Subparagraph superseded by Accounting Standards Update No. 2009-16](#).
- c. Agreements to purchase or redeem transferred financial assets
- d. Options written or held
- dd. [Derivative financial instruments](#) that are entered into contemporaneously with, or in contemplation of, the transfer
- ddd. Arrangements to provide financial support
- e. Pledges of [collateral](#)
- f. The transferor's [beneficial interests](#) in the transferred financial assets.

Transfers of financial assets with continuing involvement raise issues about the circumstances under which the transfers should be considered as sales of all or part of the assets or as secured borrowings and about how transferors and transferees should account for sales and secured borrowings. This Topic establishes standards for resolving those issues.

860-10-05-5 Sales and other transfers may result in a disaggregation of financial assets and liabilities into components, which become separate assets and liabilities. This Subtopic provides guidance on accounting for such transfers and provides consistent standards for distinguishing transfers of financial assets that are sales from transfers that are secured borrowings.

> Types of Transfers

- 860-10-05-6** Transfers of financial assets take many forms. This guidance provides an overview of the following types of transfers discussed in this Topic:
- a. [Securitizations](#)
 - b. Factoring
 - c. Transfers of receivables with recourse
 - d. Securities lending transactions
 - e. [Repurchase agreements](#)
 - f. [Loan participations](#)
 - g. Banker's acceptances.

· > **Securitizations**

- 860-10-05-7** An originator of a typical securitization (the transferor) transfers a portfolio of financial assets to a securitization entity, commonly a trust. Financial assets such as mortgage loans, automobile loans, trade receivables, credit card receivables, and other revolving charge accounts are financial assets commonly transferred in securitizations. Securitizations of mortgage loans may include pools of single-family residential mortgages or other types of real estate mortgage loans, for example, multifamily residential mortgages and commercial property mortgages. Securitizations of loans secured by chattel mortgages on automotive vehicles as well as other equipment (including direct financing or sales-type leases) also are common.
- 860-10-05-8** Beneficial interests in the securitization entity are sold to investors and the proceeds are used to pay the transferor for the transferred financial assets. Those beneficial interests may comprise either a single class having equity characteristics or multiple classes of interests, some having debt characteristics and others having equity characteristics. The cash collected from the portfolio is distributed to the investors and others as specified by the legal documents that established the entity.
- 860-10-05-9** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)
- 860-10-05-10** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)
- 860-10-05-11** Securitizations of credit card and other receivable portfolios usually involve a specified reinvestment period (usually 18 to 36 months), during which the trust will purchase additional credit card receivables generated by the selected accounts. After the reinvestment period, a period of liquidation occurs during which the investors receive an allocated portion of principal payments relating to receivables in the trust. The [liquidation method](#) may vary depending on the terms of the agreement and may be a participation method (payout allocation rate may be fixed, preset, or variable) or a [controlled amortization method](#) (payout based on a predetermined schedule). Specific methods are as follows:
- a. [Fixed participation method](#)
 - b. [Floating participation method](#)
 - c. [Preset participation method.](#)
- 860-10-05-12** Credit card securitizations (and other types of securitizations) may include a removal-of-accounts provision that permits the [seller](#), under certain conditions and with trustee approval, to withdraw receivables from the pool of securitized receivables.
- 860-10-05-13** Many securitization structures provide for a disproportionate distribution of cash flows to various classes of investors during the amortization period, which is referred to as a turbo provision. For example, a turbo provision might require the first \$100 million of cash received during the amortization period of the securitization structure to be paid to one class of investors before any cash is available for repayment to other investors. Similarly, certain revolving-period securitizations use what

is referred to as a bullet provision as a method of distributing cash to their investors. Under a bullet provision, during a specified period preceding liquidating distributions to investors, cash proceeds from the underlying assets are reinvested in short-term investments other than the underlying revolving-period receivables. Those investments mature or are otherwise liquidated to make a single bullet payment to certain classes of investors.

· > Factoring

860-10-05-14 Factoring arrangements are a means of discounting accounts receivable on a nonrecourse, notification basis. Accounts receivable in their entirety are sold outright, usually to a transferee (the factor) that assumes the full risk of collection, without recourse to the transferor in the event of a loss. Debtors are directed to send payments to the transferee.

· > Transfers of Receivables with Recourse

860-10-05-15 In a transfer of an entire receivable, a group of entire receivables, or a portion of an entire receivable with recourse, the transferor provides the transferee with full or limited recourse. The transferor is obligated under the terms of the recourse provision to make payments to the transferee or to repurchase receivables sold under certain circumstances, typically for defaults up to a specified percentage.

· > Securities Lending Transactions

860-10-05-16 Securities lending transactions are initiated by broker-dealers and other financial institutions that need specific securities to cover a short sale or a customer's failure to deliver securities sold. Securities custodians or other [agents](#) commonly carry out securities lending activities on behalf of clients.

860-10-05-17 Transferees (borrowers) of securities generally are required to provide collateral to the transferor (lender) of securities, commonly cash but sometimes other securities or standby letters of credit, with a value slightly higher than that of the securities borrowed. If the collateral is cash, the transferor typically earns a return by investing that cash at rates higher than the rate paid or rebated to the transferee. If the collateral is other than cash, the transferor typically receives a fee.

860-10-05-18 Because of the protection of collateral (typically valued daily and adjusted frequently for changes in the market price of the securities transferred) and the short terms of the transactions, most securities lending transactions in themselves do not impose significant credit risks on either party. Other risks arise from what the parties to the transaction do with the assets they receive. For example, investments made with cash collateral impose market and credit risks on the transferor.

· > Repurchase Agreements

860-10-05-19 Government securities dealers, banks, other financial institutions, and corporate investors commonly use [repurchase agreements](#) to obtain or use short-term funds.

860-10-05-20 Repurchase agreements can be effected in a variety of ways. Some repurchase agreements are similar to securities lending transactions in that the transferee has the right to sell or repledge the securities to a third party during the term of the repurchase agreement. In other repurchase agreements, the transferee does not have the right to sell or repledge the securities during the term of the repurchase agreement. For example, in a tri-party repurchase agreement, the transferor transfers securities to an independent third-party custodian that holds the securities during the term of the repurchase agreement.

860-10-05-21 Many repurchase agreements are for short terms, often overnight, or have indefinite terms that allow either party to terminate the arrangement on short notice. Other repurchase agreements are for longer terms, sometimes until the maturity of the transferred financial asset (repo to maturity).

860-10-05-21A [Paragraph superseded by Accounting Standards Update No. 2014-11.](#)

860-10-05-21B [Paragraph superseded by Accounting Standards Update No. 2014-11.](#)

· > Loan Participations

860-10-05-22 In certain industries, a typical customer's borrowing needs often exceed its bank's legal lending limits. To accommodate the customer, the bank may participate the loan to other banks (that is, transfer under a participation agreement a portion of the customer's loan to one or more participating banks).

860-10-05-23 Transfers by the originating lender may take the legal form of either assignments or participations. The transfers are usually on a nonrecourse basis, and the transferor (originating lender) continues to service the loan. The transferee (participating entity) may or may not have the right to sell or transfer its participation during the term of the loan, depending on the terms of the participation agreement.

· > Banker's Acceptances

860-10-05-24 Banker's acceptances provide a way for a bank to finance a customer's purchase of goods from a vendor for periods usually not exceeding six months. Under an agreement between the bank, the customer, and the vendor, the bank agrees to pay the customer's liability to the vendor upon presentation of specified documents that provide evidence of delivery and acceptance of the purchased goods. The principal document is a draft or bill of exchange drawn by the customer that the bank stamps to signify its acceptance of the liability to make payment on the draft on its due date.

860-10-05-25 Once the bank accepts a draft, the customer is liable to repay the bank at the time the draft matures. The bank recognizes a receivable from the customer and a liability for the acceptance it has issued to the vendor. The accepted draft becomes a negotiable financial instrument. The vendor typically sells the accepted draft at a discount either to the accepting bank or in the marketplace.

860-10-05-26 A risk participation is a contract between the accepting bank and a participating bank in which the participating bank agrees, in exchange for a fee, to reimburse the accepting bank in the event that the accepting bank's customer fails to honor its liability to the accepting bank in connection with the banker's acceptance. The participating bank becomes a guarantor of the credit of the accepting bank's customer.

10 Objectives

 **General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

860-10-10-1 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

860-10-10-2 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

860-10-15-1 The Scope Section of the Overall Subtopic establishes the pervasive scope for all Subtopics of the Transfers and Servicing Topic. Unless explicitly addressed within specific Subtopics, the following scope guidance applies to all Subtopics of the Transfers and Servicing Topic, with the exception of Subtopic [860-50](#), which has its own discrete scope.

> Entities

860-10-15-2 The guidance in the Transfers and Servicing Topic applies to all entities.

> Transactions

860-10-15-3 The guidance in the Transfers and Servicing Topic applies to the issues of accounting for [transfers](#) and servicing of [financial assets](#).

860-10-15-4 The guidance in this Topic does not apply to the following transactions and activities:

- a. Except for transfers of servicing assets (see Section [860-50-40](#)) and for the transfers noted in the following paragraph, transfers of nonfinancial assets
- b. Transfers of unrecognized financial assets, for example, lease payments to be received under operating leases

- c. Transfers of custody of financial assets for safekeeping
- d. Contributions (for guidance on accounting for contributions, see Subtopic [958-605](#))
- e. Transfers of [in substance nonfinancial assets](#), see Subtopic [610-20](#)
- f. Investments by owners or distributions to owners of a business entity
- g. Employee benefits subject to the provisions of Topic [712](#)
- h. Leveraged leases subject to Topic [842](#)
- i. [Money-over-money](#) and wrap lease transactions involving nonrecourse debt subject to Topic [842](#).

860-10-15-5 Paragraph [815-10-40-2](#) states that transfers of assets that are derivative instruments and subject to the requirements of Subtopic [815-10](#) but that are not financial assets shall be accounted for by analogy to this Topic.

860-10-15-6 Paragraph [860-10-55-2](#) provides further guidance on the application of the scope of this Topic to specific transactions.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See [Control](#).

Agent

A party that acts for and on behalf of another party. For example, a third-party intermediary is an agent of the transferor if it acts on behalf of the transferor.

Attached Call Option

A call option held by the transferor of a financial asset that becomes part of and is traded with the underlying instrument. Rather than being an obligation of the transferee, an attached call option is traded with and diminishes the value of the underlying instrument transferred subject to that call option.

Bankruptcy-Remote Entity

An entity that is designed to make [remote](#) the possibility that it would enter bankruptcy or other receivership.

Beneficial Interests

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Cleanup Call Option

An option held by the servicer or its affiliate, which may be the transferor, to purchase the remaining transferred financial assets, or the remaining beneficial interests not held by the transferor, its affiliates, or its agents in an entity (or in a series of beneficial interests in transferred financial assets within an entity) if the amount of outstanding financial assets or beneficial interests falls to a level at which the cost of servicing those assets or beneficial interests becomes burdensome in relation to the benefits of servicing.

Collateral

Personal or real property in which a security interest has been given.

Consolidated Affiliate

An entity whose assets and liabilities are included in the consolidated, combined, or other financial statements being presented.

Continuing Involvement

Any involvement with the transferred [financial assets](#) that permits the [transferor](#) to receive cash flows or other benefits that arise from the transferred financial assets or that obligates the transferor to provide additional cash flows or other assets to any party related to the [transfer](#). For related implementation guidance, see paragraph [860-10-55-79A](#).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Control

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.

Controlled Amortization Method

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which a predetermined monthly payment schedule is established so that payout to the investors will occur over a specified liquidation period. Principal payments are allocated to the investors based on their participation interests in the receivables in the trust, using one of the liquidation methods

(fixed, preset, or floating). Principal payments in excess of the predetermined monthly payment, if any, are allocated to the transferor and increase the investors' ownership interests. If the principal payments allocated to the investors are insufficient to cover the predetermined monthly payment, that payment is reduced by the amount of the deficiency. If the principal payments allocated to the investors in subsequent months exceed the predetermined monthly payment, the deficiency is recovered.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Derecognize

Remove previously recognized assets or liabilities from the statement of financial position.

Derivative Financial Instrument

A [derivative instrument](#) that is a [financial instrument](#).

Derivative Instrument

Paragraphs [815-10-15-83 through 15-139](#) define the term *derivative instrument*.

Direct Financing Lease

From the perspective of a [lessor](#), a [lease](#) that meets none of the criteria in paragraph [842-10-25-2](#) but meets the criteria in paragraph [842-10-25-3\(b\)](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Dollar-Roll Repurchase Agreement

An agreement to sell and repurchase similar but not identical securities. The securities sold and repurchased are usually of the same issuer. Dollar rolls differ from regular repurchase agreements in that the securities sold and repurchased have all of the following characteristics:

- a. They are represented by different certificates.
- b. They are collateralized by different but similar mortgage pools (for example, conforming single-family residential mortgages).
- c. They generally have different principal amounts.

Fixed coupon and yield maintenance dollar agreements comprise the most common agreement variations. In a fixed coupon agreement, the seller and buyer agree that delivery will be made with securities having the same stated interest rate as the interest rate stated on the securities sold. In a yield maintenance agreement, the parties agree that delivery will be made with securities that will provide the seller a yield that is specified in the agreement.

Embedded Call Option

A call option held by the issuer of a financial instrument that is part of and trades with the underlying instrument. For example, a bond may allow the issuer to call it by posting a public notice well before its stated maturity that asks the current holder to submit it for early redemption and provides that interest ceases to accrue on the bond after the early redemption date. Rather than being an obligation of the initial purchaser of the bond, an embedded call option trades with and diminishes the value of the underlying bond.

Equitable Right of Redemption

The right of a property owner who has defaulted on a secured obligation to recover the securing property before its sale by paying the amounts due and any appropriate fees and charges. Other creditors of or a receiver for the property owner also may be able to exercise that right. After a transfer of a financial asset, a right of redemption may allow the transferor to buy back the transferred asset.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Financial Instrument

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity
 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
 1. To receive cash or another financial instrument from the first entity
 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

PENDING CONTENT



Transition Date: P December 16, 2024; N December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity
 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
 1. To receive cash or another financial instrument from the first entity
 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition. For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Financial Liability

A contract that imposes on one entity an obligation to do either of the following:

- a. Deliver cash or another financial instrument to a second entity
- b. Exchange other financial instruments on potentially unfavorable terms with the second entity.

Fixed Participation Method

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which all principal payments on the receivables in the trust are allocated to the investors based on their respective participation interests in the credit card receivables in the trust at the end of the reinvestment period.

Floating Participation Method

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which principal payments allocated to the investors are based on the investors' actual participation interests in the receivables in the trust each month. Each month, investors' participation interests in the credit card receivables in the trust are redetermined for that month's allocation of principal payments.

Freestanding Call Option

A call option that is neither embedded in nor attached to an asset subject to that call option.

Government National Mortgage Association Rolls

The term Government National Mortgage Association (GNMA) rolls has been used broadly to refer to a variety of transactions involving mortgage-backed securities, frequently those issued by the GNMA. There are four basic types of transactions:

- a. Type 1. Reverse repurchase agreements for which the exact same security is received at the end of the repurchase period (vanilla repo)
- b. Type 2. Fixed coupon dollar reverse repurchase agreements (dollar repo)
- c. Type 3. Fixed coupon dollar reverse repurchase agreements that are rolled at their maturities, that is, renewed in lieu of taking delivery of an underlying security (GNMA roll)
- d. Type 4. Forward commitment dollar rolls (also referred to as to-be-announced GNMA forward contracts or to-be-announced GNMA rolls), for which the underlying security does not yet exist.

In Substance Nonfinancial Asset

Paragraphs [610-20-15-5 through 15-8](#) define an in substance nonfinancial asset.

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lease Payments

See paragraph [842-10-30-5](#) for what constitutes lease payments from the perspective of a [lessee](#) and a [lessor](#).

Lease Receivable

A [lessor's](#) right to receive [lease payments](#) arising from a [sales-type lease](#) or a [direct financing lease](#) plus any amount that a lessor expects to derive from the underlying asset following the end of the [lease term](#) to the extent that it is guaranteed by the [lessee](#) or any other third party unrelated to the lessor, measured on a discounted basis.

Lease Term

The noncancellable period for which a [lessee](#) has the right to use an [underlying asset](#), together with all of the following:

- a. Periods covered by an option to extend the [lease](#) if the lessee is reasonably certain to exercise that option
- b. Periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option
- c. Periods covered by an option to extend (or not to terminate) the lease in which exercise of the option is controlled by the [lessor](#).

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a [contract](#) to provide the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Liquidation Method

The method used to allocate the principal payments on the receivables in a trust to the investors.

Loan Origination Fees

Origination fees consist of all of the following:

- a. Fees that are being charged to the borrower as prepaid interest or to reduce the loan's nominal interest rate, such as interest buy-downs (explicit yield adjustments)
- b. Fees to reimburse the lender for origination activities
- c. Other fees charged to the borrower that relate directly to making the loan (for example, fees that are paid to the lender as compensation for granting a complex loan or agreeing to lend quickly)
- d. Fees that are not conditional on a loan being granted by the lender that receives the fee but are, in substance, implicit yield adjustments because a loan is granted at rates or terms that would not have otherwise been considered absent the fee (for example, certain syndication fees addressed in paragraph [310-20-25-19](#))
- e. Fees charged to the borrower in connection with the process of originating, refinancing, or restructuring a loan. This term includes, but is not limited to, points, management, arrangement, placement, application, underwriting, and other fees pursuant to a lending or leasing transaction and also includes syndication and participation fees to the extent they are associated with the portion of the loan retained by the lender.

Loan Participation

A transaction in which a single lender makes a large loan to a borrower and subsequently transfers undivided interests in the loan to groups of banks or other entities.

Loan Syndication

A transaction in which several lenders share in lending to a single borrower. Each lender loans a specific amount to the borrower and has the right to repayment from the borrower. It is common for groups of lenders to jointly fund those loans when the amount borrowed is greater than any one lender is willing to lend.

Money-Over-Money Lease

A transaction in which an entity manufactures or purchases an asset, leases the asset to a lessee, and obtains nonrecourse financing in excess of the asset's cost using the leased asset and the future lease rentals as collateral.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return

- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Participating Interest

Paragraph [860-10-40-6A](#) defines the term participating interest.

Preset Participation Method

[Liquidation method](#) used to allocate principal payments on receivables in a trust to investors. The preset participation method is similar to the [fixed participation method](#) except that the percentage used to determine the principal payments allocated to the investors is preset higher than the investors' expected participation interests in the receivables in the trust at the end of the reinvestment period. This method results in a faster payout to the investors than the fixed participation method because a higher percentage of the principal payments is allocated to the investors.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a [not-for-profit entity](#) nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, [securities](#) that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Recourse

The right of a transferee of receivables to receive payment from the transferor of those receivables for any of the following:

- a. Failure of debtors to pay when due

- b. The effects of prepayments
- c. Adjustments resulting from defects in the eligibility of the transferred receivables.

Remote

The chance of the future event or events occurring is slight.

Repurchase Agreement

An agreement under which the transferor (repo party) transfers a [financial asset](#) to a transferee (repo counterparty or reverse party) in exchange for cash and concurrently agrees to reacquire that financial asset at a future date for an amount equal to the cash exchanged plus or minus a stipulated interest factor. Instead of cash, other securities or letters of credit sometimes are exchanged. Some repurchase agreements call for repurchase of financial assets that need not be identical to the financial assets transferred.

Repurchase Financing

A [repurchase agreement](#) that relates to a previously transferred financial asset between the same counterparties (or [consolidated affiliates](#) of either counterparty) that is entered into contemporaneously with, or in contemplation of, the initial transfer.

Repurchase-to-Maturity Transaction

A [repurchase agreement](#) in which the settlement date of the agreement to repurchase a transferred financial asset is at the maturity date of that financial asset and the agreement would not require the transferor to reacquire the financial asset.

Revolving-Period Securitizations

Securitizations in which receivables are transferred at the inception and also periodically (daily or monthly) thereafter for a defined period (commonly three to eight years), referred to as the revolving period. During the revolving period, the special-purpose entity uses most of the cash collections to purchase additional receivables from the transferor on prearranged terms.

Sales-Type Lease

From the perspective of a [lessor](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Securitization

The process by which financial assets are transformed into securities.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.

c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Seller

A transferor that relinquishes control over financial assets by transferring them to a transferee in exchange for consideration.

Set-off Right

A common law right of a party that is both a debtor and a creditor to the same counterparty to reduce its obligation to that counterparty if that counterparty fails to pay its obligation.

Standard Representations and Warranties

Representations and warranties that assert the financial asset being transferred is what it is purported to be at the transfer date.

Transfer

The conveyance of a noncash financial asset by and to someone other than the issuer of that financial asset.

A transfer includes the following:

- a. Selling a receivable
- b. Putting a receivable into a securitization trust
- c. Posting a receivable as collateral.

A transfer excludes the following:

- a. The origination of a receivable
- b. Settlement of a receivable
- c. The restructuring of a receivable into a security in a troubled debt restructuring.

Transferee

An entity that receives a financial asset, an interest in a financial asset, or a group of financial assets from a transferor.

Transferor

An entity that transfers a financial asset, an interest in a financial asset, or a group of financial assets that it controls to another entity.

Transferred Financial Assets

Transfers of any of the following:

- a. An entire financial asset
- b. A group of entire financial assets
- c. A [participating interest](#) in an entire financial asset.

Underlying Asset

An asset that is the subject of a [lease](#) for which a right to use that asset has been conveyed to a [lessee](#). The underlying asset could be a physically distinct portion of a single asset.

Unguaranteed Residual Asset

The amount that a [lessor](#) expects to derive from the [underlying asset](#) following the end of the [lease term](#) that is not guaranteed by the [lessee](#) or any other third party unrelated to the lessor, measured on a discounted basis.

Unilateral Ability

A capacity for action not dependent on the actions (or failure to act) of any other party.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

860-10-30-1 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

860-10-35-1 [Paragraphs 860-10-35-1 through 35-12 superseded by Accounting Standards Update No. 2009-16.](#)

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 860-10-40-1** This Section sets forth the conditions for derecognition of a [transferred financial asset](#) and is organized as follows:
- a. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
 - b. Conditions for a sale of [financial assets](#)
 - c. Application of the sale criteria to instruments that have the potential to be assets or liabilities
 - d. Circumstances that result in a [transferor](#) regaining control of assets previously sold
 - e. [Subparagraph superseded by Accounting Standards Update No. 2014-11.](#)
- 860-10-40-2** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)
- 860-10-40-3** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Conditions for a Sale of Financial Assets

- 860-10-40-4** The objective of paragraph [860-10-40-5](#) and related implementation guidance is to determine whether a transferor and its [consolidated affiliates](#) included in the financial statements being presented have surrendered control over [transferred financial assets](#) or third-party [beneficial interests](#). This determination:
- a. Shall first consider whether the [transferee](#) would be consolidated by the transferor (for implementation guidance, see paragraph [860-10-55-17D](#))
 - b. Shall consider the transferor's continuing involvement in the transferred financial assets
 - c. Requires the use of judgment that shall consider all arrangements or agreements made contemporaneously with, or in contemplation of, the [transfer](#), even if they were not entered into at the time of the transfer.
- With respect to item (b), all continuing involvement by the transferor, its consolidated affiliates included in the financial statements being presented, or its [agents](#) shall be considered continuing involvement by the transferor. In a transfer between two subsidiaries of a common parent, the transferor-subsidiary shall not consider parent involvements with the transferred financial assets in applying paragraph [860-10-40-5](#).
- 860-10-40-4A** [Paragraph superseded by Accounting Standards Update No. 2014-11.](#)
- 860-10-40-4B** [Paragraph superseded by Accounting Standards Update No. 2014-11.](#)

- 860-10-40-4C** Items (b) through (c) in paragraph 860-10-40-4 do not apply to a transfer of [financial assets](#) and a related [repurchase financing](#). In transactions involving a contemporaneous transfer of a financial asset and a repurchase financing of that transferred financial asset with the same counterparty, a transferor and transferee shall separately account for the initial transfer of the financial asset and the related repurchase agreement. Paragraphs [860-10-55-17A through 55-17C](#) provide implementation guidance related to repurchase financings.
- 860-10-40-4D** To be eligible for sale accounting, an entire financial asset cannot be divided into components before a transfer unless all of the components meet the definition of a [participating interest](#). The legal form of the asset and what the asset conveys to its holders shall be considered in determining what constitutes an entire financial asset (for implementation guidance, see paragraph [860-10-55-17E](#)). An entity shall not account for a transfer of an entire financial asset or a participating interest in an entire financial asset partially as a sale and partially as a secured borrowing.
- 860-10-40-4E** If a transfer of a portion of an entire financial asset meets the definition of a participating interest, the transferor shall apply the guidance in the following paragraph. If a transfer of a portion of a financial asset does not meet the definition of a participating interest, the transferor and transferee shall account for the transfer in accordance with the guidance in paragraph [860-30-25-2](#). However, if the transferor transfers an entire financial asset in portions that do not individually meet the participating interest definition, the following paragraph shall be applied to the entire financial asset once all portions have been transferred.
- 860-10-40-5** A transfer of an entire financial asset, a group of entire financial assets, or a participating interest in an entire financial asset in which the transferor surrenders control over those financial assets shall be accounted for as a sale if and only if all of the following conditions are met:
- a. Isolation of transferred financial assets. The transferred financial assets have been isolated from the transferor—put presumptively beyond the reach of the transferor and its creditors, even in bankruptcy or other receivership. Transferred financial assets are isolated in bankruptcy or other receivership only if the transferred financial assets would be beyond the reach of the powers of a bankruptcy trustee or other receiver for the transferor or any of its consolidated affiliates included in the financial statements being presented. For multiple step transfers, a [bankruptcy-remote entity](#) is not considered a consolidated affiliate for purposes of performing the isolation analysis. Notwithstanding the isolation analysis, each entity involved in the transfer is subject to the applicable guidance on whether it shall be consolidated (see paragraphs [860-10-40-7 through 40-14](#) and the guidance beginning in paragraph [860-10-55-18](#)). A [set-off right](#) is not an impediment to meeting the isolation condition.
 - b. Transferee's rights to pledge or exchange. This condition is met if both of the following conditions are met:
 1. Each transferee (or, if the transferee is an entity whose sole purpose is to engage in [securitization](#) or asset-backed financing activities and that entity is constrained from pledging or exchanging the assets it receives, each third-party holder of its beneficial interests) has the right to pledge or exchange the assets (or beneficial interests) it received.
 2. No condition does both of the following:
 - i. Constrains the transferee (or third-party holder of its beneficial interests) from taking advantage of its right to pledge or exchange
 - ii. Provides more than a trivial benefit to the transferor (see paragraphs [860-10-40-15 through 40-21](#)).
- If the transferor, its consolidated affiliates included in the financial statements being presented, and its agents have no continuing involvement with the transferred financial assets, the condition under paragraph [860-10-40-5\(b\)](#) is met.

c. Effective control. The transferor, its consolidated affiliates included in the financial statements being presented, or its agents do not maintain effective control over the transferred financial assets or third-party beneficial interests related to those transferred assets (see paragraph [860-10-40-22A](#)). A transferor's effective control over the transferred financial assets includes, but is not limited to, any of the following:

1. An agreement that both entitles and obligates the transferor to repurchase or redeem the transferred financial assets before their maturity (see paragraphs [860-10-40-23 through 40-25](#))
2. An agreement, other than through a [cleanup call](#) (see paragraphs [860-10-40-28 through 40-39](#)), that provides the transferor with both of the following:
 - i. The [unilateral ability](#) to cause the holder to return specific financial assets
 - ii. A more-than-trivial benefit attributable to that ability.
3. An agreement that permits the transferee to require the transferor to repurchase the transferred financial assets at a price that is so favorable to the transferee that it is probable that the transferee will require the transferor to repurchase them (see paragraph [860-10-55-42D](#)).

860-10-40-5A A [repurchase-to-maturity transaction](#) shall be accounted for as a secured borrowing as if the transferor maintains effective control (see paragraphs [860-10-40-24 through 40-24A](#)).

860-10-40-6 For guidance on accounting for a transfer that satisfies the conditions in paragraph [860-10-40-5](#), see Subtopic [860-20](#), including Section [860-20-40](#)'s derecognition guidance and Section [860-20-25](#)'s guidance on recognition of new assets obtained and new liabilities. For guidance on accounting for a transfer that does not satisfy the conditions in paragraph [860-10-40-5](#), see Subtopic [860-30](#).

· > Meaning of the Term Participating Interest

860-10-40-6A A participating interest has all of the following characteristics:

- a. From the date of the transfer, it represents a proportionate (pro rata) ownership interest in an entire financial asset. The percentage of ownership interests held by the transferor in the entire financial asset may vary over time, while the entire financial asset remains outstanding as long as the resulting portions held by the transferor (including any participating interest retained by the transferor, its consolidated affiliates included in the financial statements being presented, or its agents) and the transferee(s) meet the other characteristics of a participating interest. For example, if the transferor's interest in an entire financial asset changes because it subsequently sells another interest in the entire financial asset, the interest held initially and subsequently by the transferor must meet the definition of a participating interest.
- b. From the date of the transfer, all cash flows received from the entire financial asset are divided proportionately among the participating interest holders (including any interest retained by the transferor, its consolidated affiliates included in the financial statements being presented, or its agents) in an amount equal to their share of ownership. An allocation of specified cash flows is not an allowed characteristic of a participating interest unless each cash flow is proportionately allocated to the participating interest holders. In determining proportionate cash flows:
 1. Cash flows allocated as compensation for services performed, if any, shall not be included provided those cash flows meet both of the following conditions:
 - i. They are not subordinate to the proportionate cash flows of the participating interest.
 - ii. They are not significantly above an amount that would fairly compensate a substitute service provider, should one be required, which includes the profit that would be demanded in the marketplace.

2. Any cash flows received by the transferor as proceeds of the transfer of the participating interest shall be excluded provided that the transfer does not result in the transferor receiving an ownership interest in the financial asset that permits it to receive disproportionate cash flows.

c. The priority of cash flows has all of the following characteristics:

1. The rights of each participating interest holder (including the transferor in its role as a participating interest holder) have the same priority.
2. No participating interest holder's interest is subordinated to the interest of another participating interest holder.
3. The priority does not change in the event of bankruptcy or other receivership of the transferor, the original debtor, or any other participating interest holder.
4. Participating interest holders have no recourse to the transferor (or its consolidated affiliates included in the financial statements being presented or its agents) or to each other, other than any of the following:

i. [Standard representations and warranties](#)

ii. Ongoing contractual obligations to service the entire financial asset and administer the transfer contract

iii. Contractual obligations to share in any set-off benefits received by any participating interest holder.

That is, no participating interest holder is entitled to receive cash before any other participating interest holder under its contractual rights as a participating interest holder. For example, if a participating interest holder also is the servicer of the entire financial asset and receives cash in its role as servicer, that arrangement would not violate this requirement.

d. No party has the right to pledge or exchange the entire financial asset unless all participating interest holders agree to pledge or exchange the entire financial asset.

A set-off right is not an impediment to meeting the participating interest definition. For implementation guidance on the application of the term *participating interest*, see paragraphs [860-10-55-17I through 55-17N](#).

· > Isolation of Transferred Assets

- 860-10-40-7** The guidance in the following paragraphs and the related implementation guidance beginning in paragraph [860-10-55-18](#) applies to transfers by all entities, including institutions for which the Federal Deposit Insurance Corporation (FDIC) would be the receiver.
- 860-10-40-8** Derecognition of transferred financial assets is appropriate only if the available evidence provides reasonable assurance that the transferred financial assets would be beyond the reach of the powers of a bankruptcy trustee or other receiver for the transferor or any of its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented and its creditors (see paragraph [860-10-55-23\(c\)](#)).
- 860-10-40-9** The nature and extent of supporting evidence required for an assertion in financial statements that transferred financial assets have been isolated—put presumptively beyond the reach of the transferor, any of its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors, either by a single transaction or a series of transactions taken as a whole—depend on the facts and circumstances.
- 860-10-40-10** All available evidence that either supports or questions an assertion shall be considered, including whether the contract or circumstances permit the transferor to revoke the transfer. It also may include

consideration of the legal consequences of the transfer in the jurisdiction in which bankruptcy or other receivership would take place, including all of the following:

- a. Whether a transfer of financial assets would likely be deemed a true sale at law (see paragraph [860-10-55-18A](#)) or otherwise isolated (see paragraph [860-10-55-18C](#))
- b. Whether the transferor is [affiliated](#) with the transferee
- c. Other factors pertinent under applicable law.

860-10-40-11 The requirement of paragraph [860-10-40-5\(a\)](#) that transferred financial assets be isolated focuses on whether transferred financial assets would be isolated from the transferor in the event of bankruptcy or other receivership regardless of how remote or probable bankruptcy or other receivership is at the date of transfer. That is, the requirement would not be satisfied simply because the likelihood of bankruptcy of the transferor is determined to be remote.

860-10-40-12 A transferor's power to require the return of the transferred financial assets arising solely from a contract with the transferee, for example, a call option or removal-of-accounts provision, would not necessarily preclude a conclusion that transferred financial assets have been isolated from the transferor. However, such a power might preclude sale treatment if through it the transferor maintains effective control over the transferred financial assets. Some common financial transactions, for example, typical [repurchase agreements](#) and securities lending transactions, may isolate transferred financial assets from the transferor, although they may not meet the other conditions for surrender of control (see paragraph [860-10-40-5](#)).

860-10-40-13 Whether securitizations isolate transferred financial assets may depend on such factors as whether the securitization is accomplished in one-step or multiple-step transfers. That is, the condition can be satisfied either by a single transaction or by a series of transactions considered as a whole. A securitization carried out in one transfer or a series of transfers may or may not isolate the transferred financial assets beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors. Whether it does depends on the structure of the securitization transaction taken as a whole, considering such factors as the type and extent of further involvement in arrangements to protect investors from credit, interest rate, and other risks, the availability of other financial assets, and the powers of bankruptcy courts or other receivers.

860-10-40-14 Paragraphs [860-10-55-18 through 55-23](#) clarify the requirements for transfers by entities subject to the U.S. Bankruptcy Code to meet the condition in paragraph [860-10-40-5\(a\)](#) that the transferred financial assets have been put presumptively beyond the reach of the transferor and its creditors, even in bankruptcy. Paragraphs [860-10-55-24 through 55-25](#) provide related guidance for entities not subject to the U.S. Bankruptcy Code. The discussion in paragraphs [860-10-55-18 through 55-25](#) relates only to the isolation condition in paragraph [860-10-40-5\(a\)](#). The conditions in paragraph [860-10-40-5\(b\) through \(c\)](#) also shall be considered to determine whether a transferor has surrendered control over the transferred financial assets.

· > Transferee's Rights to Pledge or Exchange Transferred Financial Assets

860-10-40-15 Many transferor-imposed or other conditions on a transferee's right to pledge or exchange both constrain a transferee from pledging or exchanging and, through that constraint, provide more than a trivial benefit to the transferor. Judgment is required to assess whether a particular condition results in a constraint. Judgment also is required to assess whether a constraint provides a more-than-trivial benefit to the transferor. If the transferee is an entity whose sole purpose is to engage in securitization or asset-backed financing activities, that entity may be constrained from pledging or exchanging the transferred financial assets to protect the rights of beneficial interest holders in the financial assets of the entity. Paragraph [860-10-40-5\(b\)](#) requires that the transferor look through the constrained entity to determine whether each third-party holder of its beneficial interests has the right

to pledge or exchange the beneficial interests that it holds. The considerations in paragraphs [860-10-40-16 through 40-18](#) apply to the transferee or the third-party holders of its beneficial interests in an entity that is constrained from pledging or exchanging the assets it receives and whose sole purpose is to engage in securitization or asset-backed financing activities.

860-10-40-16 A condition imposed by a transferor that constrains the transferee presumptively provides more than a trivial benefit to the transferor. A condition not imposed by the transferor that constrains the transferee may or may not provide more than a trivial benefit to the transferor. For example, if the transferor refrains from imposing its usual contractual constraint on a specific transfer because it knows an equivalent constraint is already imposed on the transferee by a third party, it presumptively benefits more than trivially from that constraint. However, the transferor cannot benefit from a constraint if it is unaware at the time of the transfer that the transferee is constrained.

860-10-40-16A In some circumstances in which the transferor has no continuing involvement with the transferred financial assets, some conditions may constrain a transferee from pledging or exchanging the financial assets. Paragraph [860-10-40-5\(b\)](#) states that if the transferor, its consolidated affiliates included in the financial statements being presented, and its agents have no continuing involvement with the transferred financial assets, the condition under paragraph [860-10-40-5\(b\)](#) is met. For example, if a transferor receives only cash in return for the transferred financial assets and the transferor, its consolidated affiliates included in the financial statements being presented, and its agents have no continuing involvement with the transferred financial assets, sale accounting is allowed under paragraph [860-10-40-5\(b\)](#) even if the transferee entity is significantly limited in its ability to pledge or exchange the transferred assets.

860-10-40-17 All of the following are examples of conditions that both constrain the transferee and presumptively provide the transferor with more than trivial benefits:

- a. A provision that prohibits selling or pledging a transferred loan receivable. This condition not only constrains the transferee but also provides the transferor with the more-than-trivial benefit of knowing who holds the financial asset (a prerequisite to repurchasing the financial asset) and of being able to block the financial asset from being transferred to a competitor for the loan customer's business.
- b. Transferor-imposed contractual constraints that narrowly limit timing or terms, for example, allowing a transferee to pledge only on the day assets are obtained or only on terms agreed to with the transferor.
- c. Some rights or obligations to reacquire transferred financial assets or beneficial interests, including all of the following:
 1. A [freestanding call option](#) written by a transferee to the transferor. Such an option may benefit the transferor and, if the transferred financial assets are not readily obtainable in the marketplace, is likely to constrain a transferee because the transferee might have to default if the call option was exercised and the transferee had pledged or exchanged the financial assets.
 - 1a. A call option to repurchase third-party beneficial interests at the price paid plus a stated return if the third-party holders of its beneficial interests are constrained from pledging or exchanging their beneficial interests due to that call option.
 2. A call option written by a transferee to the transferor that is sufficiently deep-in-the-money, if the transferred financial assets are not readily obtainable in the marketplace, because the transferee would be more likely to have to hold the assets to comply with a potential exercise of the call option.
 3. A freestanding forward purchase-sale contract between the transferor and the transferee on transferred financial assets not readily obtainable in the marketplace would benefit the transferor and is likely to constrain a transferee.

4. Subparagraph superseded by Accounting Standards Update No. 2009-16.

- 860-10-40-18** All of the following are examples of conditions that presumptively would not constrain a transferee from pledging or exchanging the transferred financial asset:
- a. A transferor's right of first refusal on the occurrence of a bona fide offer to the transferee from a third party, because the right in itself does not enable the transferor to compel the transferee to sell the financial asset and the transferee would be in a position to receive the sum offered by exchanging the financial asset, albeit possibly from the transferor rather than the third party
 - b. A requirement to obtain the transferor's permission to sell or pledge that is not to be unreasonably withheld
 - c. A prohibition on sale to the transferor's competitor if other potential willing buyers exist
 - d. A regulatory limitation such as on the number or nature of eligible transferees (as in the circumstance of securities issued under Securities Act Rule 144A or debt placed privately)
 - e. Illiquidity, for example, the absence of an active market
 - f. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
 - g. Freestanding rights to reacquire transferred assets that are readily obtainable.

- 860-10-40-19** Judgment is required to assess the significance of some conditions. For example, a prohibition on sale to the transferor's competitor would be a constraint if that competitor were the only potential willing buyer other than the transferor.

- 860-10-40-20** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

- 860-10-40-21** As discussed in paragraphs [860-10-40-22 through 40-39](#), some rights or obligations to reacquire transferred financial assets, regardless of whether they constrain the transferee, may result in the transferor's maintaining effective control over the transferred financial assets, thus precluding sale accounting under paragraph [860-10-40-5\(c\)](#). For example, an [attached call option](#) in itself would not constrain a transferee who is able, by exchanging or pledging the asset subject to that call, to obtain substantially all of its economic benefits. However, an attached call option could result in the transferor's maintaining effective control over the transferred asset(s) because the attached call option gives the transferor the unilateral ability to cause whoever holds that specific asset to return it.

· > Effective Control

- 860-10-40-22** This guidance discusses the condition in paragraph [860-10-40-5\(c\)](#) that the transferor, its consolidated affiliates included in the financial statements being presented, or its agents do not maintain effective control over the transferred financial assets or third-party beneficial interests related to those transferred financial assets.

· · > Involvement of Agents

- 860-10-40-22A** Paragraph [860-10-40-4](#) states that, to assess whether the transferor maintains effective control over the transferred financial assets, all continuing involvement by the transferor, its consolidated affiliates included in the financial statements being presented, or its agents shall be considered continuing involvement by the transferor. When assessing effective control, the transferor only considers the involvements of an agent when the agent acts for and on behalf of the transferor. If the transferor and transferee have the same agent, the agent's activities on behalf of the transferee shall not be considered in the transferor's evaluation of whether it has effective control over a transferred financial asset. For example, an investment manager may act as a fiduciary (agent) for both the transferor and the transferee; therefore, the transferor need only consider the involvements of the investment manager if it is acting on its behalf.

· · > Effective Control through both a Right and an Obligation

860-10-40-23 Although paragraph [860-10-40-5](#) sets forth criteria that must be met to achieve sale accounting, this guidance addresses criteria that must be met for a transfer to fail the condition in paragraph [860-10-40-5\(c\)](#) through an agreement of the type described in paragraph [860-10-40-5\(c\)\(1\)](#) and thus preclude sale accounting and result in accounting for the transfer as a secured borrowing.

860-10-40-24 An agreement that both entitles and obligates the transferor to repurchase or redeem transferred [financial assets](#) from the transferee maintains the transferor's effective control over those assets as described in paragraph [860-10-40-5\(c\)\(1\)](#), if all of the following conditions are met:

a. The financial assets to be repurchased or redeemed are the same or substantially the same as those transferred. To be substantially the same, the financial asset that was transferred and the financial asset that is to be repurchased or redeemed need to have all of the following characteristics:

1. The same primary obligor (except for debt guaranteed by a sovereign government, central bank, government-sponsored enterprise or agency thereof, in which circumstance the guarantor and the terms of the guarantee must be the same)
2. Identical form and type so as to provide the same risks and rights
3. The same maturity (or in the circumstance of mortgage-backed pass-through and pay-through securities, similar remaining weighted-average maturities that result in approximately the same market yield)
4. Identical contractual interest rates
5. Similar assets as collateral
6. The same aggregate unpaid principal amount or principal amounts within accepted good delivery standards for the type of security involved. Participants in the mortgage-backed securities market have established parameters for what is considered acceptable delivery. These specific standards are defined by the Securities Industry and Financial Markets Association and can be found in Uniform Practices for the Clearance and Settlement of Mortgage-Backed Securities and Other Related Securities, which is published by the Securities Industry and Financial Markets Association.

See paragraph [860-10-55-35](#) for implementation guidance related to these conditions.

b. [Subparagraph superseded by Accounting Standards Update No. 2011-03.](#)

c. The agreement is to repurchase or redeem the financial assets before maturity, at a fixed or determinable price.

d. The agreement is entered into contemporaneously with, or in contemplation of, the transfer.

· · > Exception for a Repurchase-to-Maturity Transaction

860-10-40-24A Notwithstanding the characteristic in paragraph [860-10-40-24](#) that refers to a repurchase of the same (or substantially-the-same) financial asset, a [repurchase-to-maturity transaction](#) shall be accounted for as a secured borrowing as if the transferor maintains effective control.

860-10-40-25 With respect to the condition in (a) in paragraph [860-10-40-24](#) to maintain effective control under the condition in paragraph [860-10-40-5\(c\)](#) as illustrated in paragraph [860-10-40-5\(c\)\(1\)](#), the transferor must have both the contractual right and the contractual obligation to repurchase or redeem [financial assets](#) that are identical to those transferred or substantially the same as those concurrently transferred. Transfers that include only the right to reacquire, at the option of the transferor or upon certain conditions, or only the obligation to reacquire, at the option of the transferee or upon certain

conditions, may not maintain the transferor's control, because the option might not be exercised or the conditions might not occur. Similarly, expectations of reacquiring the same securities without any contractual commitments (for example, as in wash sales) provide no control over the transferred securities.

860-10-40-26 Paragraph superseded by Accounting Standards Update No. 2011-03.

860-10-40-27 Paragraph superseded by Accounting Standards Update No. 2011-03.

· · > Effective Control through Unilateral Ability

860-10-40-28 This guidance addresses whether any of the following agreements maintain effective control under paragraph [860-10-40-5\(c\)\(2\)](#):

- a. A call option or other right conveys more than a trivial benefit (that is, fails the condition in paragraph [860-10-40-5\(c\)\(2\)\(ii\)](#)) if the price to be paid is fixed, determinable, or otherwise potentially advantageous, unless because that price is so far out of the money or for other reasons it is probable when the option is written that the transferor will not exercise it.
- b. A transferor's unilateral ability to cause a securitization entity to return to the transferor or otherwise dispose of specific transferred financial assets, for example, in response to its decision to exit a market or a particular activity, has the characteristic in paragraph [860-10-40-5\(c\)\(2\)\(i\)](#) and, thus, would provide the transferor with effective control over the transferred financial assets if it also has the characteristic in paragraph [860-10-40-5\(c\)\(2\)\(ii\)](#)—that is, if it also provides more than a trivial benefit to the transferor.
- c. A call option on readily obtainable assets at fair value may not provide the transferor with more than a trivial benefit.

Paragraph [860-10-40-35](#) provides an example in which, due to the combination of arrangements, the transferor would maintain effective control.

860-10-40-28A Effective control over transferred financial assets can be present even if the right to reclaim is indirect. For example, if a call allows a transferor to buy back the beneficial interests at a fixed price, the transferor may maintain effective control of the financial assets underlying those beneficial interests. If the transferee is an entity whose sole purpose is to engage in securitization or asset-backed financing activities, that entity may be constrained from choosing to pledge or exchange the transferred financial assets. In that circumstance, any call held by the transferor on third-party beneficial interests is effectively an attached call on the transferred financial assets. Depending on the price and other terms of the call, the transferor may maintain effective control over the transferred financial assets.

860-10-40-29 Paragraph superseded by Accounting Standards Update No. 2009-16.

860-10-40-30 See paragraphs [860-10-55-39](#) through [55-42C](#) for implementation guidance addressing how different types of rights of a transferor to reacquire (call) transferred financial assets affect sale accounting under this Subtopic.

· · · > Call Options

860-10-40-31 Cash-settled call options do not constrain the transferee, nor do they result in the transferor maintaining effective control because they do not provide the transferor with an opportunity to reclaim the transferred financial assets. Therefore, this guidance addresses call options that can be physically settled.

860-10-40-32 An [embedded call option](#) would not result in the transferor's maintaining effective control because it is the issuer rather than the transferor who holds the call option and the call option does not provide

more than a trivial benefit to the transferor. For example, a call embedded by the issuer of a callable bond or the borrower of a prepayable mortgage loan would not provide the transferor with effective control over the transferred financial asset.

860-10-40-33 Paragraph superseded by Accounting Standards Update No. 2009-16.

860-10-40-34 Paragraph [860-10-40-5\(c\)\(2\)](#) excludes a cleanup call from the general principle that a transferor maintains effective control over transferred financial assets if the transferor has the unilateral ability to cause the holder to return specific financial assets and that ability provides more than a trivial benefit to the transferor. A cleanup call on beneficial interests in the transferred financial assets is permitted because burdensome costs in relation to benefits may arise when the remaining financial assets or beneficial interests fall to a small portion of their original level. Parties other than the servicer cannot hold the option, because only the servicer is burdened when the amount of outstanding financial assets falls to a level at which the cost of servicing the financial assets becomes burdensome—the defining condition of a cleanup call—and any other party would be motivated by some other incentive in exercising a call.

860-10-40-35 A right to reclaim specific transferred financial assets by paying their fair value when reclaimed generally does not maintain effective control if it does not convey a more-than-trivial benefit to the transferor. However, a transferor has maintained effective control if it has such a right and also holds the residual interest in the transferred financial assets. See paragraph [860-10-55-42A](#) for discussion of a related example.

... > Removal-of-Accounts Provisions

860-10-40-36 Many transfers of financial assets that involve transfers of a group of entire financial assets to an entity whose sole purpose is to engage in securitization or asset-backed financing activities empower the transferor to reclaim assets subject to certain restrictions. Such a power is sometimes called a removal-of-accounts provision. Whether a removal-of-accounts provision precludes sale accounting depends on whether the removal-of-accounts provision results in the transferor's maintaining effective control over transferred financial assets.

860-10-40-37 The following are examples of removal-of-accounts provisions that preclude transfers from being accounted for as sales:

- a. An unconditional removal-of-accounts provision or repurchase agreement that allows the transferor to specify the financial assets that may be removed and that provides a more-than-trivial benefit to the transferor, because such a provision allows the transferor unilaterally to remove specific financial assets
- b. A removal-of-accounts provision conditioned on a transferor's decision to exit some portion of its business that provides a more-than-trivial benefit to the transferor, because whether it can be triggered by canceling an affinity relationship, spinning off a business segment, or accepting a third party's bid to purchase a specified (for example, geographic) portion of the transferor's business, such a provision allows the transferor unilaterally to remove specific financial assets.

860-10-40-38 The following are examples of removal-of-accounts provisions that do not preclude transfers from being accounted for as sales:

- a. A removal-of-accounts provision for random removal of excess financial assets, if the provision is sufficiently limited so that the transferor cannot remove specific transferred financial assets, for example, by limiting removals to the amount of the transferor's interests and to one removal per month
- b. A removal-of-accounts provision for defaulted receivables, because the removal would be allowed only after a third party's action (default) and could not be caused unilaterally by the transferor

c. A removal-of-accounts provision conditioned on a third-party cancellation, or expiration without renewal, of an affinity or private-label arrangement, because the removal would be allowed only after a third party's action (cancellation) or decision not to act (expiration) and could not be caused unilaterally by the transferor

d. A removal-of-accounts provision that does not allow the transferor to unilaterally reclaim specific financial assets from the transferee. For related implementation guidance, see paragraph [860-10-55-41](#).

860-10-40-39 A removal-of-accounts provision that can be exercised only in response to a third party's action that has not yet occurred does not maintain the transferor's effective control over financial assets potentially subject to that removal-of-accounts provision.

> Application of the Sale Criteria for Financial Instruments That Have the Potential to Be Assets or Liabilities

860-10-40-40 Certain recognized financial instruments, such as forward contracts and swaps, have the potential to be financial assets or financial liabilities. Accordingly, transfers of those financial instruments must meet the conditions of both paragraphs [405-20-40-1](#) and [860-10-40-5](#) to be derecognized. Paragraph [815-10-40-2](#) states that transfers of assets that are derivative instruments and subject to the requirements of Subtopic [815-10](#) but that are not financial assets shall be accounted for by analogy to this Subtopic. The same criteria shall be applied to transfers of nonfinancial derivative instruments that have the potential to become either assets or liabilities (for example, forward contracts and swaps).

> Circumstances That Result in a Transferor Regaining Control of Financial Assets Previously Sold

860-10-40-41 A change in law or other circumstance may result in a transferred portion of an entire financial asset no longer meeting the conditions of a participating interest (see paragraph [860-10-40-6A](#)) or the transferor's regaining control of transferred financial assets after a transfer that was previously accounted for as a sale, because one or more of the conditions in paragraph [860-10-40-5](#) are no longer met. See the related guidance beginning in paragraph [860-20-25-8](#).

860-10-40-42 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-40-43 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-40-44 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-40-45 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-40-46 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-40-47 Paragraph superseded by Accounting Standards Update No. 2014-11.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

860-10-50-1 Paragraph superseded by Accounting Standards Update No. 2009-16.

> General

860-10-50-2 Overall guidance on Topic 860 disclosures is organized as follows:

- a. Disclosure objectives
- b. Aggregation of certain disclosures
- c. Involvements by others.

· > Disclosure Objectives

860-10-50-3 The principal objectives of the disclosure requirements of this Topic are to provide financial statement users with an understanding of all of the following:

- a. A transferor's [continuing involvement](#), if any, with [transferred financial assets](#)
- b. The nature of any restrictions on assets reported by an entity in its statement of financial position that relate to a transferred [financial asset](#), including the carrying amounts of those assets
- c. How servicing assets and servicing liabilities are reported under Subtopic 860-50
- d. For both of the following, how the [transfer](#) of financial assets affects an entity's financial position, financial performance, and cash flows:
 1. Transfers accounted for as sales, if a transferor has continuing involvement with the transferred financial assets
 2. Transfers of financial assets accounted for as secured borrowings.

860-10-50-4 The objectives in the preceding paragraph apply regardless of whether this Topic requires specific disclosures. The specific disclosures required by this Topic are minimum requirements, and an entity may need to supplement the required disclosures depending on any of the following:

- a. The facts and circumstances of a transfer
- b. The nature of an entity's continuing involvement with the transferred financial assets
- c. The effect of an entity's continuing involvement on the transferor's financial position, financial performance, and cash flows.

Disclosures required for a particular form of continuing involvement shall be considered when determining whether the disclosure objectives of this Topic have been met.

· > Aggregation of Certain Disclosures

860-10-50-4A

Disclosures required by this Topic may be reported in the aggregate for similar transfers if separate reporting of each transfer would not provide more useful information to financial statement users. A transferor shall both:

- a. Disclose how similar transfers are aggregated
- b. Distinguish between transfers that are accounted for as secured borrowings and transfers that are accounted for as sales.

 PENDING CONTENT

Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

Disclosures required by this Topic may be reported in the aggregate for similar transfers if separate reporting of each transfer would not provide more useful information to financial statement users. For interim and annual reporting periods, a transferor shall both:

- a. Disclose how similar transfers are aggregated
- b. Distinguish between transfers that are accounted for as secured borrowings and transfers that are accounted for as sales.

860-10-50-5

In determining whether to aggregate the disclosures for multiple transfers, the reporting entity shall consider quantitative and qualitative information about the characteristics of the transferred financial assets, including all of the following:

- a. The nature of the transferor's continuing involvement
- b. The types of financial assets transferred
- c. Risks related to the transferred financial assets to which the transferor continues to be exposed after the transfer and the change in the transferor's risk profile as a result of the transfer
- d. The guidance in paragraph [310-10-50-25](#) (for risks and uncertainties) and paragraphs [825-10-55-1 through 55-2](#) (for concentrations involving loan product terms).

860-10-50-6

The disclosures shall be presented in a manner that clearly and fully explains to financial statement users the transferor's risk exposure related to the transferred financial assets and any restrictions on the assets of the entity. An entity shall determine, in light of the facts and circumstances, how much detail it must provide to satisfy disclosure requirements of this Topic and how it aggregates information for assets with different risk characteristics. The entity shall strike a balance between obscuring important information as a result of too much aggregation and excessive detail that may not assist financial statement users to understand the entity's financial position. For example, an entity shall not obscure important information by including it with a large amount of insignificant detail. Similarly, an entity shall not disclose information that is so aggregated that it obscures important differences between the different types of involvement or associated risks.

> Involvements by Others

860-10-50-7

To apply the disclosures required in this Topic, an entity shall consider all involvements by the transferor, its [consolidated affiliates](#) included in the financial statements being presented, or its [agents](#) to be involvements by the transferor.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

- 860-10-55-1** This Section is organized as follows:
- a. Scope
 - aa. Consolidation of transferee by transferor
 - aaa. Application of the term [transferred financial assets](#)
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 - d. Effective control
 - e. Application of sale conditions to specific transactions
 - f. Classification of transferred debt securities
 - g. Recognition of a sale in separate-entity financial statements.
 - h. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

· > Scope

- 860-10-55-2** The following guidance addresses whether certain instruments and transactions are subject to the scope of this Subtopic (see Section [860-10-15](#)), specifically:
- a. Examples of transactions and activities that are included in the scope
 - b. Application of the term [transfer](#)
 - c. Application of the term financial asset
 - d. Reacquisition by an entity of its own securities
 - e. Exchange of one form of [beneficial interest](#) for another
 - f. Dollar-roll repurchase transactions
 - g. [Repurchase financing](#).

· · > Examples of Transactions and Activities That Are Included in the Scope

- 860-10-55-3** The guidance in this Topic applies to the following transactions and activities, among others:

- a. All [loan participations](#)
- b. Transfers of equity method investments
- c. Transfers of cost-method investments
- d. With respect to the guidance in paragraph [860-10-40-5](#) only, transfers of financial assets in desecuritization transactions.

PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

The guidance in this Topic applies to the following transactions and activities, among others:

- a. All [loan participations](#)
- b. Transfers of equity method investments
- c. Transfers of investments accounted for in accordance with Topic [321](#) on investments—equity securities
- d. With respect to the guidance in paragraph [860-10-40-5](#) only, transfers of financial assets in desecuritization transactions.

· · > Application of the Term Transfer

860-10-55-4 A payment of cash or a conveyance of noncash financial assets to the holder of a loan or other receivable in full or partial settlement of an obligation is not a transfer under this Subtopic. In addition, a [loan syndication](#) is not a transfer of financial assets. See paragraph [310-10-25-4](#) for further guidance on a loan syndication.

· · > Application of the Term Financial Asset

860-10-55-5 The following implementation guidance addresses whether certain instruments are financial assets, the transfer of which is subject to the guidance in this Subtopic, specifically:

- a. [Lease receivables](#) from [sales-type leases](#) and [direct financing leases](#)
- b. Securitized stranded costs
- c. Judgment from litigation
- d. Forward contract on a financial instrument
- e. Ownership interest in a consolidated subsidiary by its parent if the subsidiary holds nonfinancial assets
- f. Investment in a nonconsolidated investee.

 PENDING CONTENT


Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

The following implementation guidance addresses whether certain instruments are financial assets, the transfer of which is subject to the guidance in this Subtopic, specifically:

- a. [Lease receivables](#) from [sales-type leases](#) and [direct financing leases](#)
- b. Securitized stranded costs
- c. Judgment from litigation
- d. Forward contract on a financial instrument
- e. Ownership interest in a consolidated subsidiary by its parent if the subsidiary holds nonfinancial assets
- f. Investment in a nonconsolidated investee.
- g. Receivables from [contracts](#) with [customers](#).

... > Lease Receivables from Sales-Type and Direct Financing Leases

860-10-55-6 Lease receivables from sales-type and direct financing leases are made up of two components: the right to receive lease payments and guaranteed residual values. Lease payments for sales-type and direct financing leases involve requirements for lessees to pay cash to lessors and meet the definition of a financial asset. Residual values represent the lessor's estimate of the salvage value of the underlying asset at the end of the lease term and may be either guaranteed or unguaranteed. Residual values meet the definition of financial assets to the extent that they are guaranteed at the commencement of the lease. Thus, transfers of lease receivables from sales-type and direct financing leases are subject to the requirements of this Subtopic. [Unguaranteed residual assets](#) do not meet the definition of financial assets, nor do residual values guaranteed after commencement, and transfers of them are not subject to the requirements of this Subtopic.

... > Securitized Stranded Costs

860-10-55-7 The deregulation of utility rates charged for electric power generation has caused electricity-producing entities (utilities) to identify some of their electric power generation operations as stranded costs. Before deregulation, utilities typically expected to be reimbursed for costs through regulation of rates charged to customers. After deregulation, some of these costs may no longer be recoverable through unregulated rates. Hence, such potentially unrecoverable costs often are referred to as stranded costs. However, some of those stranded costs may be recovered through a surcharge or tariff imposed on rate-regulated goods or services provided by another portion of the entity whose pricing remains regulated. Some entities have securitized their enforceable rights to impose that tariff (often referred to as securitized stranded costs), thereby obtaining cash from investors in exchange for the future cash flows to be realized from collecting surcharges imposed on customers of the rate-regulated goods or services.

860-10-55-8 Securitized stranded costs are not financial assets, and therefore transfers of securitized stranded costs are not within the scope of this Subtopic. Securitized stranded costs are not financial assets because they are imposed on ratepayers by a state government or its regulatory commission and, thus, while an enforceable right for the utility, they are not a contractual right to receive payments from another party. To elaborate, while a right to collect cash flows exists, it is not the result of a contract and, thus, not a financial asset.

860-10-55-9 However, [beneficial interests](#) in a [securitization](#) trust that holds nonfinancial assets such as securitized stranded costs or other similar imposed rights would be considered financial assets by the

third-party investors, unless that third party must consolidate the trust. The Variable Interest Entities Subsections of Subtopic [810-10](#) should be applied, together with other guidance on consolidation policy, as appropriate, to determine whether such a special-purpose entity should be consolidated by a third-party investor.

... > Judgment from Litigation

860-10-55-10 A judgment from litigation is generally not a financial asset. However, the determination depends on the facts and circumstances. A contingent receivable that ultimately may require the payment of cash but does not as yet arise from a contract (such as a contingent receivable for a tort judgment) is not a financial asset. However, when that judgment becomes enforceable by a government or a court of law and is thereby contractually reduced to a fixed payment schedule, the judgment would be a financial asset.

860-10-55-11 A judgment from litigation is a financial asset if it is transferred to an unrelated third party and would be within the scope of this Subtopic only if that judgment is enforceable by a government or a court of law and has been contractually reduced to a fixed payment schedule.

... > Forward Contract on a Financial Instrument

860-10-55-12 A forward contract to purchase or sell a financial instrument that must be (or may be) net settled or physically settled by exchanging that financial instrument for cash (or some other financial asset) is a financial asset or [financial liability](#). Therefore, because a forward contract on a financial instrument that must be (or may be) physically settled by the delivery of that financial instrument in exchange for cash is a financial asset or financial liability, the transfer of such a financial asset is within the scope of this Subtopic (see paragraph [405-20-40-1](#) for guidance on extinguishments of liabilities).

... > Ownership Interest in a Consolidated Subsidiary by Its Parent If the Subsidiary Holds Nonfinancial Assets

860-10-55-13 An ownership interest in a consolidated subsidiary is evidence of control of the entity's individual assets and liabilities, not all of which are financial assets, and this guidance only applies to transfers of financial assets. (Note that in the parent's [transferor's] consolidated financial statements, the subsidiary's holdings are reported as individual assets and liabilities instead of as a single investment.) The guidance in this Subtopic does not apply to a transfer of an ownership interest in a consolidated subsidiary by its parent if that consolidated subsidiary holds nonfinancial assets.

... > Investment in a Nonconsolidated Investee

860-10-55-14 An entity (for example, a broker-dealer or an investment company) that carries an investment in a subsidiary at fair value will realize its investment by disposing of it rather than by realizing the values of the underlying assets through operations. Therefore, a transfer of an investment in a subsidiary by that entity is a transfer of the investment (a financial asset), not the underlying assets and liabilities (which might include nonfinancial assets). Generally, the guidance in this Subtopic applies to a transfer of an investment in a controlled entity that has not been consolidated by an entity because that entity accounts for its investment in the controlled entity at fair value.

.. > Receivables from Contracts with Customers

860-10-55-14A
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Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

An entity may have an unconditional right to consideration from a customer that gives rise to a receivable before the entity transfers control of a good or service to the customer. A receivable recognized in accordance with paragraph [606-10-45-4](#) that meets the definition of a financial asset is subject to the requirements of this Subtopic.

· · > **Reacquisition by an Entity of Its Own Securities**

860-10-55-15

A reacquisition by an entity of its own securities by exchanging noncash financial assets (for example, U.S. Treasury bonds or shares of an unconsolidated investee) for its common shares constitutes a distribution by an entity to its owners, as defined in FASB Concepts Statement No. 6, Elements of Financial Statements, and, therefore, is excluded from the scope of this Subtopic.

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Transition Date: P December 16, 2024; N December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

A reacquisition by an entity of its own securities by exchanging noncash financial assets (for example, U.S. Treasury bonds or shares of an unconsolidated investee) for its common shares constitutes a distribution by an entity to its owners and, therefore, is excluded from the scope of this Subtopic.

· · > **Exchange of One Form of Beneficial Interest for Another**

860-10-55-16

A [transferor's](#) exchange of one form of beneficial interests in financial assets that have been transferred into a trust that is consolidated by the transferor for an equivalent, but different, form of beneficial interests in the same transferred financial assets would not be a transfer under this Subtopic if the exchange is with the trust that initially issued the beneficial interests. If the exchange is not a transfer, then the provisions of paragraph [860-20-40-1B](#) would not be applied to the transaction.

· · > **Dollar-Roll Repurchase Transactions**

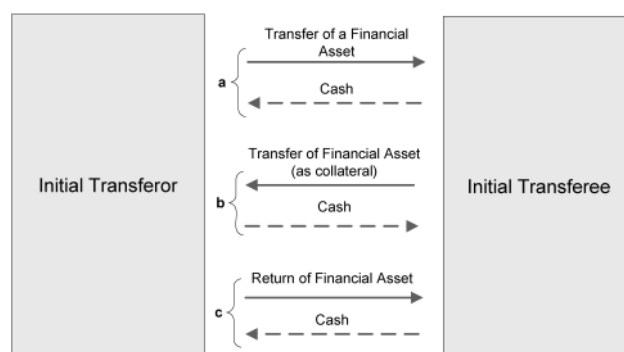
860-10-55-17

A transfer of financial assets under a [dollar-roll repurchase agreement](#) is within the scope of this Subtopic if that agreement arises in connection with a transfer of existing securities. In contrast, dollar-roll repurchase agreements for which the underlying securities being sold do not yet exist or are to be announced (for example, to-be-announced [Government National Mortgage Association \[GNMA\] rolls](#)) are outside the scope of this Subtopic because those transactions do not arise in connection with a transfer of recognized financial assets. See paragraph [860-10-55-60](#) for related guidance.

· · > **Repurchase Financings**

860-10-55-17A

The purpose of this implementation guidance is to illustrate the characteristics of a transaction comprising an initial transfer and a [repurchase financing](#) and to preclude an analogy to other financing transactions that are outside the scope of the guidance in paragraph [860-10-40-4C](#), which states that items (b) through (c) in paragraph [860-10-40-4](#) do not apply to a transfer of financial assets and a related repurchase financing.



860-10-55-17B The diagram in the preceding paragraph depicts the following three transfers of a financial asset that typically occur in the transactions within the scope of the guidance in paragraph [860-10-40-4C](#):

- The initial transferor transfers a financial asset to the initial transferee in return for cash.
- The initial transferee enters into a repurchase financing with the initial transferor. The initial transferee transfers the previously transferred financial asset to the initial transferor as collateral for the financing. The initial transferee receives cash from the initial transferor. As part of the repurchase financing, the initial transferee is obligated to repurchase the financial asset (or substantially the same financial asset) at a fixed price within a prescribed time period.
- The initial transferee makes the required payment to the initial transferor under the terms of the repurchase financing. Upon receipt of payment, the initial transferor returns the transferred asset (or substantially the same asset) to the initial transferee.

860-10-55-17C Whether or not the parties agree to net settle the steps in items (a) and (b) of the preceding paragraph shall not affect whether the transactions are within the scope of the guidance for repurchase financings in paragraph [860-10-40-4C](#).

· > Consolidation of Transferee by Transferor

860-10-55-17D Paragraph [860-10-40-4](#) states that the determination of whether a transferor and its [consolidated affiliates](#) included in the financial statements being presented have surrendered control over transferred financial assets shall first consider whether the transferee would be consolidated by the transferor. If all other provisions of this Topic are met with respect to a particular transfer, and the transferee would be consolidated by the transferor, then the transferred financial assets would not be treated as having been sold in the financial statements being presented. However, if the transferee is a consolidated subsidiary of the transferor (its parent), the transferee shall recognize the transferred financial assets in its separate entity financial statements, unless the nature of the transfer is a secured borrowing with a pledge of collateral (for example, a repurchase agreement that would not be accounted for as a sale under the provisions of paragraph [860-10-40-24](#)).

· > Application of the Term Transferred Financial Assets

· · > Meaning of the Term Entire Financial Asset

860-10-55-17E This implementation guidance addresses the application of what constitutes an entire financial asset.

860-10-55-17F A loan to one borrower in accordance with a single contract that is transferred to a securitization entity before securitization shall be considered an entire financial asset. Similarly, a beneficial interest in securitized financial assets after the securitization process has been completed shall be considered an entire financial asset. In contrast, a transferred interest in an individual loan shall not be considered an entire financial asset; however, if the transferred interest meets the definition of a [participating interest](#), the participating interest would be eligible for sale accounting.

860-10-55-17G In a transaction in which the transferor creates an interest-only strip from a loan and transfers the interest-only strip, the interest-only strip does not meet the definition of an entire financial asset (and an interest-only strip does not meet the definition of a participating interest; therefore, sale accounting would be precluded). In contrast, if an entire financial asset is transferred to a securitization entity that it does not consolidate and the transfer meets the conditions for sale accounting, the transferor may obtain an interest-only strip as proceeds from the sale. An interest-only strip received as proceeds of a sale is an entire financial asset for purposes of evaluating any future transfers that could then be eligible for sale accounting.

860-10-55-17H If multiple advances are made to one borrower in accordance with a single contract (such as a line of credit, credit card loan, or a construction loan), an advance on that contract would be a separate unit of account if the advance retains its identity, does not become part of a larger loan balance, and is transferred in its entirety. However, if the transferor transfers an advance in its entirety and the advance loses its identity and becomes part of a larger loan balance, the transfer would be eligible for sale accounting only if the transfer of the advance does not result in the transferor retaining any interest in the larger balance or if the transfer results in the transferor's interest in the larger balance meeting the definition of a participating interest. Similarly, if the transferor transfers an interest in an advance that has lost its identity, the interest must be a participating interest in the larger balance to be eligible for sale accounting.

· · > Application of the Term Participating Interest

860-10-55-17I Paragraph [860-10-40-6A\(b\)](#) states that an allocation of specified cash flows precludes a portion from meeting the definition of a participating interest unless each cash flow is proportionately allocated to the participating interest holders. Following are several examples implementing that guidance:

- a. In the circumstance of an individual loan in which the borrower is required to make a contractual payment that consists of a principal amount and interest amount on the loan, the transferor and transferee shall share in the principal and interest payments on the basis of their proportionate ownership interest in the loan.
- b. In contrast, if the transferor is entitled to receive an amount that represents the principal payments and the transferee is entitled to receive an amount that represents the interest payments on the loan, that arrangement would not be consistent with the participating interest definition because the transferor and transferee do not share proportionately in the cash flows received from the loan.
- c. In other circumstances, a transferor may transfer a portion of an individual loan that represents either a senior interest or a junior interest in an individual loan. In both of those circumstances, the transferor would account for the transfer as a secured borrowing because the senior interest or junior interest in the loan do not meet the requirements to be participating interests (see paragraph [860-10-40-6A\(c\)](#)).

860-10-55-17J Given the conditions in paragraph [860-10-40-6A\(b\)\(1\)](#), cash flows allocated as compensation for services performed that are significantly above an amount that would fairly compensate a substitute service provider would result in a disproportionate division of cash flows of the entire financial asset among the participating interest holders and, therefore, would preclude the portion of a transferred financial asset from meeting the definition of a participating interest. Examples of cash flows that are compensation for services performed include all of the following:

- a. [Loan origination fees](#) paid by the borrower to the transferor
- b. Fees necessary to arrange and complete the transfer paid by the transferee to the transferor
- c. Fees for servicing the financial asset.

860-10-55-17K The transfer of a portion of an entire financial asset may result in a gain or loss on the transfer if the contractual interest rate on the entire financial asset differs from the market rate at the time of transfer. Paragraph [860-10-40-6A\(b\)\(2\)](#) precludes a portion from meeting the definition of a

participating interest if the transfer results in the transferor receiving an ownership interest in the financial asset that permits it to receive disproportionate cash flows. For example, if the transferor transfers an interest in an entire financial asset and the transferee agrees to incorporate the excess interest (between the contractual interest rate on the financial asset and the market interest rate at the date of transfer) into the contractually specified servicing fee, the excess interest would likely result in the conveyance of an interest-only strip to the transferor from the transferee. An interest-only strip would result in a disproportionate division of cash flows of the financial asset among the participating interest holders and would preclude the portion from meeting the definition of a participating interest.

860-10-55-17L Paragraph [860-10-40-6A\(c\)](#) addresses the priority of cash flows. In certain transfers, recourse is provided to the transferee that requires the transferor to reimburse any premium paid by the transferee if the underlying financial asset is prepaid within a defined time frame of the transfer date. Such recourse would preclude the transferred portion from meeting the definition of a participating interest. However, once the recourse provision expires, the transferred portion shall be reevaluated to determine if it meets the participating interest definition.

860-10-55-17M Paragraph [860-10-40-6A\(c\)](#) addresses recourse in a participating interest. Recourse in the form of an independent third-party guarantee shall be excluded from the evaluation of whether the participating interest definition is met. Similarly, cash flows allocated to a third-party guarantor for the guarantee fee shall be excluded from the determination of whether the cash flows are divided proportionately among the participating interest holders.

860-10-55-17N Examples of [standard representations and warranties](#) (as used in paragraph [860-10-40-6A\(c\)](#)) include representations and warranties about any of the following:

- a. The characteristics, nature, and quality of the underlying financial asset, including any of the following:
 1. Characteristics of the underlying borrower
 2. The type and nature of the collateral securing the underlying financial asset.
- b. The quality, accuracy, and delivery of documentation relating to the transfer and the underlying financial asset
- c. The accuracy of the transferor's representations in relation to the underlying financial asset.

· > Isolation of Transferred Financial Assets

860-10-55-18 This implementation guidance addresses the isolation condition in paragraph [860-10-40-5\(a\)](#) and applies to transfers of all entities, including institutions for which the FDIC would be the receiver.

860-10-55-18A In the context of U.S. bankruptcy laws, a true sale opinion from an attorney is often required to support a conclusion that transferred financial assets are isolated from the transferor, any of its consolidated affiliates included in the financial statements being presented, and its creditors. In addition, a nonconsolidation opinion is often required if the transfer is to an affiliated entity. In the context of U.S. bankruptcy laws:

- a. A true sale opinion is an attorney's conclusion that the transferred financial assets have been sold and are beyond the reach of the transferor's creditors and that a court would conclude that the transferred financial assets would not be included in the transferor's bankruptcy estate.
- b. A nonconsolidation opinion is an attorney's conclusion that a court would recognize that an entity holding the transferred financial assets exists separately from the transferor. Additionally, a nonconsolidation opinion is an attorney's conclusion that a court would not order the substantive consolidation of the assets and liabilities of the entity holding the transferred financial assets and the assets and liabilities of the transferor (and its consolidated affiliates included in the financial statements being presented) in the event of the transferor's bankruptcy or receivership.

- 860-10-55-18B** A legal opinion may not be required if a transferor has a reasonable basis to conclude that the appropriate legal opinion(s) would be given if requested. For example, the transferor might reach a conclusion without consulting an attorney if either of the following conditions exists:
- The transfer is a routine transfer of financial assets that does not result in any continuing involvement by the transferor.
 - The transferor had experience with other transfers with similar facts and circumstances under the same applicable laws and regulations.
- 860-10-55-18C** For entities that are subject to other possible bankruptcy, conservatorship, or other receivership procedures (for example, banks subject to receivership by the Federal Deposit Insurance Corporation [FDIC]) in the United States or other jurisdictions, judgments about whether transferred financial assets have been isolated shall be made in relation to the powers of bankruptcy courts or trustees, conservators, or receivers in those jurisdictions.
- 860-10-55-19** In certain securitizations, a corporation that, if it failed, would be subject to the U.S. Bankruptcy Code transfers financial assets to a securitization entity in exchange for cash. The entity raises that cash by issuing to investors beneficial interests that pass through all cash received from the financial assets, and the transferor has no further involvement with the trust or the transferred financial assets. Those securitizations generally would be judged as having isolated the assets because, in the absence of any continuing involvement there would be reasonable assurance that the transfer would be found to be a true sale at law that places the assets beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors, even in bankruptcy or other receivership.
- 860-10-55-20** In other securitizations, a similar corporation transfers financial assets to a securitization entity in exchange for cash and beneficial interests in the transferred financial assets. That entity raises the cash by issuing to investors commercial paper that gives them a senior beneficial interest in cash received from the financial assets. The beneficial interests obtained by the transferring corporation represent a junior interest to be reduced by any credit losses on the financial assets in the entity. The senior beneficial interests (commercial paper) are highly rated by credit rating agencies only if both the credit enhancement from the junior interest is sufficient and the transferor is highly rated.
- 860-10-55-21** Depending on facts and circumstances, those single-step securitizations often would be judged in the United States as not having isolated the financial assets, because the nature of the continuing involvement may make it difficult to obtain reasonable assurance that the transfer would be found to be a true sale at law that places the financial assets beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors in U.S. bankruptcy (see paragraph [860-10-55-46](#)). If the transferor fell into bankruptcy and the transfer was found not to be a true sale at law, investors in the transferred financial assets might be subjected to an automatic stay that would delay payments due them, and they might have to share in bankruptcy expenses and suffer further losses if the transfer was recharacterized as a secured loan.
- 860-10-55-22** Other securitizations use multiple transfers intended to isolate transferred financial assets beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors, even in bankruptcy. The series of transactions in a typical two-tier structure taken as a whole may satisfy the isolation test because the design of the structure achieves isolation. The two-step securitizations, taken as a whole, generally would be judged under present U.S. law as having isolated the financial assets beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, and its creditors, even in bankruptcy or other receivership. However, each entity involved in a transfer should be evaluated under the consolidation guidance in Topic [810](#). Accordingly, a transferor could be required to consolidate the trust or other legal vehicle used in the second step of the securitization, notwithstanding the isolation analysis of the transfer.

860-10-55-23 For example, two-step structures involve the following:

- a. First, the corporation transfers a group of financial assets to a special-purpose corporation that, although wholly owned, is so designed that the possibility is remote that the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, or its creditors could reclaim the financial assets. This first transfer is designed to be judged to be a true sale at law, in part because the transferor does not provide excessive credit or yield protection to the special-purpose corporation, and the transferred financial assets are likely to be judged beyond the reach of the transferor, its consolidated affiliates (that are not bankruptcy-remote entities) included in the financial statements being presented, or the transferor's creditors even in bankruptcy or other receivership.
- b. Second, the special-purpose corporation transfers a group of financial assets to a trust or other legal vehicle with a sufficient increase in the credit or yield protection on the second transfer (provided by a transferor's junior beneficial interest or other means) to merit the high credit rating sought by third-party investors who buy senior beneficial interests in the trust. Because of that aspect of its design, that second transfer might not be judged to be a true sale at law and, thus, the transferred financial assets could at least in theory be reached by a bankruptcy trustee for the special-purpose corporation.
- c. However, the special-purpose corporation is designed to make remote the possibility that it would enter bankruptcy, either by itself or by substantive consolidation into a bankruptcy of its parent should that occur. For example, its charter forbids it from undertaking any other business or incurring any liabilities, so that there can be no creditors to petition to place it in bankruptcy. Furthermore, its dedication to a single purpose is intended to make it extremely unlikely, even if it somehow entered bankruptcy, that a receiver under the U.S. Bankruptcy Code could reclaim the transferred financial assets because it has no other assets to substitute for the transferred financial assets.

860-10-55-24 The powers of receivers for entities not subject to the U.S. Bankruptcy Code (for example, banks subject to receivership by the Federal Deposit Insurance Corporation [FDIC]) vary considerably, and therefore some receivers may be able to reach financial assets transferred under a particular arrangement and others may not. A securitization may isolate transferred financial assets from a transferor subject to such a receiver and its creditors even though it is accomplished by only one transfer directly to a securitization entity that issues beneficial interests to investors and the transferor provides credit or yield protection. For entities that are subject to other possible bankruptcy, conservatorship, or other receivership procedures in the United States or other jurisdictions, judgments about whether transferred financial assets have been isolated need to be made in relation to the powers of bankruptcy courts or trustees, conservators, or receivers in those jurisdictions.

860-10-55-24A Depending on the facts and circumstances, transferred financial assets can be isolated from the transferor if the Federal Deposit Insurance Corporation (FDIC) would be the receiver should the transferor fail. In July 2000, the FDIC adopted a final rule (subsequently amended), *Treatment by the Federal Deposit Insurance Corporation as Conservator or Receiver of Financial Assets Transferred by an Insured Depository Institution in Connection with a Securitization or Participation*. The final amended rule modifies the FDIC's receivership powers so that, subject to certain conditions, it shall not recover, reclaim, or recharacterize as property of the institution or the receivership any financial assets transferred by an insured depository institution that meet all conditions for sale accounting treatment under GAAP, other than the *legal isolation* condition in connection with a securitization or participation.

860-10-55-24B Financial assets transferred by an entity subject to possible receivership by the FDIC are isolated from the transferor if the FDIC or another creditor either cannot require return of the transferred financial assets or can only require return in receivership, after a default, and in exchange for payment of, at a minimum, principal and interest earned (at the contractual yield) to the date investors are paid.

860-10-55-25 Conversely, financial assets transferred by an entity shall not be considered isolated from the transferor if circumstances can arise under which the transferor can require their return, but only in exchange for payment of principal and interest earned (at the contractual yield) to the date investors are paid, unless the transferor's power to require the return of the transferred financial assets arises solely from a contract with the transferee. A noncontractual power to require the return of transferred assets is inconsistent with the limitations in paragraph [860-10-40-5\(a\)](#) that, to be accounted for as having been sold, transferred financial assets shall be isolated from the transferor. That is the circumstance even if the noncontractual power appears unlikely to be exercised or is dependent on the uncertain future actions of other entities (for example, insufficiency of collections on underlying transferred financial assets or determinations by court of law). Under that guidance, a single-step securitization commonly used by financial institutions subject to receivership by the FDIC and sometimes used by other entities is likely not to be judged as having isolated the assets. One reason for that is because it would be difficult to obtain reasonable assurance that the transferor would be unable to recover the transferred financial assets under the [equitable right of redemption](#) available to secured debtors, after default, under U.S. law.

860-10-55-25A For entities that are subject to possible receivership under jurisdictions other than the FDIC or the U.S. Bankruptcy Code, whether assets transferred by an entity can be considered isolated from the transferor depends on the circumstances that apply to those types of entities. As discussed in paragraph [860-10-55-24](#), for entities that are subject to other possible bankruptcy, conservatorship, or other receivership procedures in the United States or other jurisdictions, judgments about whether transferred financial assets have been isolated need to be made in relation to the powers of bankruptcy courts or trustees, conservators, or receivers in those jurisdictions. The same sorts of judgments may need to be made in relation to powers of the transferor or its creditors.

· > Transferee's Right to Pledge or Exchange Transferred Financial Assets

860-10-55-26 The following provides implementation guidance on the application of the condition in paragraph [860-10-40-5\(b\)](#) related to the transferee's right to pledge or exchange transferred assets in certain circumstances and transactions, specifically:

- a. Transferee is precluded from exchanging the transferred financial assets but has the unconstrained right to pledge them.
- b. Transferee is significantly limited in its ability to pledge or exchange the transferred financial assets.
- c. Transferor's approval is required for transferee's subsequent transfers or pledges.
- d. Transactions involving Rule 144A securities.

· · > Transferee Is Precluded from Exchanging the Transferred Financial Assets but Has the Unconstrained Right to Pledge Them

860-10-55-27 In a transaction in which a transferee (that is not an entity whose sole purpose is to engage in securitization or asset-backed financing activities) is precluded from exchanging the transferred financial assets but obtains the unconstrained right to pledge them, the determination of whether the sale condition in paragraph [860-10-40-5\(b\)](#) is met depends on the facts and circumstances. In a transfer of financial assets, a transferee's right to both pledge and exchange transferred financial assets suggests that the transferor has surrendered its control over those financial assets. However, more careful analysis is warranted if the transferee may only pledge the transferred financial assets.

· · > Transferee Is Significantly Limited in Its Ability to Pledge or Exchange the Transferred Financial Assets with No Continuing Involvement

860-10-55-28 An entity transfers financial assets to a transferee that is significantly limited in its ability to pledge or exchange the transferred financial assets (the transferee is not an entity whose sole purpose is to

engage in securitization or asset-backed financing activities). The transferor receives cash in return for the transferred financial assets, and has no [continuing involvement](#) with the transferred assets. The transfer described in this example meets the condition in paragraph [860-10-40-5\(b\)](#).

860-10-55-29 While the condition in paragraph [860-10-40-5\(b\)](#) is met in the example described in the previous paragraph, in general, for transfers in which the transferor does have any continuing involvement, an evaluation shall be made as to whether the condition in paragraph [860-10-40-5\(b\)](#) has been met.

860-10-55-30 For a transfer to fail to meet the condition in paragraph [860-10-40-5\(b\)](#), the transferee must be constrained from pledging or exchanging the transferred financial asset and the transferor must receive more than a trivial benefit as a result of the constraint.

· · > Transferor's Approval Required for Transferee's Subsequent Transfers or Pledges

860-10-55-31 Judgment is necessary to determine whether a requirement to obtain the transferor's permission to sell or exchange should preclude sale accounting. For example, in certain [loan participation](#) agreements involving transfers of participating interests, the transferor is required to approve any subsequent transfers or pledges of the interests in the loans held by the transferee. Whether that requirement would be a constraint that would prevent the transferee from taking advantage of its right to pledge or to exchange the transferred financial asset and, therefore, accounting for the transfer as a sale, depends on the nature of the requirement for approval.

860-10-55-32 A prohibition on sale to the transferor's competitor may or may not constrain a transferee from pledging or exchanging the financial asset, depending on how many other potential buyers exist. If there are many other potential willing buyers, the prohibition would not be constraining. In contrast, if that competitor were the only potential willing buyer (other than the transferor), then the condition would be constraining.

· · > Transactions Involving Rule 144A Securities

860-10-55-33 Issuing beneficial interests in the form of securities issued under Rule 144A presumptively would not constrain a transferee's ability to transfer those beneficial interests for purposes of this Subtopic. The primary limitation imposed by Rule 144A is that a potential buyer must be a sophisticated investor. If a large number of qualified buyers exist, the holder could transfer those securities to many potential buyers and, thereby, realize the full economic benefit of the assets. In such circumstances, the requirements of Rule 144A would not be a constraint that precludes sale accounting under paragraph [860-10-40-5\(b\)](#).

· > Effective Control

860-10-55-34 The following provides implementation guidance related to the effective control condition and related examples in paragraph [860-10-40-5\(c\)](#), specifically:

- a. An agreement that both entitles and obligates the transferor to repurchase or redeem the transferred financial assets before their maturity (see paragraph [860-10-40-5\(c\)\(1\)](#)):
 1. Whether [financial assets](#) exchanged are substantially the same
 2. [Subparagraph superseded by Accounting Standards Update No. 2011-03.](#)
- b. An agreement that provides the transferor with the [unilateral ability](#) to cause the holder to return specific financial assets, other than through a cleanup call (see paragraph [860-10-40-5\(c\)\(2\)](#)):
 1. Rights to reacquire (call) transferred assets.

- c. An agreement that permits the transferee to require the transferor to repurchase the transferred financial asset at a price that is so favorable to the transferee that it is probable that the transferee will require the transferor to repurchase the transferred financial asset.

· · > Whether Securities Exchanged Are Substantially the Same

860-10-55-35 This guidance addresses criteria that must be met for a transfer to fail the condition in paragraph [860-10-40-5\(c\)](#) through an agreement of the type described in paragraph [860-10-40-5\(c\)\(1\)](#), precluding sale accounting and resulting, instead, in secured-borrowing accounting. The following are examples of whether securities exchanged are substantially the same as discussed in paragraph [860-10-40-24](#):

- a. The same primary obligor (see paragraph [860-10-40-24\(a\)\(1\)](#)). The exchange of pools of single-family loans would not meet this criterion because the mortgages comprising the pool do not have the same primary obligor, and would therefore not be considered substantially the same.
- b. Identical form and type (see paragraph [860-10-40-24\(a\)\(2\)](#)). The following exchanges would not meet this criterion:
 1. GNMA I securities for GNMA II securities
 2. Loans to foreign debtors that are otherwise the same except for different U.S. foreign tax credit benefits (because such differences in the tax receipts associated with the loans result in instruments that vary in form and type)
 3. Commercial paper for redeemable preferred stock.
- c. The same maturity (or in the case of mortgage-backed pass-through and pay-through securities, similar remaining weighted-average maturities that result in approximately the same market yield) (see paragraph [860-10-40-24\(a\)\(3\)](#)). The exchange of a fast-pay GNMA certificate (that is, a certificate with underlying mortgage loans that have a high prepayment record) for a slow-pay GNMA certificate would not meet this criterion because differences in the expected remaining lives of the certificates result in different market yields.
- d. Similar assets as [collateral](#) (see paragraph [860-10-40-24\(a\)\(5\)](#)). Mortgage-backed pass-through and pay-through securities must be collateralized by a similar pool of mortgages, such as single-family residential mortgages, to meet this characteristic.

· · > Collateral Maintenance Provisions

860-10-55-36 Paragraphs [860-10-55-36 through 55-38](#) superseded by Accounting Standards Update No. 2011-03.

· · > Rights to Reacquire (Call) Transferred Assets

860-10-55-39 Rights or obligations to reacquire transferred financial assets may result in the transferor's maintaining effective control over the transferred assets, therefore precluding sale accounting under paragraph [860-10-40-5\(c\)](#). The following guidance addresses how different types of rights of a transferor to reacquire (call) transferred assets affect sale accounting, specifically:

- a. Removal-of-accounts provisions (see paragraphs [860-10-40-36 through 40-39](#))
- b. Call options (see paragraphs [860-10-40-28](#) and [860-10-40-34](#))
- c. Other arrangements.

860-10-55-40 Paragraph superseded by Accounting Standards Update No. 2009-16.

· · · > Removal-of-Accounts Provisions

860-10-55-41 The following are examples of application of effective control principles to removal-of-accounts provisions:

- a. An unconditional removal-of-accounts provision that allows the transferor to specify the financial assets that may be removed from a group of financial assets precludes sale accounting for all financial assets in the group that might be specified if such a provision allows the transferor unilaterally to remove specific financial assets and provides a more-than-trivial benefit to the transferor (see paragraph [860-10-40-37\(a\)](#)), even if the transferor's right to remove specific financial assets from a group of transferred financial assets is limited, for example, to 10 percent of the fair value of the financial assets transferred and all of the financial assets are smaller than that 10 percent. In that circumstance, none of the transferred financial assets would be derecognized at the time of transfer because no transferred financial asset is beyond the reach of the transferor. If the transferor reclaims all the financial assets it can and thereby extinguishes its option, its control has expired and the rest of the financial assets have been sold at that time.
- b. A removal-of-accounts provision that provides the right to random removal of excess financial assets from a group of transferred financial assets up to 10 percent of the fair value of the financial assets transferred (all financial assets in the group are less than this 10 percent of the fair value of transferred financial assets) does not preclude sale accounting if the transferor has no other interest in the group. The transferor has, in essence, obtained a 10 percent beneficial interest in the group and should account for it as such. This treatment is permitted because the removal-of-accounts provision is sufficiently limited and the transferor cannot unilaterally remove specific transferred financial assets, because the timing of the removal (when the excess develops) and the assets being removed (which are randomly determined) are not under the control of the transferor (see paragraph [860-10-40-38](#)).
- c. A removal-of-accounts provision conditioned on a transferor's decision to exit some portion of its business precludes sale accounting for all financial assets that might be affected, because it permits the transferor unilaterally to remove specific financial assets and provides a more-than-trivial-benefit to the transferor (see paragraph [860-10-40-37\(b\)](#)).
- d. A removal-of-accounts provision for defaulted receivables does not preclude sale accounting at the time of transfer, because the removal would be allowed only after a third party's action (default) and could not be caused unilaterally by the transferor (see paragraph [860-10-40-38\(b\)](#)). However, once the default has occurred, the transferor would have the unilateral ability to remove those specific financial assets and would need to recognize the defaulted receivable if that ability provides a more-than-trivial benefit to the transferor.
- e. A removal-of-accounts provision conditioned on a third-party cancellation, or expiration without renewal, of an affinity or private-label arrangement does not preclude sale accounting at the time of transfer, because the removal would be allowed only after a third party's action (cancellation) or decision not to act (expiration) and could not be caused unilaterally by the transferor (see paragraph [860-10-40-38\(c\)](#)). However, once the cancellation or expiration has occurred, the transferor would have the unilateral ability to remove specific financial assets and would need to recognize those financial assets if that ability provides a more-than-trivial benefit to the transferor.
- f. Because the transferor could not cause the reacquisition unilaterally a transferor does not maintain effective control through a removal-of-accounts provision that obligates the transferor to reacquire transferred financial assets from a securitization entity only after either:
 1. A specified failure of the servicer to properly service the transferred financial assets that could result in the loss of a third-party guarantee
 2. Third-party beneficial interest holders require a securitization entity to repurchase that beneficial interest.

... > Call Options

860-10-55-42 The following are other examples of the application of effective control principles:

- a. In a loan participation, the lead bank (that is also the transferor) allows the participating bank to resell but reserves the right to call at any time from whoever holds it and can enforce the call option by cutting off the flow of interest at the call date; such a call option precludes sale accounting.
- b. In a securitization, a call option permits the transferor to reclaim all of the transferred financial assets from the securitization entity at any time; such a call option precludes sale accounting unless both of the following conditions exist:
 - 1. The call option is an option to call, at fair value, a financial asset that is readily obtainable in the marketplace.
 - 2. The transferor does not hold a residual beneficial interest in the transferred financial assets (see paragraph [860-10-40-35](#)).
- c. A transferor-servicer transfers a group of entire financial assets to a securitization entity and has the right to call all of the financial assets when the group amortizes to 20 percent of its value (determined at the date of transfer). The transferor-servicer determines that at that level of financial assets, its cost of servicing them would not be burdensome in relation to the benefits of servicing, and therefore that the call option is not a cleanup call. Such a call option precludes sale accounting for the entire group of transferred financial assets (see paragraph [860-10-55-70](#)).
- d. If the third-party beneficial interests contain an embedded option and the transferor holds the residual interest in the securitization entity, the combination has the same kind of effective control as a scheduled auction provision if the transferor holds a residual beneficial interest. Sale accounting would be precluded for all of the transferred financial assets affected by the call option.
- e. If the third-party beneficial interests in a securitization entity pay off first (a so-called turbo structure, where principal payments and prepayments are allocated on a non-pro rata basis, as discussed in paragraph [860-10-05-13](#)), the transferor may not maintain effective control over transferred financial assets (see paragraph [860-10-40-32](#)). To some extent, these repayments are contractual cash flows of the underlying assets, but repayments also result from prepayments in the underlying assets (that is, the prepayment options in the underlying assets are mirrored in the third-party beneficial interests). In this circumstance, call options embedded in the third-party beneficial interests result from the options embedded in the underlying assets (that is, they are held by the underlying borrowers rather than the transferor), and thus do not preclude sale accounting.
- f. A transferor's contractual right to repurchase, at any time, a loan that is not a readily obtainable financial asset would preclude sale accounting, because the transferor's contractual right to repurchase is effectively a call option of the type described in paragraph [860-10-40-17\(c\)\(2\)](#).

860-10-55-42A This guidance illustrates the concept in paragraph [860-10-40-35](#) that a transferor maintains effective control if it has a right to reclaim specific transferred assets by paying fair value and also holds the residual interest in the transferred financial assets. If a transferor holds the residual interest in securitized financial assets and can reclaim the transferred financial assets at termination of the securitization entity by purchasing them in an auction, and thus at what might appear to be fair value, then sale accounting for the transfer of those financial assets it can reclaim would be precluded. Such circumstances provide the transferor with a more-than-trivial benefit and effective control over the financial assets, because it can pay any price it chooses in the auction and recover any excess paid over fair value through its residual interest in the transferred financial assets.

860-10-55-42B Sale accounting is not appropriate if a cleanup call on a group of financial assets in a securitization entity is held by a party other than the servicer. A transferor's call option on the transferred financial assets in the securitization entity is not a cleanup call for accounting purposes because it is not the servicer or an affiliate of the servicer, in which the fair value of beneficial interests obtained by a transferor of financial assets that is not the servicer or an affiliate of the servicer is adversely affected by the amount of transferred financial assets declining to a low level.

 PENDING CONTENT


Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

Sale accounting is not appropriate if a cleanup call on a group of financial assets in a securitization entity is held by a party other than the servicer. A transferor's call option on the transferred financial assets in the securitization entity is not a cleanup call for accounting purposes because it is not the servicer or an affiliate of the servicer. This is the case even when the fair value of beneficial interests obtained by a transferor of financial assets that is not the servicer or an affiliate of the servicer is adversely affected by the amount of transferred financial assets declining to a low level.

860-10-55-42C In a securitization transaction involving not-readily-obtainable financial assets, a transferor that is also the servicer may hold a cleanup call if it enters into a subservicing arrangement with a third party without precluding sale accounting. Under a subservicing arrangement, the transferor remains the servicer from the perspective of the securitization entity because the securitization entity does not have an agreement with the subservicer (that is, the transferor remains liable if the subservicer fails to perform under the subservicing arrangement). However, if the transferor sells the servicing rights to a third party (that is, the agreement for servicing is between the securitization entity and the third party after the sale of the servicing rights), then the transferor could not hold a cleanup call without precluding sale accounting.

... > Other Arrangements

860-10-55-42D This implementation guidance addresses the application of paragraph [860-10-40-5\(c\)\(3\)](#) through the following examples:

- a. A put option written to the transferee generally does not provide the transferor with effective control over the transferred financial asset under paragraph [860-10-40-5\(c\)\(3\)](#).
- b. A put option that is sufficiently deep in the money when it is written would, under that paragraph, provide the transferor effective control over the transferred financial asset because it is probable that the transferee will exercise the option and the transferor will be required to repurchase the transferred financial asset.
- c. A sufficiently out-of-the-money put option held by the transferee would not provide the transferor with effective control over the transferred financial asset if it is probable when the option is written that the option will not be exercised.
- d. A put option held by the transferee at fair value would not provide the transferor with effective control over the transferred financial asset.

· > Application of Sale Conditions to Specific Transactions

860-10-55-43 The following provides implementation guidance regarding the application of the sale conditions in paragraph [860-10-40-5](#) to certain transactions, specifically:

- a. Pass-through, pay-through, and [revolving-period securitizations](#)
- b. Factoring arrangements
- c. Transfers of receivables with recourse
- d. Securities lending transactions
- e. Repurchase agreements
- f. Wash sales
- g. Dollar rolls

- h. Loan participations
- i. Banker's acceptances and risk participations in them
- j. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
- k. Transfers involving certain transferor powers
- l. Transferor option to repurchase individual financial assets
- m. Transfer of a short-term loan made under a long-term credit commitment
- n. Transfer of bad-debt recovery rights.
- o. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

· · > Pass-Through, Pay-Through, and Revolving-Period Securitizations

860-10-55-44 Paragraphs [860-10-05-7 through 05-13](#) provide background on securitization transactions. In pass-through and pay-through securitizations, receivables are transferred to the entity at the inception of the securitization, and no further transfers are made; all cash collections are paid to the holders of beneficial interests in the entity. Pass-through, pay-through, and revolving-period securitizations that meet the conditions in paragraph [860-10-40-5](#) qualify for sale accounting under this Subtopic, provided the securitization entity is not consolidated by the transferor or its consolidated affiliates in the financial statements being presented.

· · > Factoring Arrangements

860-10-55-45 Paragraph [860-10-05-14](#) provides background on factoring arrangements. Factoring arrangements that meet the conditions in paragraph [860-10-40-5](#) shall be accounted for as sales of financial assets because the transferor surrenders control over the receivables to the factor.

· · > Transfers of Receivables with Recourse

860-10-55-46 Paragraph [860-10-05-15](#) provides background on transfers of receivables with recourse. The effect of a recourse provision on the application of paragraph [860-10-40-5](#) may vary by jurisdiction. In some jurisdictions, transfers with full recourse may not place transferred financial assets beyond the reach of the transferor, its consolidated affiliates (that are not entities designed to make remote the possibility that it would enter bankruptcy or other receivership) included in the financial statements being presented, and its creditors, but transfers with limited recourse may.

a. Transfer consists of an entire financial asset or a group of entire financial assets. Before the method of recourse can be evaluated to determine the appropriate accounting treatment, the entity shall first determine whether a sale has occurred because in some jurisdictions recourse might mean that the transferred financial assets have not been isolated beyond the reach of the transferor, its consolidated affiliates (that are not entities designed to make remote the possibility that it would enter bankruptcy or other receivership) included in the financial statements being presented, and its creditors. A transfer of receivables in their entireties with recourse shall be accounted for as a sale, with the proceeds of the sale reduced by the fair value of the recourse obligation, if the conditions in paragraph [860-10-40-5](#) are met. Otherwise, a transfer of receivables with recourse shall be accounted for as a secured borrowing.

b. Transfer does not consist of an entire financial asset or a group of entire financial assets. The transferred financial asset must meet the definition of a [participating interest](#). A transfer of a portion of a receivable with recourse, other than that permitted in paragraph [860-10-40-6A\(c\)\(4\)](#), does not meet the requirements of a participating interest and shall be accounted for as a secured borrowing.

860-10-55-47 See paragraph [860-20-55-24](#) for further guidance on accounting for transfers of receivables with recourse.

860-10-55-48 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-55-49 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-55-50 Paragraph superseded by Accounting Standards Update No. 2014-11.

· · > Repurchase Agreements and Securities Lending Transactions

860-10-55-51 Paragraphs [860-10-05-19 through 05-21](#) provide background on repurchase agreements. Paragraphs [860-10-05-16 through 05-18](#) provide background on securities lending transactions. Repurchase agreements and securities lending transactions are required to be evaluated under each of the following conditions for derecognition in accordance with paragraph [860-10-40-5](#):

- a. Isolation. Paragraph [860-10-40-5\(a\)](#) requires an assessment of whether the transferred [financial assets](#) are isolated from the transferor. Paragraphs [860-10-40-5\(a\)](#) and [860-10-40-8](#) require that the transferred financial assets be placed beyond the reach of all consolidated affiliates, except for certain bankruptcy-remote entities, included in the financial statements being presented.
- b. Transferee's rights to pledge or exchange. Paragraph [860-10-40-5\(b\)](#) requires an assessment of the transferee's rights to pledge or exchange the transferred financial assets. If a transferor has transferred financial assets to an independent third-party custodian, or to a transferee, under conditions that preclude the transferee from selling or repledging the assets during the term of the repurchase agreement, the transferor has not surrendered control over those assets. In a securities lending transaction, to the extent that the collateral consists of letters of credit or other financial instruments that the holder is not permitted by contract or custom to sell or repledge, the transaction does not satisfy the sale conditions and is accounted for as a loan of securities by the transferor to the transferee.
- c. Effective control. Paragraph [860-10-40-5\(c\)](#) requires an assessment of whether the transferor maintains effective control over transferred financial assets. An agreement that both entitles and obligates the transferor to repurchase transferred financial assets from the transferee in accordance with paragraph [860-10-40-5\(c\)\(1\)](#) that meets the criteria in paragraph [860-10-40-24](#) maintains the transferor's effective control over transferred financial assets. Therefore, transfers with agreements to repurchase transferred financial assets that either meet the effective control criteria or qualify for the [repurchase-to-maturity transaction](#) exception need not be assessed under the remaining conditions for derecognition and should be accounted for as a secured borrowing. Paragraph [860-10-55-51A](#) illustrates the application of the effective control condition in paragraph [860-10-40-5\(c\)\(1\)](#).

Repurchase agreements and securities lending transactions that do not meet all the conditions in paragraph [860-10-40-5](#) should be treated as secured borrowings.

860-10-55-51A Under certain agreements to repurchase transferred financial assets before their maturity, the transferor maintains effective control over the transferred financial assets. If effective control is maintained or the transaction qualifies for the [repurchase-to-maturity transaction](#) exception, the agreement is accounted for as a secured borrowing. If effective control is not maintained or the repurchase-to-maturity transaction exception is not met, the transaction would be assessed under the other derecognition conditions in paragraph [860-10-40-5](#) to determine if the transferred financial asset should be derecognized and accounted for as a sale.

860-10-55-51B The following illustrates the application of the derecognition guidance in paragraphs [860-10-40-24 through 40-24A](#):

a. Repurchase agreements and securities lending transactions—assets that are identical. The following illustrates agreements for which the transferor maintains effective control over the transferred financial asset:

1. A financial asset is transferred under a contemporaneous agreement with the same counterparty that requires the transferor to repurchase or redeem it before its maturity at a fixed price or at the sale price plus or minus a lender's return.

2. A financial asset is transferred under a securities lending transaction that requires the transferee to return to the transferor the identical asset before its maturity at a fixed price.

b. Repurchase agreements and securities lending transactions—assets that are substantially the same. The following illustrates agreements for which the transferor maintains effective control over the transferred financial asset:

1. A financial asset is transferred under a contemporaneous agreement with the same counterparty to repurchase or redeem an asset that is substantially the same as the initially transferred asset (in accordance with paragraph [860-10-40-24\(a\)](#)) before its maturity at a fixed price or at the sale price plus or minus a lender's return.

2. A financial asset is transferred under a securities lending transaction that requires the transferee to return to the transferor an asset that is substantially the same as the initially transferred financial asset (in accordance with paragraph [860-10-40-24\(a\)](#)) before its maturity at a fixed price.

3. Fixed-coupon and dollar-roll repurchase agreements, and other contracts under which the securities to be repurchased are substantially the same in accordance with paragraph [860-10-40-24\(a\)](#) as the securities initially transferred.

c. Repurchase-to-maturity transactions. A repurchase-to-maturity transaction is accounted for as a secured borrowing as if it maintains the transferor's effective control over the transferred financial asset. A transfer of a financial asset with a contemporaneous total return swap to maturity does not meet the definition of *repurchase-to-maturity transaction*.

d. Cash-settled repurchase agreements. If a financial asset is transferred under a contemporaneous agreement with the same counterparty to repurchase or redeem it before its maturity at a fixed repurchase price or a price equal to the sale price plus or minus a lender's return and the agreement requires the transferee to settle the agreement in cash, the agreement does not maintain the transferor's effective control over the transferred financial assets. An exception is a repurchase-to-maturity transaction as discussed in (c).

860-10-55-52 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-55-53 Paragraph superseded by Accounting Standards Update No. 2014-11.

860-10-55-54 In repurchase agreements and securities lending transactions involving readily obtainable held-to-maturity debt securities, the conditions set forth in paragraph [860-10-40-24](#) should be carefully evaluated to determine whether the transaction should be accounted for as a sale or secured borrowing. For example, if the security that is required to be returned has a different maturity or has a different contractual interest rate from the transferred security, the substantially-the-same criterion would not be met. In that circumstance, effective control would not be maintained under the condition in paragraph [860-10-40-5\(c\)](#) and the transfer would be accounted for as a sale if the other conditions in paragraph [860-10-40-5](#) are met.

860-10-55-55 If the conditions in paragraph [860-10-40-5](#) are met, the transferor should account for the repurchase agreement as a sale of financial assets and a forward repurchase commitment, and the transferee should account for the agreement as a purchase of financial assets and a forward resale commitment.

- 860-10-55-55A** If the conditions in paragraph [860-10-40-5](#) are met, a securities lending transaction should be accounted for as follows:
- By the transferor as a sale of the loaned securities for proceeds consisting of the cash collateral and a forward repurchase commitment. If the collateral in a transaction that meets the conditions in paragraph [860-10-40-5](#) is a financial asset that the holder is permitted by contract or custom to sell or repledge, that financial asset is proceeds of the sale of the loaned securities.
 - By the transferee as a purchase of the borrowed securities in exchange for the collateral and a forward resale commitment.

During the term of that agreement, the transferor has surrendered control over the securities transferred and the transferee has obtained control over those securities with the ability to sell or transfer them at will. In that circumstance, creditors of the transferor have a claim only to the collateral and the forward repurchase commitment.

- 860-10-55-56** Repurchase agreements that involve an exchange of securities or letters of credit are accounted for in the same manner as securities lending transactions (see paragraphs [860-30-25-7 through 25-8](#)).

- 860-10-55-56A** [Paragraph superseded by Accounting Standards Update No. 2014-11.](#)

- 860-10-55-56B** In repurchase agreements and securities lending transactions in which the transferor does not derecognize the transferred financial asset, if the transferee obtains the right to sell or pledge the asset, the transferor reclassifies the asset in its statement of financial position separately from other assets not so encumbered in accordance with paragraph [860-30-45-1](#).

· · > Wash Sales

- 860-10-55-57** Wash sales shall be accounted for as sales under this Subtopic. Unless there is a concurrent contract to repurchase or redeem the transferred financial assets from the transferee, the transferor does not maintain effective control over the transferred financial assets.

· · > Dollar Rolls

- 860-10-55-58** Whether paragraph [860-10-40-5\(c\)](#) precludes sale accounting for a dollar-roll transaction depends on the facts and circumstances. Paragraph [860-10-40-24](#) states the conditions under which an agreement that both entitles and obligates the transferor to repurchase or redeem transferred financial assets from the transferee maintains the transferor's effective control over those assets as described in paragraph [860-10-40-5\(c\)\(1\)](#). The condition in paragraph [860-10-40-24\(a\)](#) requires that the financial assets to be repurchased or redeemed are the same or substantially the same as those transferred. Paragraph [860-10-40-24\(a\)](#) describes six characteristics that must all exist for a transfer to meet the substantially-the-same requirement. Paragraph [860-10-40-24\(a\)\(6\)](#) requires (as one of those six characteristics) that the financial asset that was transferred and the financial asset that is to be repurchased or redeemed have the same aggregate unpaid principal amount or principal amounts within accepted good delivery standards for the type of security involved.

- 860-10-55-59** For transfers of existing securities under a dollar-roll repurchase agreement, the transferee must be committed to return substantially-the-same securities to the transferor, which would indicate that the transferor has maintained effective control. In a transfer of existing securities under a dollar-roll repurchase agreement, if the transferee is committed to return substantially-the-same securities to the transferor but that transferee's securities at the time of the transfer were to-be-announced securities, the transferor would not be precluded from accounting for the transfer as a secured borrowing. The transferor is only required to obtain a commitment from the transferee to return substantially-the-same securities and is not required to determine that the transferee holds the securities that it has committed to return. Therefore, the financial asset to be returned may be a to-be-announced asset at

the time of the transfer because the transferor would have no way of knowing whether the transferee held the security to be returned.

- 860-10-55-60** As illustrated by the following, whether a GNMA roll is accounted for as a secured borrowing or a sale affects the evaluation of the forward contract embedded in the securities subject to the agreement:
- a. Types 1-3 of dollar rolls would qualify for secured borrowing treatment if the redemption of securities on substantially the same terms is assured (see paragraph [860-10-40-24](#)). In that circumstance, the forward contracts embedded in the Types 1-3 securities are outside the scope of Topic [815](#) because of the scope exception provided in paragraph [815-10-15-63](#) for derivative instruments that serve as impediments to sale accounting.
 - b. Types 2 and 3 securities that involve repurchase of other than substantially-the-same securities are considered sales of securities and forward contracts. The forward contract would need to be evaluated under Subtopic [815-10](#) because it has terms that would generally meet the definition of a derivative instrument. If the dollar-roll repurchase agreement is accounted for as a sale under this Subtopic, Subtopic [815-10](#) provides guidance on the subsequent accounting for the forward contract.

· · > Loan Participations

- 860-10-55-61** Paragraph [860-10-05-23](#) provides background on loan participations. If a loan participation agreement transfers a participating interest in an entire financial asset (as described in paragraph [860-10-40-6A](#)) and the conditions in paragraph [860-10-40-5](#) are met, the transfers shall be accounted for by the transferor as a sale of a participating interest. However, if the loan participation agreement constrains the transferee from pledging or exchanging its participating interest and that constraint provides a more-than-trivial benefit to the transferor, the transferor has not relinquished control and shall account for the transfer as a secured borrowing.

- 860-10-55-62** Paragraphs [860-10-55-62](#) through [55-64](#) superseded by Accounting Standards Update No. 2009-16.

· · > Banker's Acceptances and Risk Participations in Them

- 860-10-55-65** Paragraphs [860-10-05-24](#) through [05-26](#) provide background on banker's acceptances and risk participations in them. An accepting bank that obtains a risk participation shall not **derecognize** the liability for the banker's acceptance, because the accepting bank is still primarily liable to the holder of the banker's acceptance even though it benefits from a guarantee of reimbursement by a participating bank. The accepting bank shall not derecognize the receivable from the customer because it has not transferred the receivable. Rather, it controls the benefits inherent in that receivable and it is still entitled to receive payment from the customer. The accepting bank shall, however, record the guarantee purchased, and the participating bank shall record a liability for the guarantee issued. For an illustration of this guidance, see Example 1 (paragraph [860-10-55-80](#)).

- 860-10-55-66** Paragraph superseded by Accounting Standards Update No. 2009-16.

· · > Transfer Involving Certain Transferor Powers

- 860-10-55-67** If the transferor has the ability to dissolve a securitization entity (for example, through the beneficial interests that it holds) and reassume control of the financial assets at any time, the transferor is precluded from accounting for the transfer as a sale for the following reason:
- a. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
 - b. The transferor's current ability to dissolve the securitization entity and reassume control of the transferred financial assets entitles it to unilaterally cause the return of the transferred financial

assets, indicating that the transferor has maintained control over the transferred financial assets which precludes sale accounting under paragraph [860-10-40-5\(c\)](#).

· · > Transferor Option to Repurchase Individual Financial Assets

- 860-10-55-68** In certain transactions, the transferor is entitled to repurchase a transferred amortizing, individual (specific) financial asset when its remaining principal balance reaches some specified amount, for example, 30 percent of the original balance. To exercise that call option, the transferor would pay the remaining principal balance. Paragraph [860-10-40-5\(c\)\(2\)](#) states that a transferor maintains effective control through a call option, other than through a cleanup call, that provides the transferor with both:
- The unilateral ability to cause the holder to return specific financial assets
 - A more-than-trivial-benefit attributable to that ability.

- 860-10-55-68A** Such a call option on the remaining portion of an entire financial asset precludes sale accounting for the entire financial asset. Paragraph [860-10-40-5](#) applies to an entire financial asset, a group of entire financial assets, or a participating interest. Paragraph [860-10-40-4A](#) states that, to be eligible for sale accounting, an entire financial asset cannot be divided into components before a transfer unless all of the components meet the definition of a participating interest. That paragraph states also that an entity shall not account for a transfer of an entire financial asset or a participating interest in an entire financial asset partially as a sale and partially as a secured borrowing.

- 860-10-55-69** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

- 860-10-55-70** If a transferor holds a call option to repurchase at any time a few specified, individual loans from an entire group of loans transferred in a securitization transaction, then sale accounting is precluded only for the specified loans subject to the call option, not the whole group of loans. In contrast, if the transferor holds a call option to repurchase from the group any loans it chooses, up to some specified limit, then sale accounting is precluded for the transfer of the entire group while that option remains outstanding. See paragraphs [860-10-55-39 through 55-42](#) for related guidance.

· · > Transfer of a Short-Term Loan Made Under a Long-Term Credit Commitment

- 860-10-55-71** A financial institution involved in commercial lending makes a short-term loan (for example, 90 days) to a borrower under a long-term credit commitment (for example, 5 years). The financial institution transfers the short-term loan, without recourse, to a third-party purchaser for the remaining term of the loan. The risk of loss relating to the short-term loan is legally transferred to the purchaser, and the financial institution has no contractual obligation to repurchase the short-term loan. Under the long-term credit commitment, the financial institution may, at the maturity of the short-term loan, relend to the borrower. However, the financial institution may refuse to relend to the borrower based on a current credit evaluation or if any covenant under the long-term commitment is not satisfied.

- 860-10-55-72** To the extent that the transfer of the short-term loan made under a long-term credit commitment as described above is accounted for as the transfer of a receivable with a put option, it would be required to be accounted for as a sale if the conditions of paragraph [860-10-40-5](#) are met. The terms of the put option should be analyzed to determine whether it meets the definition of a derivative instrument under Subtopic [815-10](#).

· · > Transfer of Bad-Debt Recovery Rights

- 860-10-55-73** A financial institution (transferor) transfers to a third-party transferee the right to an amount of future recoveries from loans previously written off by the transferor as uncollectible. The transferee is entitled to recoveries equal to the purchase price plus a market rate of interest on the unrecovered purchase price. There is no recourse to the transferor. The transferee can initiate its own collection

efforts if dissatisfied with the transferor's recovery efforts. The transaction is a secured borrowing (that is, a borrowing secured by the transferred rights).

860-10-55-74 Paragraph superseded by Accounting Standards Update No. 2009-16.

· > Classification of Transferred Debt Securities

860-10-55-75 An entity may transfer debt securities to an unconsolidated entity that has a predetermined life in exchange for cash and the right to receive proceeds from the eventual sale of the securities. For example, a third party holds a beneficial interest that is initially worth 25 percent of the fair value of the assets of the entity at the date of transfer. The entity is required to sell the transferred securities at a predetermined date and liquidate the entity at that time. Assume the facts in that example and the following additional facts:

- a. The beneficial interests are issued in the form of debt securities.
- b. Before the transfer, the debt securities were accounted for as available-for-sale securities in accordance with Topic 320.

860-10-55-76 In that example, whether the transferor may classify the debt securities as trading at the time of the transfer depends on whether the transfer is accounted for as a sale or as a secured borrowing:

- a. Sale. If a transfer of a group of entire financial assets satisfies the conditions to be accounted for as a sale, Subtopic 860-20 requires that any assets obtained or liabilities incurred in the transfer be recognized (see paragraph 860-20-25-1) and initially measured at fair value (see paragraph 860-20-30-1). If the transfer in the example is accounted for as a sale, the transferor would account for the debt securities received as new assets and would have the option to classify the debt securities received as trading securities.
- b. Secured borrowing. If the transfer is accounted for as a secured borrowing, paragraph 860-30-25-2 requires the transferor to continue to report the transferred debt securities in its statement of financial position with no change in their measurement (that is, basis of accounting). Paragraph 320-10-35-12, which explains that transfers into or from the trading category should be rare, would continue to apply.

860-10-55-77 If the transferred financial assets were not securities subject to the guidance in Topic 320 before the transfer that was accounted for as a sale but the beneficial interests were issued in the form of debt securities, then the transferor would have the opportunity to decide the appropriate classification of the beneficial interests received as proceeds from the sale.

· > Recognition of a Sale in Separate-Entity Financial Statements

860-10-55-78 A transfer from one subsidiary (the transferor) to another subsidiary (the transferee) of a common parent would be accounted for as a sale in each subsidiary's separate-entity financial statements if both of the following requirements are met:

- a. All of the conditions in paragraph 860-10-40-5 (including the condition on isolation of the transferred financial assets) are met.
- b. The transferee's assets and liabilities are not consolidated into the separate-entity financial statements of the transferor.

Paragraph 860-10-40-4 states that, in a transfer between two subsidiaries of a common parent, the transferor-subsidary shall not consider parent involvements with the transferred financial assets in applying paragraph 860-10-40-5.

860-10-55-79 If the transferee was an equity method investee of the transferor, only the investment and not the investee's assets and liabilities would be reported in the transferor subsidiary's separate-entity

financial statements. Therefore, the transferee would not be a consolidated affiliate of the transferor, and such a transfer could isolate the transferred financial assets and be accounted for as a sale if all other conditions of paragraph [860-10-40-5](#) are met.

· > Application of the Term *Continuing Involvement*

860-10-55-79A This implementation guidance addresses the application of the glossary term *continuing involvement*. All available evidence shall be considered, including, but not limited to, all of the following:

- a. Explicit written arrangements
- b. Communications between the transferor and the transferee or its beneficial interest holders
- c. Unwritten arrangements customary in similar transfers.

860-10-55-79B Examples of continuing involvement include, but are not limited to, all of the following:

- a. Servicing arrangements
- b. Recourse or guarantee arrangements
- c. Agreements to purchase or redeem transferred financial assets
- cc. Options written or held
- d. Derivative instruments that are entered into contemporaneously with, or in contemplation of, the transfer
- e. Arrangements to provide financial support
- f. Pledges of collateral
- g. The transferor's beneficial interests in the transferred financial assets.

> Illustrations

· > Example 1: Banker's Acceptance with a Risk Participation

860-10-55-80 This Example illustrates the guidance in paragraph [860-10-55-65](#). This Example has the following assumption.

860-10-55-81 An accepting bank assumes a liability to pay a customer's vendor and obtains a risk participation from another bank. The details of the banker's acceptance are as follows:

- a. Face value of the draft provided to the vendor: \$1,000
- b. Term of the draft provided to the vendor: 90 days
- c. Commission with an annual rate of 10 percent: 25
- d. Fee paid for risk participation: 10.

860-10-55-82 The accepting bank would make the following journal entries.

Journal Entries for Accepting Bank			
<i>At issuance of acceptance:</i>			
Receivable from customer	\$1,000		
Cash	25		
Time draft payable to vendor		\$1,000	
Deferred acceptance commission revenue		25	
<i>At purchase of risk participation from a participating bank:</i>			
Guarantee purchased	10		
Cash		10	
<i>Upon presentation of the accepted time draft:</i>			
Time draft payable to vendor	1,000		
Deferred acceptance commission revenue	25		
Cash		1,000	
Acceptance commission revenue		25	
<i>Upon collection from the customer (or the participating bank, if the customer defaults):</i>			
Cash	1,000		
Guarantee expense	10		
Receivable from customer		1,000	
Guarantee purchased		10	
Journal Entries for Participating Bank			
<i>Upon issuing the risk participation:</i>			
Cash	\$ 10		
Guarantee liability		\$ 10	
<i>Upon payment by the customer to the accepting bank:</i>			
Guarantee liability	10		
Guarantee revenue		10	
<i>OR:</i>			
<i>In the event of total default by the customer:</i>			
Guarantee loss	990		
Guarantee liability	10		
Cash (paid to accepting bank)		1,000	

60 Relationships

i General Note:The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Consolidation

- 860-10-60-1

For the requirements for preparation of consolidated financial statements, see the General Subsections of Subtopic [810-10](#).
- 860-10-60-2

For guidance on consolidation of variable interest entities (VIEs), see the Variable Interest Entities Subsections of Subtopic [810-10](#), which clarify the application of the General Subsections of that Subtopic to certain entities in which equity investors do not have the characteristics of a controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support.

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

- 860-10-65-1** Paragraph superseded on 05/20/2010 after the end of the transition period stated in FASB Staff Position FAS 140-3, *Accounting for Transfers of Financial Assets and Repurchase Financing Transactions*.
- 860-10-65-2** Paragraph superseded on 03/23/2010 after the end of the transition period stated in FSP FAS 140-4 and FIN 46(R)-8, *Disclosures by Public Entities (Enterprises) about Transfers of Financial Assets and Interests in Variable Interest Entities*.
- 860-10-65-3** Paragraph superseded on 05/18/2011 after the end of the transition period stated in FASB Statement No. 166, *Accounting for Transfers of Financial Assets*.
- 860-10-65-4** Paragraph superseded on 06/17/2013 after the end of the transition period stated in Accounting Standards Update No. 2011-03, *Transfers and Servicing (Topic 860): Reconsideration of Effective Control for Repurchase Agreements*.
- 860-10-65-5** Paragraph superseded on 07/05/2017 after the end of the transition period stated in Accounting Standards Update No. 2014-11, *Transfers and Servicing (Topic 860): Repurchase-to-Maturity Transactions, Repurchase Financings, and Disclosures*.

S40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Sale of Mortgage Servicing Rights with a Subservicing Agreement

860-10-S40-1 See paragraph [860-10-S99-1](#), SEC Observer Comment: Treatment of a Sale of Mortgage Servicing Rights with a Subservicing Agreement, for SEC Staff views on such transactions.

> Transfer of Certain Nonperforming Assets by Distribution to Shareholders or a Contribution of Assets to Unrelated Third Parties

860-10-S40-2 See paragraph [942-810-S99-1](#), SAB Topic 5.V, for SEC Staff views on accounting and disclosure for certain transfers of financial assets that do not fall within the scope of Topic [860](#).

S50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Repurchase and Reverse Repurchase Agreements

860-10-S50-1 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08(m), for disclosure requirements for repurchase and reverse repurchase agreements.

S99 SEC Materials

 **General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

- > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings
- · > SEC Observer Comment: Balance Sheet Treatment of a Sale of Mortgage Servicing Rights with a Subservicing Agreement

860-10-S99-1 The following is the text of SEC Observer Comment: Balance Sheet Treatment of a Sale of Mortgage Servicing Rights with a Subservicing Agreement.

In accordance with paragraph [860-50-40-7](#), a sale of mortgage servicing rights with a subservicing contract could be treated as a sale with the gain deferred if substantially all of the risks and rewards have been transferred to the transferee. In the view of the SEC staff, a transaction that, in substance, transfers only a portion of the servicing revenues does not result in transfer of substantially all of the risks and rewards of ownership and the accounting for those transactions should be guided by the guidance in paragraph [470-10-25-1](#).

860 Transfers and Servicing
20 Sales of Financial Assets

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

860-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Affiliate	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
	Beneficial Interests	Amended	Accounting Standards Update No. 2009-16	12/23/2009
	Cash	Added	Accounting Standards Update No. 2009-16	12/23/2009
	Continuing Involvement	Amended	Accounting Standards Update No. 2009-16	12/23/2009

Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
Derivative Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024
Derivative Instrument	Added	Accounting Standards Update No. 2009-16	12/23/2009
Financial Asset (1st def.)	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
Financial Asset (1st def.)	Added	Accounting Standards Update No. 2016-13	06/16/2016
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Financial Asset	Added	Accounting Standards Update No. 2009-16	12/23/2009
Financial Instrument	Amended	Accounting Standards Update No. 2024-02	03/29/2024
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Payments	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessee	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessor	Added	Accounting Standards Update No. 2016-02	02/25/2016
Participating Interest	Added	Accounting Standards Update No. 2009-16	12/23/2009
Proceeds	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Purchased Financial Assets with Credit Deterioration	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Purchased Financial Assets with Credit Deterioration	Added	Accounting Standards Update No. 2016-13	06/16/2016
Repurchase Agreement	Added	Accounting Standards Update No. 2014-11	06/12/2014
Servicing Assets	Added	Accounting Standards Update No. 2009-16	12/23/2009
Transferee	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferred Financial Assets	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Transferred Financial Assets	Added	Accounting Standards Update No. 2009-16	12/23/2009
Underlying Asset	Added	Accounting Standards Update No. 2016-02	02/25/2016
860-20-10-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-4	Amended	Accounting Standards Update No. 2015-10	06/12/2015
860-20-25-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-5	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-6	Amended	Accounting Standards Update No. 2012-04	10/01/2012
860-20-25-6	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-7	Superseded	Accounting Standards Update No. 2009-16	12/23/2009

860-20-25-8 through 25-12	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-25-9	Amended	Maintenance Update 2016-05 	04/12/2016
860-20-25-13	Amended	Accounting Standards Update No. 2020-03	03/09/2020
860-20-30-1 through 30-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-30-2	Amended	Accounting Standards Update No. 2016-13	06/16/2016
860-20-30-4	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-1 through 35-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-3	Amended	Accounting Standards Update No. 2016-13	06/16/2016
860-20-35-5	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-6	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-7	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-8	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-35-9	Amended	Accounting Standards Update No. 2016-13	06/16/2016
860-20-40-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-40-1A	Amended	Accounting Standards Update No. 2022-01	03/28/2022
860-20-40-1A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-20-40-1B	Amended	Accounting Standards Update No. 2022-01	03/28/2022
860-20-40-1B	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-20-40-2	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-40-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-50-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-50-2	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-20-50-2A through 50-4	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-20-50-2A	Added	Accounting Standards Update No. 2016-19	12/14/2016
860-20-50-3 through 50-5	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-50-4A through 50-4D	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-20-50-4D	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-20-50-5	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-20-50-5	Amended	Accounting Standards Update No. 2016-13	06/16/2016
860-20-50-6 through 50-9	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-20-55-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-2 through 55-15	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-16	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-18	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-19	Amended	Accounting Standards Update No. 2016-13	06/16/2016

860-20-55-19	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-24	Amended	Maintenance Update 2014-07 	03/17/2014
860-20-55-24	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-24A	Added	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-25	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-26	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-20-55-26	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-27	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-20-55-28	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-29	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-31	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-32	Amended	Accounting Standards Update No. 2012-04	10/01/2012
860-20-55-33	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-38 through 55-41	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-41	Amended	Accounting Standards Update No. 2016-19	12/14/2016
860-20-55-43 through 55-47	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-49 through 55-57	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-58	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-20-55-58	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-59	Amended	Accounting Standards Update No. 2016-02	02/25/2016
860-20-55-60 through 55-82	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-83	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-85 through 55-88	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-89	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-90	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-91	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-92	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-93 through 55-107	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-20-55-108	Amended	Maintenance Update 2016-11 	06/27/2016
860-20-55-108	Added	Accounting Standards Update No. 2014-11	06/12/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 860-20-05-1** This Subtopic provides guidance on the accounting for a [transfer](#) of [financial assets](#) that satisfies the conditions for sale accounting in paragraph [860-10-40-5](#) and the accounting if a [transferor](#) regains control of assets previously sold.

10 Objectives

- i General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 860-20-10-1** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

860-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [860-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agent

A party that acts for and on behalf of another party. For example, a third-party intermediary is an agent of the transferor if it acts on behalf of the transferor.

Beneficial Interests

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Cash

Consistent with common usage, cash includes not only currency on hand but demand deposits with banks or other financial institutions. Cash also includes other kinds of accounts that have the general characteristics of demand deposits in that the customer may deposit additional funds at any time and also effectively may withdraw funds at any time without prior notice or penalty. All charges and credits to those accounts are cash receipts or payments to both the entity owning the account and the bank holding it. For example, a bank's granting of a loan by crediting the proceeds to a customer's demand deposit account is a cash payment by the bank and a cash receipt of the customer when the entry is made.

Consolidated Affiliate

An entity whose assets and liabilities are included in the consolidated, combined, or other financial statements being presented.

Continuing Involvement

Any involvement with the transferred [financial assets](#) that permits the [transferor](#) to receive cash flows or other benefits that arise from the transferred financial assets or that obligates the transferor to provide additional cash flows or other assets to any party related to the [transfer](#). For related implementation guidance, see paragraph [860-10-55-79A](#).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Derecognize

Remove previously recognized assets or liabilities from the statement of financial position.

Derivative Financial Instrument

A [derivative instrument](#) that is a [financial instrument](#).

Derivative Instrument

Paragraphs [815-10-15-83 through 15-139](#) define the term *derivative instrument*.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Financial Instrument

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:
 1. To deliver cash or another financial instrument to a second entity

2. To exchange other financial instruments on potentially unfavorable terms with the second entity.

b. Conveys to that second entity a contractual right either:

1. To receive cash or another financial instrument from the first entity

2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

a. Imposes on one entity a contractual obligation either:

1. To deliver cash or another financial instrument to a second entity

2. To exchange other financial instruments on potentially unfavorable terms with the second entity.

b. Conveys to that second entity a contractual right either:

1. To receive cash or another financial instrument from the first entity

2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Freestanding Call Option

A call option that is neither embedded in nor attached to an asset subject to that call option.

Interest-Only Strip

A contractual right to receive some or all of the interest due on a bond, mortgage loan, collateralized mortgage obligation, or other interest-bearing financial asset.

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lease Payments

See paragraph [842-10-30-5](#) for what constitutes lease payments from the perspective of a [lessee](#) and a [lessor](#).

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a [contract](#) to provide the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Participating Interest

Paragraph [860-10-40-6A](#) defines the term participating interest.

Proceeds

[Cash](#), [beneficial interests](#), [servicing assets](#), [derivative instruments](#), or other assets that are obtained in a transfer of financial assets, less any liabilities incurred.

Purchased Financial Assets with Credit Deterioration

Acquired individual [financial assets](#) (or acquired groups of financial assets with similar risk characteristics) that as of the date of acquisition have experienced a more-than-insignificant deterioration in credit quality since origination, as determined by an acquirer's assessment. See paragraph [326-20-55-5](#) for more information on the meaning of similar risk characteristics for assets measured on an amortized cost basis.

Purchased Seasoned Loans

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [326-10-65-7](#)

Paragraphs [326-20-30-16 through 30-18](#) define the term *purchased seasoned loans*.

Repurchase Agreement

An agreement under which the transferor (repo party) transfers a **financial asset** to a transferee (repo counterparty or reverse party) in exchange for cash and concurrently agrees to reacquire that financial asset at a future date for an amount equal to the cash exchanged plus or minus a stipulated interest factor. Instead of cash, other securities or letters of credit sometimes are exchanged. Some repurchase agreements call for repurchase of financial assets that need not be identical to the financial assets transferred.

Revolving-Period Securitizations

Securitizations in which receivables are transferred at the inception and also periodically (daily or monthly) thereafter for a defined period (commonly three to eight years), referred to as the revolving period. During the revolving period, the special-purpose entity uses most of the cash collections to purchase additional receivables from the transferor on prearranged terms.

Securitization

The process by which financial assets are transformed into securities.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Seller

A transferor that relinquishes control over financial assets by transferring them to a transferee in exchange for consideration.

Servicing Assets

A contract to service financial assets under which the benefits of servicing are expected to more than adequately compensate the servicer for performing the servicing. A servicing contract is either:

- a. Undertaken in conjunction with selling or securitizing the financial assets being serviced
- b. Purchased or assumed separately.

Transfer

The conveyance of a noncash financial asset by and to someone other than the issuer of that financial asset.

A transfer includes the following:

- a. Selling a receivable
- b. Putting a receivable into a securitization trust
- c. Posting a receivable as collateral.

A transfer excludes the following:

- a. The origination of a receivable
- b. Settlement of a receivable
- c. The restructuring of a receivable into a security in a troubled debt restructuring.

Transferee

An entity that receives a financial asset, an interest in a financial asset, or a group of financial assets from a transferor.

Transferor

An entity that transfers a financial asset, an interest in a financial asset, or a group of financial assets that it controls to another entity.

Transferred Financial Assets

Transfers of any of the following:

- a. An entire financial asset
- b. A group of entire financial assets
- c. A [participating interest](#) in an entire financial asset.

Underlying Asset

An asset that is the subject of a [lease](#) for which a right to use that asset has been conveyed to a [lessee](#). The underlying asset could be a physically distinct portion of a single asset.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

860-20-25-1 Section [860-20-40](#) provides derecognition guidance a [transferor \(seller\)](#) applies upon completion of a [transfer of financial assets](#) that satisfies paragraph [860-10-40-5](#)'s conditions to be accounted for as a sale. Upon completion of such a transfer, the transferor (seller) shall also recognize any assets obtained or liabilities incurred in the sale, including, but not limited to, any of the following:

- a. Cash
- b. Servicing assets
- c. Servicing liabilities
- d. In a sale of an entire financial asset or a group of entire financial assets, any of the following:
 1. The transferor's beneficial interest in the [transferred financial assets](#)
 2. Put or call options held or written (for example, guarantee or recourse obligations)
 3. Forward commitments (for example, commitments to deliver additional receivables during the revolving periods of some [securitizations](#))
 4. Swaps (for example, provisions that convert interest rates from fixed to variable).

See Examples 1, 2, and 5 (paragraphs [860-20-55-43 through 55-59](#)) for illustration of this guidance.

860-20-25-2 Although a transfer of securities may not be considered to have reached completion until the settlement date, this Subtopic does not modify other generally accepted accounting principles (GAAP) that require accounting at the trade date for certain contracts to purchase or sell securities.

860-20-25-3 The [transferee](#) shall recognize all assets obtained (including any [participating interest\(s\)](#) obtained) and any liabilities incurred.

> Assets Obtained and Liabilities Incurred as Proceeds

860-20-25-4 The proceeds from a sale of financial assets consist of the cash and any other assets obtained, including beneficial interests and separately recognized servicing assets, in the transfer less any liabilities incurred, including separately recognized servicing liabilities. Any asset obtained is part of the proceeds from the sale. Any liability incurred, even if it is related to the transferred financial assets, is a reduction of the proceeds. Any [derivative financial instrument](#) entered into concurrently with a transfer of financial assets is either an asset obtained or a liability incurred and part of the proceeds received in the transfer.

860-20-25-5 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Distinguishing New Interests Obtained from Part of a Beneficial Interest Obtained

860-20-25-6 In determining whether credit risk is a separate liability or part of a beneficial interest that has been obtained by the transferor, the transferor should focus on the source of cash flows in the event of a claim by the transferee. If the transferee can only look to cash flows from the underlying financial assets, the transferor has obtained a portion of the credit risk only through the interest it obtained and a separate obligation shall not be recognized. Credit losses from the underlying assets would affect the measurement of the interest that the transferor obtained. In contrast, if the transferor could be obligated for more than the cash flows provided by the interest it obtained and, therefore, could be required to reimburse the transferee for credit-related losses on the underlying assets, the transferor

shall record a separate liability. It is not appropriate for the transferor to defer any portion of a resulting gain or loss (or to eliminate gain on sale accounting, as it is sometimes described in practice).

860-20-25-7 Paragraph superseded by Accounting Standards Update No. 2009-16.

> Regaining Control of Financial Assets Sold

860-20-25-8 Paragraph [860-10-40-41](#) explains that a change in law or other circumstance may result in a transferred portion of an entire financial asset no longer meeting the conditions of a participating interest (see paragraph [860-10-40-6A](#)) or the transferor's regaining control of transferred financial assets after a transfer that was previously accounted for as a sale, because one or more of the conditions in paragraph [860-10-40-5](#) are no longer met.

860-20-25-9 Such changes shall be accounted for in the same manner as a purchase of the transferred financial assets from the former transferee(s) in exchange for liabilities assumed unless they arise solely from either:

- a. Consolidation of an entity involved in the transfer at a subsequent date (see paragraph [860-20-25-10](#))
- b. A change in market prices (for example, an increase in price that moves into the money a [freestanding call option](#) on a non-readily-obtainable, transferred financial asset that was originally sufficiently out of the money that it was judged not to constrain the transferee).

See the related guidance beginning in paragraph [860-20-25-1](#).

860-20-25-10 After that change, the transferor shall do all of the following:

- a. Recognize in its financial statements those transferred financial assets together with liabilities to the former transferee(s) or beneficial interest holders of the former transferee(s).
- b. Not change the accounting for the servicing asset related to the previously sold financial assets. That is, even though the transferor has regained control over the previously sold assets, the cash flows from those assets will contractually be paid to the special-purpose entity, which will then distribute the proceeds to satisfy its contractual obligations (including obligations to the beneficial interest holders). Because the transferor, as servicer, is still contractually required to collect the asset's cash flows for the benefit of the special-purpose entity and otherwise service the assets, it shall continue to recognize the servicing asset and assess the asset for impairment if subsequently measured using the amortization method, as required by paragraph [860-50-35-9](#). Once a servicing asset is recognized it shall not be added back to the underlying asset. Even when the transferor has regained control over the underlying assets through an event that triggers a transferor to rerecognize previously transferred assets that were accounted for as having been sold, the related servicing asset shall continue to be separately recognized.
- c. Continue to account for the transferor's interests in those underlying financial assets apart from any rerecognized financial assets. That is, the transferor's interests shall not be combined with and accounted for with the rerecognized financial assets. Example 10 (see paragraph [860-20-55-83](#)) illustrates this guidance. However, a subsequent event that results in the transferor reclaiming those financial assets from the transferee, for example, the exercise of a removal-of-accounts provision or the consolidation by the transferor of the securitization entity in accordance with applicable GAAP, including the Variable Interest Entities Subsections of Subtopic [810-10](#), would result in a recombination of the transferor's interests with the underlying financial assets.

For guidance on consolidation, which is relevant to determining whether a transferor must consolidate an entity involved in a transfer that was accounted for as a sale, see Topic [810](#).

- 860-20-25-11** Whether the removal-of-accounts provision is exercised or not, the transferor shall recognize any financial assets subject to the removal-of-accounts provision if all of the following conditions are met:
- A third party's action (such as default or cancellation) or decision not to act (expiration) occurs.
 - The occurrence allows removal of assets to be initiated solely by the transferor.
 - The provision provides a more-than-trivial benefit to the transferor.

For example, once a contingency is met (such as when a given loan goes into default), the call option on that asset (loan) is no longer contingent.

- 860-20-25-12** Upon application of paragraph [860-20-25-10](#), no gain or loss shall be recognized in earnings with respect to any of the transferor's [beneficial interests](#). A gain or loss may be recognized upon the exercise of a removal-of-accounts provision or similar contingent right with respect to the repurchased transferred financial assets that were sold if the removal-of-accounts provision or similar contingent right held by the transferor is not accounted for as a derivative instrument under Subtopic [815-10](#) and is not at the money, resulting in the fair value of those repurchased financial assets being greater or less than the related obligation to the transferee.

- 860-20-25-13** For financial assets rerecognized in accordance with paragraph [860-20-25-10](#), an entity shall initially recognize a financial asset at fair value. An entity shall then apply relevant guidance, including this Topic, Topic [310](#) on receivables, Topic [320](#) on investments—debt securities, Topic [321](#) on investments—equity securities, Topic [323](#) on investments—equity method and joint ventures, and Topic [325](#) on investments—other. In addition, an entity shall measure an allowance for credit losses in accordance with Topic [326](#), if applicable.

- For those financial assets that are not [purchased financial assets with credit deterioration](#) within the scope of Topic [326](#), an entity shall recognize an allowance for credit losses with a corresponding charge to credit loss expense as of the reporting date.
- For those financial assets that are purchased financial assets with credit deterioration (which includes beneficial interest that meets the criteria in paragraph [325-40-30-1A](#)) within the scope of Topic [326](#), an entity shall recognize an allowance for credit losses in accordance with Topic [326](#) with a corresponding increase to the amortized cost basis of the financial asset(s) as of the recognition date.

 PENDING CONTENT


Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [326-10-65-7](#)

For financial assets rerecognized in accordance with paragraph [860-20-25-10](#), an entity shall initially recognize a financial asset at fair value. An entity shall then apply relevant guidance, including this Topic, Topic [310](#) on receivables, Topic [320](#) on investments—debt securities, Topic [321](#) on investments—equity securities, Topic [323](#) on investments—equity method and joint ventures, and Topic [325](#) on investments—other. In addition, an entity shall measure an allowance for credit losses in accordance with Topic [326](#), if applicable.

- a. For those financial assets that are not [purchased financial assets with credit deterioration](#) or [purchased seasoned loans](#) within the scope of Topic [326](#), an entity shall recognize an allowance for credit losses with a corresponding charge to credit loss expense as of the reporting date.
- b. For those financial assets that are purchased financial assets with credit deterioration (which includes beneficial interest that meets the criteria in paragraph [325-40-30-1A](#)) and purchased seasoned loans within the scope of Topic [326](#), an entity shall recognize an allowance for credit losses in accordance with Topic [326](#) with a corresponding increase to the amortized cost basis of the financial asset(s) as of the recognition date.

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

860-20-30-1 The [transferor](#) shall initially measure at fair value any asset obtained (or liability incurred) and recognized under paragraph [860-20-25-1](#).

860-20-30-2 The [transferee](#) shall initially measure, at fair value, any asset or liability recognized under paragraph [860-20-25-3](#), unless it is a [purchased financial asset with credit deterioration](#) or is a beneficial interest that meets the criteria in paragraph [325-40-30-1A](#), in which case the transferee shall apply the guidance in Topic [326](#) on measurement of credit losses to determine the initial amortized cost basis.

 PENDING CONTENT


Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [326-10-65-7](#)

The [transferee](#) shall initially measure, at fair value, any asset or liability recognized under paragraph [860-20-25-3](#), unless it is a [purchased financial asset with credit deterioration](#), a beneficial interest that meets the criteria in paragraph [325-40-30-1A](#), or a [purchased seasoned loan](#), in which case the transferee shall apply the guidance in Topic [326](#) on measurement of credit losses to determine the initial amortized cost basis.

> Regaining Control of Financial Assets Sold

860-20-30-3 The transferor shall initially measure [transferred financial assets](#) and liabilities that are rerecognized under paragraph [860-20-25-10\(a\)](#) as a result of regaining control of the [financial assets](#) sold at fair value on the date of the change as if the transferor purchased the transferred financial assets and assumed the liabilities on that date.

860-20-30-4 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

35 Subsequent Measurement

 **General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

860-20-35-1 This Section is organized as follows:

- a. [Financial assets](#) subject to prepayment
- b. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
- c. Credit enhancements
- d. [Beneficial interests](#)
- e. Transaction costs.

> Financial Assets Subject to Prepayment

860-20-35-2 Financial assets, except for instruments that are within the scope of Subtopic [815-10](#), that can contractually be prepaid or otherwise settled in such a way that the holder would not recover

substantially all of its recorded investment shall be subsequently measured like investments in debt securities classified as available for sale or trading under Topic 320. Examples of such financial assets include, but are not limited to, [interest-only strips](#), other beneficial interests, loans, or other receivables. Interest-only strips and similar interests that meet the definition of [securities](#) are included in the scope of that Topic. Therefore, all relevant provisions of that Topic (including the disclosure requirements) shall be applied. See related implementation guidance beginning in paragraph [860-20-55-33](#).

- 860-20-35-3** Interest-only strips and similar interests that are not in the form of securities are not within the scope of Topic 320 but shall be measured like investments in debt securities classified as available for sale or trading. In that circumstance, all of the measurement provisions of that Topic, as well as the provisions of Topic 326 on measurement of credit losses, shall be followed. However, other provisions of Topics 320 and 326, such as those addressing disclosures, are not required to be applied. Paragraph [320-10-15-9](#) explains that, for debt securities within its scope, Subtopic [325-40](#) provides incremental guidance on accounting for and reporting discount and credit losses.
- 860-20-35-4** The requirement in paragraph [860-20-35-2](#) does not apply to situations in which events that are not the result of contractual provisions, for example, borrower default or changes in the value of an instrument's denominated currency relative to the entity's functional currency, cause the holder not to recover substantially all of its recorded investment.
- 860-20-35-5** A financial asset that can be contractually prepaid or otherwise settled in such a way that the holder would not recover substantially all of its recorded investment shall not be classified as held-to-maturity even if the investor concludes that prepayment or other forms of settlement are remote. The probability of prepayment or other forms of settlement that would result in the holder's not recovering substantially all of its recorded investment is not relevant in deciding whether the provisions of paragraph [860-20-35-2](#) apply to those financial assets.
- 860-20-35-6** The guidance in this Subtopic does not specifically address the subsequent measurement of a transferor's beneficial interests that cannot be contractually prepaid or settled in such a way that the owner would not recover substantially all of its recorded investment.
- 860-20-35-7** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Credit Enhancements

- 860-20-35-8** While this Subtopic does not specifically address the subsequent measurement of credit enhancements, there are some factors to consider. Factors such as how much cash the transferor will receive from, for example, a cash reserve account, and when it will receive cash inflows depend on the performance of the transferred financial assets. Entities shall regularly review those assets for impairment because of their nature. Entities shall look to other guidance for subsequent measurement including guidance for impairment based on the nature of the credit enhancement.

> Beneficial Interests

- 860-20-35-9** Beneficial interests shall be evaluated for credit losses, including at the time paragraphs [860-20-25-8 through 25-10](#) are applied. See Section [325-40-35](#) for guidance on credit losses applicable to beneficial interests in securitized financial assets.

> Transaction Costs

- 860-20-35-10** Transaction costs relating to a sale of the receivables may be recognized over the initial and reinvestment periods in a rational and systematic manner unless the transaction results in a loss. Transaction costs for a past sale are not an asset and thus are part of the gain or loss on sale. In a credit card [securitization](#), however, some of the transaction costs incurred at the outset relate to the future sales that are to occur during the revolving period, and thus can qualify as an asset.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 860-20-40-1** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Sale of a Participating Interest

- 860-20-40-1A** Upon completion of a [transfer](#) of a [participating interest](#) that satisfies the conditions in paragraph [860-10-40-5](#) to be accounted for as a sale, the [transferor\(seller\)](#) shall:
- a. Allocate the previous carrying amount of the entire [financial asset](#) between both of the following on the basis of their relative fair values at the date of the transfer:
 1. The participating interest(s) sold
 2. The participating interest that continues to be held by the transferor.
 - b. [Derecognize](#) the participating interest(s) sold
 - c. Apply the guidance in paragraphs [860-20-25-1](#) and [860-20-30-1](#) on recognition and measurement of assets obtained and liabilities incurred in the sale
 - d. Recognize in earnings any gain or loss on the sale
 - e. Report any participating interest(s) that continue to be held by the transferor as the difference between the following amounts measured at the date of the transfer:
 1. The previous carrying amount of the entire financial asset
 2. The amount derecognized.

For the transfer of a participating interest in a financial asset included in a closed portfolio hedged in an existing portfolio layer method hedge in accordance with Topic [815](#) on derivatives and hedging, when applying the guidance in (a) through (e) an entity shall not include any portion of the hedge basis adjustment that is maintained on the closed portfolio basis in accordance with paragraphs [815-20-25-12A\(b\)](#) and [815-25-35-1\(c\)](#).

> Sale of an Entire Financial Asset or Group of Entire Financial Assets

860-20-40-1B Upon completion of a transfer of an entire financial asset or a group of entire financial assets that satisfies the conditions in paragraph [860-10-40-5](#) to be accounted for as a sale, the transferor (seller) shall:

- a. Derecognize the [transferred financial assets](#)
- b. Apply the guidance in paragraphs [860-20-25-1](#) and [860-20-30-1](#) on recognition and measurement of assets obtained and liabilities incurred in the sale
- c. Recognize in earnings any gain or loss on the sale.

If the transferred financial asset was accounted for under Topic [320](#) as available for sale before the transfer, item (a) requires that the amount in other comprehensive income be recognized in earnings at the date of transfer. If the transferred financial asset was included in a closed portfolio hedged in an existing portfolio layer method hedge in accordance with Topic [815](#) before the transfer, when applying the guidance in (a) through (c) an entity shall not include any portion of the hedge basis adjustment that is maintained on the closed portfolio basis in accordance with paragraphs [815-20-25-12A\(b\)](#) and [815-25-35-1\(c\)](#).

860-20-40-2 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Transferor and Transferee Accounting Circumstances upon Regaining Control

860-20-40-3 The guidance beginning in paragraph [860-20-25-8](#) discusses the transferor's accounting upon regaining control of financial assets sold. In such circumstances, the former transferee would derecognize the transferred financial assets on that date, as if it had sold the transferred financial assets in exchange for a receivable from the transferor.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> All Entities within Scope of Subtopic

860-20-50-1 This Section is organized as follows:

- a. Disclosures for each income statement presented

- b. Disclosures for each statement of financial position presented
- c. Sales of loans and trade receivables.

For overall guidance on Topic 860's disclosures, see Section 860-10-50.

860-20-50-2

Paragraphs 860-20-50-3 through 50-4 address disclosures for [securitizations](#), asset-backed financing arrangements, and similar [transfers](#) that have both of the following characteristics:

- a. The transfer is accounted for as a sale
- b. The transferor has continuing involvement with the [transferred financial assets](#).

860-20-50-2A

If specific disclosures are required for a particular form of a transferor's continuing involvement by other Topics, the transferor shall provide the information required in paragraphs 860-20-50-3(b) through (cc) and 860-20-50-4(a) with a cross-reference to the separate notes to financial statements so a financial statement user can understand the risks retained in the transfer. The entity does not need to provide each specific disclosure required in paragraphs 860-20-50-3(d) and 860-20-50-4 if the disclosure is not required by other Topics and the objectives of paragraphs 860-10-50-3 through 50-4 are met. For example, if the transferor's only form of continuing involvement is a derivative, the entity shall provide the disclosures required in paragraphs 860-20-50-3(b) through (cc) and 860-20-50-4(a) and the disclosures about derivatives required by applicable Topics. In addition, the entity shall evaluate whether the other disclosures in paragraphs 860-20-50-3 through 50-4 are necessary for the entity to meet the objectives in those paragraphs.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

If specific disclosures are required for a particular form of a transferor's continuing involvement by other Topics, the transferor shall provide the information required in paragraphs 860-20-50-3(b) through (cc) and 860-20-50-4(a) with a cross-reference to the separate notes to financial statements in interim and annual reporting periods so a financial statement user can understand the risks retained in the transfer. The entity does not need to provide each specific disclosure required in paragraphs 860-20-50-3(d) and 860-20-50-4 if the disclosure is not required by other Topics and the objectives of paragraphs 860-10-50-3 through 50-4 are met. For example, if the transferor's only form of continuing involvement is a derivative, the entity shall provide the disclosures required in paragraphs 860-20-50-3(b) through (cc) and 860-20-50-4(a) and the disclosures about derivatives required by applicable Topics. In addition, the entity shall evaluate whether the other disclosures in paragraphs 860-20-50-3 through 50-4 are necessary for the entity to meet the objectives in those paragraphs.

· > Disclosures for Each Income Statement Presented

860-20-50-3

For each income statement presented, the entity shall disclose all of the following:

- a. [Subparagraph superseded by Accounting Standards Update No. 2009-16](#).
- b. The characteristics of the [transfer](#) including all of the following:
 - 1. A description of the transferor's [continuing involvement](#) with the transferred financial assets
 - 2. The nature and initial fair value of both of the following:
 - i. The asset obtained as proceeds
 - ii. The liabilities incurred in the transfer.

3. The gain or loss from sale of transferred financial assets.

bb. For the initial fair value measurements in item (b)(2), the level within the fair value hierarchy in Topic [820](#) in which the fair value measurements fall, segregating fair value measurements using each of the following:

1. Quoted prices in active markets for identical assets or liabilities (Level 1)
2. Significant other observable inputs (Level 2)
3. Significant unobservable inputs (Level 3).

c. For the initial fair value measurements in item (b)(2), the key inputs and assumptions used in measuring the fair value of assets obtained and liabilities incurred as a result of the sale that relate to the transferor's continuing involvement, including quantitative information about all of the following:

1. Discount rates.
2. Expected prepayments including the expected weighted-average life of prepayable financial assets. The weighted-average life of prepayable assets in periods (for example, months or years) can be calculated by multiplying the principal collections expected in each future period by the number of periods until that future period, summing those products, and dividing the sum by the initial principal balance.
3. Anticipated credit losses, including expected static pool losses.

If an entity has aggregated transfers during a period in accordance with the guidance beginning in paragraph [860-10-50-5](#), it may disclose the range of assumptions.

cc. For the initial fair value measurements in item (b)(2), the valuation technique(s) used to measure fair value.

d. Cash flows between a transferor and transferee, including all of the following:

1. [Proceeds](#) from new transfers
2. Proceeds from collections reinvested in revolving-period transfers
3. Purchases of previously transferred financial assets
4. Servicing fees
5. Cash flows received from a transferor's interests.

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Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For each interim and annual income statement presented, the entity shall disclose all of the following:

- a. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
- b. The characteristics of the [transfer](#) including all of the following:
 1. A description of the transferor's [continuing involvement](#) with the transferred financial assets
 2. The nature and initial fair value of both of the following:
 - i. The asset obtained as proceeds
 - ii. The liabilities incurred in the transfer.
 3. The gain or loss from sale of transferred financial assets.
- bb. For the initial fair value measurements in item (b)(2), the level within the fair value hierarchy in Topic [820](#) in which the fair value measurements fall, segregating fair value measurements using each of the following:
 1. Quoted prices in active markets for identical assets or liabilities (Level 1)
 2. Significant other observable inputs (Level 2)
 3. Significant unobservable inputs (Level 3).
- c. For the initial fair value measurements in item (b)(2), the key inputs and assumptions used in measuring the fair value of assets obtained and liabilities incurred as a result of the sale that relate to the transferor's continuing involvement, including quantitative information about all of the following:
 1. Discount rates.
 2. Expected prepayments including the expected weighted-average life of prepayable financial assets. The weighted-average life of prepayable assets in periods (for example, months or years) can be calculated by multiplying the principal collections expected in each future period by the number of periods until that future period, summing those products, and dividing the sum by the initial principal balance.
 3. Anticipated credit losses, including expected static pool losses.

If an entity has aggregated transfers during a period in accordance with the guidance beginning in paragraph [860-10-50-5](#), it may disclose the range of assumptions.
- cc. For the initial fair value measurements in item (b)(2), the valuation technique(s) used to measure fair value.
- d. Cash flows between a transferor and transferee, including all of the following:
 1. [Proceeds](#) from new transfers
 2. Proceeds from collections reinvested in revolving-period transfers
 3. Purchases of previously transferred financial assets
 4. Servicing fees
 5. Cash flows received from a transferor's interests.

· > Disclosures for Each Statement of Financial Position Presented

860-20-50-4 For each statement of financial position presented, regardless of when the transfer occurred, an entity shall disclose all of the following:

a. Qualitative and quantitative information about the transferor's continuing involvement with transferred financial assets that provides financial statement users with sufficient information to assess the reasons for the continuing involvement and the risks related to the transferred financial assets to which the transferor continues to be exposed after the transfer and the extent that the transferor's risk profile has changed as a result of the transfer (including, but not limited to, credit risk, interest rate risk, and other risks), including all of the following:

1. The total principal amount outstanding
2. The amount that has been derecognized
3. The amount that continues to be recognized in the statement of financial position
4. The terms of any arrangements that could require the transferor to provide financial support (for example, liquidity arrangements and obligations to purchase assets) to the transferee or its beneficial interest holders, including both of the following:
 - i. A description of any events or circumstances that could expose the transferor to loss
 - ii. The amount of the maximum exposure to loss.
5. Whether the transferor has provided financial or other support during the periods presented that it was not previously contractually required to provide to the transferee or its beneficial interest holders, including—when the transferor assisted the transferee or its beneficial interest holders in obtaining support—both of the following:
 - i. The type and amount of support
 - ii. The primary reasons for providing the support.

An entity also is encouraged to disclose information about any liquidity arrangements, guarantees, or other commitments by third parties related to the transferred financial assets that may affect the fair value or risk of the related transferor's interest.

aa. The entity's accounting policies for subsequently measuring assets or liabilities that relate to the continuing involvement with the transferred financial assets.

b. The key inputs and assumptions used in measuring the fair value of assets or liabilities that relate to the transferor's continuing involvement including, at a minimum, but not limited to, quantitative information about all of the following:

1. Discount rates
2. Expected prepayments including the expected weighted-average life of prepayable financial assets (see paragraph [860-20-50-3\(c\)\(2\)](#))
3. Anticipated credit losses, including expected static pool losses, if applicable. Expected static pool losses can be calculated by summing the actual and projected future credit losses and dividing the sum by the original balance of the pool of assets.

If an entity has aggregated transfers during a period in accordance with the guidance beginning in paragraph [860-10-50-5](#), it may disclose the range of assumptions.

c. For the transferor's interest in the transferred financial assets, a sensitivity analysis or stress test showing the hypothetical effect on the fair value of those interests (including any servicing assets or servicing liabilities) of two or more unfavorable variations from the expected levels for each key assumption that is reported under item (b) of this paragraph independently from any change in another key assumption.

d. A description of the objectives, methodology, and limitations of the sensitivity analysis or stress test.

e. Information about the asset quality of transferred financial assets and any other financial assets that it manages together with them. This information shall be separated between assets that have been derecognized and assets that continue to be recognized in the statement of financial position. This information is intended to provide financial statement users with an understanding of the risks inherent in the transferred financial assets as well as in other financial assets and liabilities that it manages together with transferred financial assets. For example, information for receivables shall include, but is not limited to both of the following:

1. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
2. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
3. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
4. Delinquencies at the end of the period
5. Credit losses, net of recoveries, during the period.

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Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For each interim and annual statement of financial position presented, regardless of when the transfer occurred, an entity shall disclose all of the following:

a. Qualitative and quantitative information about the transferor's continuing involvement with transferred financial assets that provides financial statement users with sufficient information to assess the reasons for the continuing involvement and the risks related to the transferred financial assets to which the transferor continues to be exposed after the transfer and the extent that the transferor's risk profile has changed as a result of the transfer (including, but not limited to, credit risk, interest rate risk, and other risks), including all of the following:

1. The total principal amount outstanding
2. The amount that has been derecognized
3. The amount that continues to be recognized in the statement of financial position
4. The terms of any arrangements that could require the transferor to provide financial support (for example, liquidity arrangements and obligations to purchase assets) to the transferee or its beneficial interest holders, including both of the following:
 - i. A description of any events or circumstances that could expose the transferor to loss
 - ii. The amount of the maximum exposure to loss.
5. Whether the transferor has provided financial or other support during the periods presented that it was not previously contractually required to provide to the transferee or its beneficial interest holders, including—when the transferor assisted the transferee or its beneficial interest holders in obtaining support—both of the following:
 - i. The type and amount of support
 - ii. The primary reasons for providing the support.

An entity also is encouraged to disclose information about any liquidity arrangements, guarantees, or other commitments by third parties related to the transferred financial assets that may affect the fair value or risk of the related transferor's interest.

- aa. The entity's accounting policies for subsequently measuring assets or liabilities that relate to the continuing involvement with the transferred financial assets.
- b. The key inputs and assumptions used in measuring the fair value of assets or liabilities that relate to the transferor's continuing involvement including, at a minimum, but not limited to, quantitative information about all of the following:
 1. Discount rates
 2. Expected prepayments including the expected weighted-average life of prepayable financial assets (see paragraph [860-20-50-3\(c\)\(2\)](#))
 3. Anticipated credit losses, including expected static pool losses, if applicable. Expected static pool losses can be calculated by summing the actual and projected future credit losses and dividing the sum by the original balance of the pool of assets.

If an entity has aggregated transfers during a period in accordance with the guidance beginning in paragraph [860-10-50-5](#), it may disclose the range of assumptions.

- c. For the transferor's interest in the transferred financial assets, a sensitivity analysis or stress test showing the hypothetical effect on the fair value of those interests (including any servicing assets or servicing liabilities) of two or more unfavorable variations from the expected levels for each key assumption that is reported under item (b) of this paragraph independently from any change in another key assumption.
- d. A description of the objectives, methodology, and limitations of the sensitivity analysis or stress test.
- e. Information about the asset quality of transferred financial assets and any other financial

assets that it manages together with them. This information shall be separated between assets that have been derecognized and assets that continue to be recognized in the statement of financial position. This information is intended to provide financial statement users with an understanding of the risks inherent in the transferred financial assets as well as in other financial assets and liabilities that it manages together with transferred financial assets. For example, information for receivables shall include, but is not limited to both of the following:

1. Subparagraph superseded by Accounting Standards Update No. 2009-16.
2. Subparagraph superseded by Accounting Standards Update No. 2009-16.
3. Subparagraph superseded by Accounting Standards Update No. 2009-16.
4. Delinquencies at the end of the period
5. Credit losses, net of recoveries, during the period.

- 860-20-50-4A** The disclosure requirement in paragraph [860-20-50-4D](#) applies to transactions accounted for as a sale that comprise both of the following:
- a. A transfer of financial assets to a transferee
 - b. An agreement entered into in contemplation of the initial transfer with the transferee that results in the transferor retaining substantially all of the exposure to the economic return on the transferred financial asset throughout the term of the transaction. For purposes of this paragraph, an agreement entered into in contemplation of the initial transfer refers to transactions that depend on the execution of one another and that are entered into for the same business purpose.
- 860-20-50-4B** The transactions described in paragraph [860-20-50-4A](#) include both of the following types:
- a. Transfers of financial assets with an agreement to repurchase the transferred financial asset (or a substantially-the-same financial asset) before maturity at a fixed or determinable price that will be settled in a form other than the return of the transferred financial asset (for example, the transaction is cash-settled)
 - b. Transfers of financial assets with an agreement that requires that the transferor retain substantially all of the exposure to the economic return on the transferred financial asset (for example, a sale with a total return swap).
- 860-20-50-4C** The following items are not subject to the requirements in paragraph [860-20-50-4D](#):
- a. Transfers of financial assets with an agreement to purchase another financial asset that is not substantially the same as the initial transferred financial asset in accordance with paragraph [860-10-40-24\(a\)](#), for example, a dollar roll transaction accounted for as a sale because the financial asset to be purchased is not substantially the same as the initially transferred financial asset in accordance with paragraph [860-10-40-24\(a\)](#)
 - b. Transactions described in paragraph [860-20-50-2](#) that are subject to the disclosures in paragraphs [860-20-50-3 through 50-4](#).
- 860-20-50-4D** To provide an understanding of the nature of the transactions, the transferor's continuing exposure to the transferred financial assets, and the presentation of the components of the transaction in the financial statements, an entity shall disclose the following for outstanding transactions at the reporting date that meet the scope guidance in paragraphs [860-20-50-4A through 50-4B](#) by type of transaction (for example, [repurchase agreement](#), securities lending transaction, and sale and total return swap) (except for those transactions that are excluded from the scope, as described in paragraph [860-20-50-4C](#)):
- a. The carrying amount of assets derecognized as of the date of derecognition:
 1. If the amounts that have been derecognized have changed significantly from the amounts that have been derecognized in prior periods or are not representative of the activity

throughout the period, a discussion of the reasons for the change shall be disclosed.

- b. The amount of gross cash proceeds received by the transferor for the assets derecognized as of the date of derecognition.
- c. Information about the transferor's ongoing exposure to the economic return on the transferred financial assets:

1. As of the reporting date, the fair value of assets derecognized by the transferor.
2. Amounts reported in the statement of financial position arising from the transaction (for example, the carrying value or fair value of forward repurchase agreements or swap contracts). To the extent that those amounts are captured in the derivative disclosures presented in accordance with paragraph [815-10-50-4B](#), an entity shall provide a cross-reference to the appropriate line item in that disclosure.
3. A description of the arrangements that result in the transferor retaining substantially all of the exposure to the economic return on the transferred financial assets and the risks related to those arrangements.

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Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

To provide an understanding of the nature of the transactions, the transferor's continuing exposure to the transferred financial assets, and the presentation of the components of the transaction in the financial statements, an entity shall disclose the following for outstanding transactions at the interim and annual reporting dates that meet the scope guidance in paragraphs [860-20-50-4A through 50-4B](#) by type of transaction (for example, [repurchase agreement](#), securities lending transaction, and sale and total return swap) (except for those transactions that are excluded from the scope, as described in paragraph [860-20-50-4C](#)):

- a. The carrying amount of assets derecognized as of the date of derecognition:
 1. If the amounts that have been derecognized have changed significantly from the amounts that have been derecognized in prior periods or are not representative of the activity throughout the period, a discussion of the reasons for the change shall be disclosed.
- b. The amount of gross cash proceeds received by the transferor for the assets derecognized as of the date of derecognition.
- c. Information about the transferor's ongoing exposure to the economic return on the transferred financial assets:
 1. As of the reporting date, the fair value of assets derecognized by the transferor.
 2. Amounts reported in the statement of financial position arising from the transaction (for example, the carrying value or fair value of forward repurchase agreements or swap contracts). To the extent that those amounts are captured in the derivative disclosures presented in accordance with paragraph [815-10-50-4B](#), an entity shall provide a cross-reference to the appropriate line item in that disclosure.
 3. A description of the arrangements that result in the transferor retaining substantially all of the exposure to the economic return on the transferred financial assets and the risks related to those arrangements.

· > Sales of Loans and Trade Receivables

860-20-50-5

The aggregate amount of gains or losses on sales of loans or trade receivables (including adjustments to record loans held for sale at the lower of amortized cost basis or fair value) shall be presented separately in the financial statements or disclosed in the notes to financial statements. See Topic [310](#) on receivables and Topic [326](#) on measurement of credit losses for a full discussion of disclosure requirements for loans and trade receivables.

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Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, the aggregate amount of gains or losses on sales of loans or trade receivables (including adjustments to record loans held for sale at the lower of amortized cost basis or fair value) shall be presented separately in the financial statements or disclosed in the notes to financial statements. See Topic [310](#) on receivables and Topic [326](#) on measurement of credit losses for a full discussion of disclosure requirements for loans and trade receivables.

860-20-50-6

[Paragraphs 860-20-50-6 through 50-9 superseded by Accounting Standards Update No. 2009-16.](#)

55 Implementation Guidance and Illustrations

 **General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

860-20-55-1

The following is implementation guidance related to the guidance in this Subtopic, specifically:

- a. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
- b. Estimating the fair value of certain beneficial interests
- c. Accrued interest receivable
- d. Options embedded in transferred securities
- e. Credit risk associated with transferred assets
- f. [Transfer](#) of a bond purchased at a premium
- g. Sales or [securitizations](#) of lease receivables

- h. Subparagraph superseded by Accounting Standards Update No. 2009-16.
- i. Forward contracts in revolving-period securitizations
- j. Subsequent measurement of interests issued in securitization transactions
- k. Transferor regains control of assets through a removal-of-accounts provision.

860-20-55-2 Paragraphs 860-20-55-2 through 55-15 superseded by Accounting Standards Update No. 2009-16.

· > Estimating the Fair Value of Certain Beneficial Interests

860-20-55-16 Trust liquidation methods that allocate receipts of principal or interest between beneficial interest holders and transferors in proportions different from their stated percentage of ownership interests do not affect whether the transferor should obtain sale accounting and derecognize those transferred assets, assuming the trust is not required to be consolidated by the transferor. However, both turbo and bullet provisions in securitization structures (as discussed in paragraph 860-10-05-3) should be taken into consideration in determining the fair values of assets obtained by the transferor and transferee.

· > Accrued Interest Receivable

860-20-55-17 The receivables for accrued fee and finance charge income on an investors' portion of the transferred credit card receivables, whether billed but uncollected or accrued but unbilled, are commonly referred to as accrued interest receivable. The following addresses how the accrued interest receivable related to securitized and sold receivables should be accounted for and reported under this Subtopic. This guidance applies to credit card securitizations as well as other kinds of securitizations.

860-20-55-18 The right to receive the accrued interest receivable, if and when collected, is transferred to the securitization trust. Generally, if a securitization transaction meets the criteria for sale treatment and the accrued interest receivable is subordinated either because the asset has been isolated from the transferor (see paragraph 860-10-40-5) or because of the operation of the cash flow distribution (or waterfall) through the securitization trust, the total accrued interest receivable should be considered to be one of the components of the sale transaction. Therefore, under the circumstances described, the accrued interest receivable asset should be accounted for as a transferor's interest. It is inappropriate to report the accrued interest receivable related to securitized and sold receivables as loans receivable or other terminology implying that it has not been subordinated to the senior interests in the securitization.

860-20-55-19 While, under the circumstances described, the accrued interest receivable is a transferor's interest, it is not required to be subsequently measured like an investment in debt securities classified as available for sale or trading under Topic 320 or the Transfers and Servicing Topic because the accrued interest receivable cannot be contractually prepaid or settled in such a way that the owner would not recover substantially all of its recorded investment. Entities should follow existing applicable accounting standards, including Topic 326 on measurement of credit losses, in subsequent accounting for the accrued interest receivable asset.

· > Options Embedded in Transferred Securities

860-20-55-20 This guidance addresses transactions that involve the sale of a marketable security to a third-party buyer, with the buyer's having an option to put the security back to the seller at a specified future date or dates for a fixed price. Because of the put option, the seller generally receives a premium price for the security.

860-20-55-21 If the transfer is accounted for as a sale, a put option that enables the holder to require the writer of the option to reacquire for cash or other assets a marketable security or an equity instrument issued by a third party should be accounted for as a derivative by both the holder and the writer, provided the

put option meets the definition of a derivative in paragraph 815-10-15-83 (including meeting the net settlement requirement, which may be met if the option can be net settled in cash or other assets or if the asset required to be delivered is readily convertible to cash). If multiple put options exist, recognition of the multiple put options as liabilities, and initial measurement at fair value, are required.

860-20-55-22 A put option that is issued as part of a transfer being accounted for as a sale that is not accounted for as a derivative under Subtopic 815-10 would be considered a guarantee under paragraph 460-10-55-2(b) and would be subject to its initial recognition, initial measurement, and disclosure requirements. If the written put option is accounted for as a derivative under Subtopic 815-10 by the seller-transferor, then the put option would be subject to only the disclosure requirements of Topic 460.

860-20-55-23 If the transaction is accounted for as a secured borrowing under Subtopic 860-30, any difference between the sale proceeds and the put price shall be accrued as interest expense, and any impairment of the underlying security would generally not be recognized. The difference between the original sale price and the put price should be amortized over the period to the first date the securities are eligible to be put back. If the transfer is accounted for as a secured borrowing, the put option falls under paragraph 815-10-15-63, which provides a scope exception for a derivative instrument (such as the put option) that serves as an impediment to sale accounting under Subtopic 860-10. The guidance in paragraph 815-10-55-41 may also be relevant.

· > Credit Risk Associated with Transferred Assets

860-20-55-24 A transferor may hold some portion of the credit risk associated with a transfer of an entire financial asset or group of entire financial assets. For example, a transferor may incur a liability to reimburse the transferee, up to a certain limit, for a failure of debtors to pay when due (a recourse liability). In that circumstance, a liability should be separately recognized and initially measured at fair value. That liability should be subsequently measured according to guidance in other Topics for measuring similar liabilities. In other circumstances, a transferor may provide credit enhancement through its ownership of a beneficial interest in the transferred financial assets if that beneficial interest is not paid until the other investors in the transferred financial assets are paid, thereby resulting in the transferor absorbing much of the related credit risk. As a result, the beneficial interests that are obtained by the transferor should be initially recognized according to paragraph 860-20-25-1.

860-20-55-24A If the transfer does not consist of an entire financial asset or group of entire financial assets, the transferred financial asset must meet the definition of a participating interest. Paragraph 860-10-40-6A(c)(4) states that, to meet that definition, participating interest holders shall have no recourse to the transferor (or its consolidated affiliates included in the financial statements being presented or its agents) or to each other, other than any of the following:

- a. Standard representations and warranties
- b. Ongoing contractual obligations to service the entire financial asset and administer the transfer contract
- c. Contractual obligations to share in any set-off benefits received by any participating interest holder.

That recourse would result in the transfer being accounted for as a secured borrowing under Subtopic 860-30.

· > Transfer of a Bond Purchased at a Premium

860-20-55-25 Assume an entity transfers a bond to an unconsolidated entity for cash and beneficial interests. When the transferor purchased the bond, it paid a premium for it (or bought it at a discount), and that

premium (or discount) was not fully amortized (or accreted) at the date of the transfer. In other words, the carrying amount of the bond included a premium (or discount) at the date of the transfer. If the transfer of the bond is accounted for as a secured borrowing under Subtopic [860-30](#), the transferor would continue to amortize (or accrete) the premium (or discount) because paragraph [860-30-25-2](#) requires that the transferor continue to report the transferred financial assets in its statement of financial position with no change in their measurement (that is, basis of accounting). If the transfer of the bond satisfies the conditions to be accounted for as a sale, any beneficial interests received as proceeds would be initially recognized at fair value. As a result, the previously existing premium (or discount) would not continue to be amortized (or accreted); rather, the unamortized (or nonaccreted) amount would be included in the calculation of the gain (or loss) as of the transfer date.

· > Sales or Securitizations of Lease Receivables

860-20-55-26 A transferor of lease receivables shall allocate the gross investment in receivables between [lease payments](#), residual values guaranteed at commencement, and residual values not guaranteed at commencement using the individual carrying amounts of those components at the date of transfer. Those transferors also shall record a servicing asset or liability in accordance with Subtopic [860-50](#), if appropriate.

860-20-55-27 See paragraph [860-10-55-6](#) for further discussion of lease receivables.

860-20-55-28 Paragraph superseded by Accounting Standards Update No. 2009-16.

· > Forward Contracts in Revolving-Period Securitizations

860-20-55-29 The requirement that all financial assets obtained and liabilities incurred by the transferor of a securitization that qualifies as a sale shall be recognized and measured as provided in this Subtopic includes the implicit forward contract to sell additional financial assets during a revolving period. Such a forward contract may become valuable or onerous to the transferor as interest rates and other market conditions change.

860-20-55-30 The value of the forward contract implicit in a revolving-period securitization arises from the difference between the agreed-upon rate of return to investors on their beneficial interests in the trust and current market rates of return on similar investments. For example, if the agreed-upon annual rate of return to investors in a trust is 6 percent, and later market rates of return for those investments increased to 7 percent, the forward contract's value to the transferor (and burden to the investors) would approximate the present value of 1 percent of the amount of the investment for each year remaining in the revolving structure after the receivables already transferred have been collected. If a forward contract to sell receivables is entered into at the market rate, its value at inception may be zero. Changes in the fair value of the forward contract are likely to be greater if the investors receive a fixed rate than if the investors receive a rate that varies based on changes in market rates.

860-20-55-31 Gain or loss recognition for revolving-period receivables sold to a securitization trust is limited to receivables that exist and have been sold.

· > Financial Assets Subject to Prepayment

860-20-55-32 The following is implementation guidance related to the subsequent measurement of various types of financial assets subject to prepayment, specifically:

- a. Instruments that can be prepaid or otherwise settled in such a way that the holder would not recover substantially all of the recorded investment
- b. Loan that can be prepaid or otherwise settled in such a way that the holder would not recover substantially all of the recorded investment at initial acquisition
- c. Classification of a residual tranche in a securitization as held to maturity.

· · > Instruments That Can Be Prepaid or Otherwise Settled in Such a Way That the Holder Would Not Recover Substantially All of the Recorded Investment

- 860-20-55-33** The following discusses whether the following types of instruments are subject to the subsequent measurement guidance in paragraph [860-20-35-2](#):
- a. A [financial asset](#) that is not a debt security denominated in a foreign currency
 - b. A note for which the repayment amount is indexed to the creditworthiness of a party other than the issuer.
- 860-20-55-34** Investing in a financial asset that is denominated in a foreign currency often exposes an entity to foreign currency exchange rate risk; however, that risk is not addressed in paragraph [860-20-35-2](#).
- 860-20-55-35** A financial asset that is not a debt security under Topic [320](#) is not subject to the requirements of paragraph [860-20-35-2](#) because it is denominated in a foreign currency.
- 860-20-55-36** An entity is not required to measure such an investment like a debt security under paragraph [860-20-35-2](#) unless it has provisions that allow it to be contractually prepaid or otherwise settled in such a way that the holder would not recover substantially all of its recorded investment, as denominated in the foreign currency. For example, an investment denominated in deutsche marks by an entity with a U.S. dollar functional currency would not be subject to that paragraph if the contract requires that substantially all of the invested deutsche marks be repaid.
- 860-20-55-37** A note for which the repayment amount is indexed to the creditworthiness of a party other than the issuer is subject to the provisions of paragraph [860-20-35-2](#) because the event that might cause the holder to receive less than substantially all of its recorded investment is based on a contractual provision, not on a default by the borrower (that is, the issuer of the note). That contractual provision indexes the payment terms of the note to a default by a third party unrelated to the issuer of the note. If that note is within the scope of Subtopic [815-10](#) the guidance of paragraph [860-20-35-2](#) would not apply.

· · > Loan That Can Be Prepaid or Otherwise Settled in Such a Way That the Holder Would Not Recover Substantially All of the Recorded Investment at Initial Acquisition

- 860-20-55-38** A loan (that is not a debt security) that when initially obtained could be contractually prepaid or otherwise settled in such a way that the holder would not recover substantially all of its recorded investment may be reclassified as held for investment later in its life (that is, at a date that is so close to the financial asset's maturity that the holder would recover substantially all of its recorded investment even if it was prepaid). That is, the loan would no longer be required to be measured in accordance with the guidance in paragraph [860-20-35-2](#) if both of the following conditions are met:
- a. It would no longer be possible for the holder not to recover substantially all of its recorded investment upon contractual prepayment or settlement.
 - b. The conditions for amortized cost accounting are met (for example, paragraphs [310-10-35-47](#) and [948-310-25-1](#)).
- However, any unrealized holding gain or loss arising under the available-for-sale classification that exists at the date of the reclassification would continue to be reported in other comprehensive income but should be amortized over the remaining life of the loan as an adjustment of yield. (The loan would not be classified as held to maturity because under Topic [320](#) only debt securities may be classified as held to maturity.)

· · > Classification of a Residual Tranche in a Securitization as Held to Maturity

860-20-55-39 Whether a residual tranche debt security in a securitization of financial assets (for example, receivables) using a securitization entity can be classified as held to maturity depends on the facts and circumstances. If the contractual provisions of the residual tranche debt security provide that the residual tranche can contractually be prepaid or otherwise settled in such a way that the holder would not recover substantially all of its recorded investment, paragraph [860-20-35-2](#) precludes the residual tranche debt security from being accounted for as held to maturity. In contrast, if the only way that the holder of the residual tranche would not recover substantially all of its recorded investment would be in response to a default by the borrower (debtor), then a held-to-maturity classification is acceptable if the conditions specified for a held-to-maturity classification in paragraphs [320-10-25-1\(c\)](#) and [320-10-25-5\(a\)](#) have been met.

· > Regaining Control through a Removal-of-Accounts Provision

860-20-55-40 This guidance addresses implementation of paragraph [860-20-25-11](#). Under that paragraph's guidance, if the removal-of-accounts provision is not exercised, the financial assets are recognized because the transferor now can unilaterally cause the transferee to return those specific financial assets and, therefore, the transferor once again has effective control over those transferred financial assets (see paragraphs [860-20-25-8](#) through [25-10](#)).

860-20-55-41 Similarly, when a contingency related to a transferor's contingent right has been met, the transferor generally must account for the repurchase of a specific subset of the financial assets transferred to and held by the entity. When the contingency has been met, the transferor has a unilateral right to purchase a specific transferred financial asset. At that point, the transferor must determine whether the unilateral right to purchase a specific transferred financial asset provides the transferor with a more-than-trivial benefit. If the unilateral right to purchase a specific transferred financial asset provides the transferor with a more-than-trivial benefit, the transfer fails the criterion in paragraph [860-10-40-5\(c\)\(2\)](#). The transferor must perform this analysis regardless of whether it intends to exercise its call option.

860-20-55-42 Although this guidance uses removal-of-accounts provisions as an example, the guidance is not limited to removal-of-accounts provisions. Contingent rights can arise in many other situations. See paragraphs [860-10-55-39](#) through [55-42](#) for more information.

> Illustrations

· > Example 1: Recording Transfers with Proceeds of Cash, Derivative Instruments, and Other Liabilities

860-20-55-43 This Example illustrates the guidance in paragraphs [860-20-25-1](#) and [860-20-30-1](#). Entity A transfers entire loans with a carrying amount of \$1,000 to an unconsolidated securitization entity and receives proceeds with a fair value of \$1,030, and the transfer is accounted for as a sale. Entity A undertakes no obligation to service and assumes a limited recourse obligation to repurchase delinquent loans. Entity A agrees to provide the transferee a return at a variable rate of interest even though the contractual terms of the loan are fixed rate in nature (that provision is effectively an interest rate swap).

860-20-55-44 This Example has the following assumptions.

<u>Fair Values</u>	
Cash proceeds	\$1,050
Interest rate swap asset	40
Recourse obligation	60
<u>Net Proceeds</u>	
Cash received	\$1,050
Plus: Interest rate swap asset	40
Less: Recourse obligation	(60)
Net proceeds	<u>\$1,030</u>
<u>Gain on Sale</u>	
Net proceeds	\$1,030
Less: Carrying amount of loans sold	(1,000)
Gain on sale	<u>\$ 30</u>

860-20-55-45 The following journal entry is made by Entity A.

Journal Entry	
Cash	\$1,050
Interest rate swap asset	40
Loans	\$1,000
Recourse obligation	60
Gain on sale	30
To record transfer	

· > Example 2: Recording Transfers of Participating Interests

860-20-55-46 This Example illustrates the guidance in paragraph 860-20-25-1. This Example assumes the conditions for a sale in paragraph 860-10-40-5 are met. Entity B transfers a nine-tenths participating interest in a loan with a fair value of \$1,100 and a carrying amount of \$1,000, and the transfer is accounted for as a sale. The servicing contract has a fair value of zero because Entity B estimates that the benefits of servicing are just adequate to compensate it for its servicing responsibilities.

860-20-55-47 This Example has the following assumptions.

Fair Values			
Cash proceeds for nine-tenths participating interest sold ($\$1,100 \times 9/10$)		\$990	
One-tenth participating interest that continues to be held by the transferor ($\$1,100 \times 1/10$)		110	
Allocated Carrying Amount Based on Relative Fair Values			
	Fair Value	Percentage of Total Fair Value	Allocated Carrying Amount
Nine-tenths participating interest sold	\$ 990	90	\$ 900
One-tenth participating interest that continues to be held by the transferor	110	10	100
Total	<u>\$ 1,100</u>	<u>100</u>	<u>\$ 1,000</u>

Gain on Sale		
Net proceeds	\$990	
Less: Carrying amount of loans sold	<u>(900)</u>	
Gain on sale	<u>\$ 90</u>	

860-20-55-48 The following journal entry is made by Entity B.

Journal Entry

Cash	\$990	
Loans		\$900
Gain on sale		90

To record transfer

860-20-55-49 Paragraphs 860-20-55-49 through 55-57 superseded by Accounting Standards Update No. 2009-16.

· > Example 5: Transfer of Lease Receivables with Residual Values

860-20-55-58 [860-20-25-1](#) At the beginning of the second year in a 10-year sales-type lease, Entity E transfers for \$505 a nine-tenths participating interest in the lease receivable to an independent third party, and the transfer is accounted for as a sale. Entity E retains a one-tenth participating interest in the lease receivable and a 100 percent interest in the unguaranteed residual asset, which is not subject to the requirements of this Subtopic as discussed in paragraph [860-10-55-6](#) because it is not a financial asset and, therefore, is excluded from the analysis of whether the transfer of the nine-tenths participating interest in the lease receivable meets the definition of a participating interest. The servicing asset has a fair value of zero because Entity E estimates that the benefits of servicing are just adequate to compensate it for its servicing responsibilities. The carrying amounts and related gain computation are as follows.

Carrying Amounts

Lease receivable	\$ 540
Unearned income related to lease receivable	370
Gross investment in lease receivable	<u>910</u>
Unguaranteed residual asset	\$ 30
Unearned income related to unguaranteed residual asset	<u>60</u>
Gross investment in unguaranteed residual asset	90
Total gross investment in lease receivable	<u><u>\$ 1,000</u></u>

Gain on Sale

Cash received	\$ 505
Nine-tenths of carrying amount of gross investment in lease receivable	\$ 819
Nine-tenths of carrying amount of unearned income related to lease receivable	<u>333</u>
Net carrying amount of lease receivable sold	<u>486</u>
Gain on sale	<u><u>\$ 19</u></u>

860-20-55-59 The following journal entry is made by Entity E.

Journal Entry

Cash	\$ 505
Unearned income	333
Lease receivable	\$ 819
Gain on sale	19

To record sale of nine-tenths of the lease receivable at the beginning of Year 2

860-20-55-60 [Paragraphs 860-20-55-60 through 55-82 superseded by Accounting Standards Update No. 2009-16.](#)

· > Example 10: Rerecognition of Transferred Assets and Subsequent Accounting for Transferor's Interest and a Servicing Asset

860-20-55-83 This Example illustrates the accounting for a sale of loans in their entirety by a transferor to an unconsolidated entity and the subsequent accounting for the transferor's interest and a servicing asset. In this Example, the transferor's interest is an [interest-only strip](#) that is accounted for at fair value in the same manner as an available-for-sale security under paragraph [860-20-35-2](#).

860-20-55-84 This Example has the following assumptions.

860-20-55-85 On January 2, 20X1, Entity I (the transferor) originates \$1,000 of loans, yielding 10.5 percent interest income for their estimated life of 9 years. Entity I later transfers the loans in their entirety to an unconsolidated entity and accounts for the transfer as a sale. Entity I receives as proceeds \$1,000

cash plus a beneficial interest that entitles it to receive 1 percent of the contractual interest (an interest-only strip receivable). Entity I will continue to service the loans for a fee of 100 basis points. The guarantor, a third party, receives 50 basis points as a guarantee fee.

860-20-55-86

At the date of transfer, the following facts are assumed.

- a. The fair value of the servicing asset is \$40.
- b. The total fair value of the loans including servicing is \$1,040.
- c. The fair value of the interest-income strip receivable is \$60.

860-20-55-87

On December 1, 20X1, an event occurs that results in the transfer not meeting the conditions for sale accounting. The fair value of the originally transferred financial assets that remain outstanding in the entity on that date is \$929. The fair value of Entity I's interest (in the form of an interest-only strip) on that date is \$58. The fair value of the servicing asset on that date is \$38. The guarantee that was entered into by the entity does not trade with the underlying financial assets. The fees on this guarantee will be paid as part of the cash waterfall.

860-20-55-88

All cash flows from the financial assets transferred to the trust are initially sent directly to the trust and then distributed in order of priority. The priority of payments in the cash waterfall is as follows: servicing fees, guarantees, amounts due to outside beneficial interest holders, and amounts due to Transferor's beneficial interest.

860-20-55-89

[Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

860-20-55-90

The following journal entries would be made.

January 2, 20X1

Cash	\$1000	
Transferor's interest (available for sale)	60	
Servicing asset	40	
Loans		\$1000
Gain on sale		100

To record the sale of the assets and to recognize Entity I's interest and a servicing asset at fair value.

December 1, 20X1

Other comprehensive income	\$2	
Entity I's interest (available for sale)		\$2

To subsequently measure Entity I's interest in the same manner as an available-for-sale security.

860-20-55-91

The following illustrates the accounting entry to be made after the event occurs that results in the transfer not meeting the conditions for sale accounting.

December 1, 20X1

Loans	\$929	
Due to Securitization Entity		\$929

To recognize the previously sold loans on Entity I's books along with the obligation to pass the cash flows associated with those loans to Securitization Entity.

860-20-55-92

Entity I would account for the rerecognized financial assets and transferor's interests as follows:

- a. Entity I would continue to account for transferor's interests (in accordance with paragraph [320-10-35-1](#)) at fair value with changes in fair value recognized in other comprehensive income.
- b. Entity I would account for the loans at cost plus accrued interest in accordance with Subtopic [310-20](#).

860-20-55-93 Paragraphs 860-20-55-93 through 55-107 superseded by Accounting Standards Update No. 2009-16.

· > Example 11: Disclosure of Certain Transfers of Financial Assets Accounted for as Sales with Agreements That Result in the Transferor Retaining Substantially All of the Exposure to the Economic Return on the Transferred Financial Asset

860-20-55-108 This Example illustrates one approach for satisfying the quantitative disclosure requirements in paragraph 860-20-50-4D.

Transfers of Financial Assets Accounted for as Sales (Dollars in millions)					
Type of Transaction	At the Date of Derecognition for Transactions Outstanding			At the Reporting Date	
	Carrying Amount Derecognized	Gross Cash Proceeds Received for Assets Derecognized	Fair Value of Transferred Assets	Gross Derivative Assets Recorded ^{(a) (b)}	Gross Derivative Liabilities Recorded ^{(a) (b)}
Repurchase agreements	\$ XX	\$ XX	\$ XX	\$ XX	XX
Sale and a total return swap	XX	XX	XX	XX	XX
Securities lending	XX	XX	XX	XX	XX
Total	\$ XX	\$ XX	\$ XX	\$ XX	XX

(a) Balances are presented on a gross basis, before the application of counterparty and cash collateral offsetting.

(b) \$XX of gross derivative assets and \$XX of gross derivative liabilities are included as interest rate contracts in note X on derivative disclosures. \$XX of gross derivative assets and \$XX of gross derivative liabilities are included as credit risk contracts in note X on derivative disclosures.

860 Transfers and Servicing

30 Secured Borrowing and Collateral

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

Paragraph	Action	Accounting Standards Update	Date
Beneficial Interests	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Not-for-Profit Entity	Added	Accounting Standards Update No. 2023-06	10/09/2023
Public Business Entity	Added	Accounting Standards Update No. 2023-06	10/09/2023

Repurchase Agreement	Added	Accounting Standards Update No. 2014-11	06/12/2014
Repurchase Agreement			
Accounted for as a Collateralized Borrowing	Added	Accounting Standards Update No. 2014-11	06/12/2014
Repurchase-to-Maturity Transaction	Added	Accounting Standards Update No. 2014-11	06/12/2014
Reverse Repurchase Agreement			
Accounted for as a Collateralized Borrowing	Added	Accounting Standards Update No. 2014-11	06/12/2014
Security	Added	Accounting Standards Update No. 2023-06	10/09/2023
Transferee	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-30-10-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-30-15-1	Amended	Accounting Standards Update No. 2023-06	10/09/2023
860-30-25-2	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-30-25-6	Amended	Accounting Standards Update No. 2014-11	06/12/2014
860-30-25-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-30-45-2	Amended	Accounting Standards Update No. 2023-06	10/09/2023
860-30-45-2A	Added	Accounting Standards Update No. 2023-06	10/09/2023
860-30-45-3	Amended	Accounting Standards Update No. 2023-06	10/09/2023
860-30-45-3	Amended	Maintenance Update 2015-11 	06/19/2015
860-30-50-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-30-50-1A	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-30-50-1A	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-30-50-2 through 50-5	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-30-50-6	Superseded	Accounting Standards Update No. 2014-11	06/12/2014
860-30-50-6	Added	Accounting Standards Update No. 2013-01	01/31/2013
860-30-50-7	Amended	Accounting Standards Update No. 2023-06	10/09/2023
860-30-50-7	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-30-50-8	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-30-50-9 through 50-12	Added	Accounting Standards Update No. 2023-06	10/09/2023
860-30-55-4	Amended	Accounting Standards Update No. 2023-06	10/09/2023
860-30-55-4	Amended	Maintenance Update 2016-11 	06/27/2016
860-30-55-4	Added	Accounting Standards Update No. 2014-11	06/12/2014
860-30-60-1	Amended	Accounting Standards Update No. 2014-11	06/12/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 860-30-05-1** This Subtopic provides guidance on transactions that are accounted for as secured borrowings with a [transfer](#) of [collateral](#).
- 860-30-05-2** A debtor (obligor) may grant a [security interest](#) in certain assets to a lender (the secured party) to serve as collateral for its obligation under a borrowing, with or without [recourse](#) to other assets of the obligor. An obligor under other kinds of current or potential obligations, for example, interest rate swaps, also may grant a security interest in certain assets to a secured party.
- 860-30-05-3** If collateral is transferred to the secured party, the custodial arrangement is commonly referred to as a pledge. Secured parties sometimes are permitted to sell or repledge (or otherwise transfer) collateral held under a pledge. The same relationships occur, under different names, in transfers documented as sales that are accounted for as secured borrowings (see paragraph [860-30-25-2](#)).

10 Objectives

i General Note: The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 860-30-10-1** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

860-30-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [860-10-15](#), with specific transaction qualifications noted below.

 PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [860-10-15](#), with specific transaction qualifications noted below. Paragraph [860-30-50-7\(d\)](#) applies to [public business entities](#) only.

> Transactions

860-30-15-2 The [collateral](#) accounting provisions of paragraphs [860-30-25-5](#), [860-30-30-1](#), and [860-30-45-1](#) apply to all [transfers](#) of financial assets pledged as collateral in a transaction accounted for as a secured borrowing.

860-30-15-3 The guidance in this Subtopic applies to many types of transactions in which cash is obtained in exchange for financial assets with an obligation for an opposite exchange later. For example, that guidance may apply to any of the following types of transactions with those characteristics:

- a. [Repurchase agreements](#)
- b. Dollar rolls
- c. Securities lending transactions.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Agent

A party that acts for and on behalf of another party. For example, a third-party intermediary is an agent of the transferor if it acts on behalf of the transferor.

Beneficial Interests

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Collateral

Personal or real property in which a security interest has been given.

Derecognize

Remove previously recognized assets or liabilities from the statement of financial position.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
 - b. Operating purposes other than to provide goods or services at a profit
 - c. Absence of ownership interests like those of business entities.
- Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Participating Interest

Paragraph [860-10-40-6A](#) defines the term participating interest.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a [not-for-profit entity](#) nor an employee benefit plan is a business entity.

- a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).
- b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.
- c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.
- d. It has issued, or is a conduit bond obligor for, [securities](#) that are traded, listed, or quoted on an exchange or an over-the-counter market.
- e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Recourse

The right of a transferee of receivables to receive payment from the transferor of those receivables for any of the following:

- a. Failure of debtors to pay when due
- b. The effects of prepayments
- c. Adjustments resulting from defects in the eligibility of the transferred receivables.

Repurchase Agreement

An agreement under which the transferor (repo party) transfers a [financial asset](#) to a transferee (repo counterparty or reverse party) in exchange for cash and concurrently agrees to reacquire that financial

asset at a future date for an amount equal to the cash exchanged plus or minus a stipulated interest factor. Instead of cash, other securities or letters of credit sometimes are exchanged. Some repurchase agreements call for repurchase of financial assets that need not be identical to the financial assets transferred.

Repurchase Agreement Accounted for as a Collateralized Borrowing

A repurchase agreement (repo) refers to a transaction in which a seller-borrower of securities sells those securities to a buyer-lender with an agreement to repurchase them at a stated price plus interest at a specified date or in specified circumstances. A repurchase agreement accounted for as a collateralized borrowing is a repo that does not qualify for sale accounting under Topic 860. The payable under a repurchase agreement accounted for as a collateralized borrowing refers to the amount of the seller-borrower's obligation recognized for the future repurchase of the securities from the buyer-lender. In certain industries, the terminology is reversed; that is, entities in those industries refer to this type of agreement as a reverse repo.

Repurchase-to-Maturity Transaction

A [repurchase agreement](#) in which the settlement date of the agreement to repurchase a transferred financial asset is at the maturity date of that financial asset and the agreement would not require the transferor to reacquire the financial asset.

Reverse Repurchase Agreement Accounted for as a Collateralized Borrowing

A reverse repurchase agreement accounted for as a collateralized borrowing (also known as a reverse repo) refers to a transaction that is accounted for as a collateralized lending in which a buyer-lender buys securities with an agreement to resell them to the seller-borrower at a stated price plus interest at a specified date or in specified circumstances. The receivable under a reverse repurchase agreement accounted for as a collateralized borrowing refers to the amount due from the seller-borrower for the repurchase of the securities from the buyer-lender. In certain industries, the terminology is reversed; that is, entities in those industries refer to this type of agreement as a repo.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Security Interest

A form of interest in property that provides that upon default of the obligation for which the security interest is given, the property may be sold to satisfy that obligation.

Transfer

The conveyance of a noncash financial asset by and to someone other than the issuer of that financial asset.

A transfer includes the following:

- a. Selling a receivable
- b. Putting a receivable into a securitization trust
- c. Posting a receivable as collateral.

A transfer excludes the following:

- a. The origination of a receivable
- b. Settlement of a receivable
- c. The restructuring of a receivable into a security in a troubled debt restructuring.

Transferee

An entity that receives a financial asset, an interest in a financial asset, or a group of financial assets from a transferor.

Transferor

An entity that transfers a financial asset, an interest in a financial asset, or a group of financial assets that it controls to another entity.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

860-30-25-1

This Section provides guidance on the recognition of [transfers](#) of financial assets as secured borrowings with a pledge of [collateral](#). It addresses the following areas:

- a. Cash collateral
- b. Noncash collateral

- c. Cash or securities received as proceeds
- d. Sales of collateral received.

860-30-25-2

The [transferor](#) and [transferee](#) shall account for a transfer as a secured borrowing with pledge of collateral in either of the following circumstances:

- a. If a transfer of an entire financial asset, a group of entire financial assets, or a [participating interest](#) in an entire financial asset does not meet the conditions for a sale in paragraph [860-10-40-5](#)
- b. If a transfer of a portion of an entire financial asset does not meet the definition of a participating interest.

The transferor shall continue to report the transferred financial asset in its statement of financial position with no change in the asset's measurement (that is, basis of accounting).

> Cash Collateral

860-30-25-3

Transfers of financial assets in exchange for cash collateral cannot be distinguished from borrowing cash. Further, because cash is fungible, it is impossible to determine whether it has been used by the secured party. Accordingly, all cash collateral shall be recorded as an asset by the party receiving it (the secured party), together with a liability for the obligation to return it to the payer (obligor), whose asset is a receivable.

860-30-25-4

Cash collateral used, for example, in securities lending transactions (see paragraphs [860-10-05-16 through 05-18](#)) shall be derecognized by the obligor and recognized by the secured party, not as collateral but rather as proceeds of either a sale or a borrowing. See paragraphs [860-30-25-6 through 25-9](#) for further discussion of recognition of cash and noncash collateral as proceeds of a transfer.

> Noncash Collateral

860-30-25-5

The accounting for noncash collateral by the obligor (or debtor) and the secured party depends on whether the secured party has the right to sell or repledge the collateral and on whether the obligor has defaulted. Noncash collateral shall be accounted for as follows:

- a. If the secured party (transferee) has the right by contract or custom to sell or repledge the collateral, then paragraph [860-30-45-1](#) requires that the obligor (transferor) reclassify that asset and report that asset in its statement of financial position separately (for example, as security pledged to creditors) from other assets not so encumbered.
- b. If the secured party (transferee) sells collateral pledged to it, it shall recognize the proceeds from the sale and its obligation to return the collateral. The sale of the collateral is a transfer subject to the provisions of this Topic.
- c. If the obligor (transferor) defaults under the terms of the secured contract and is no longer entitled to redeem the pledged asset, it shall [derecognize](#) the pledged asset as required by paragraph [860-30-40-1](#) and the secured party (transferee) shall recognize the collateral as its asset. (See paragraph [860-30-30-1](#) for guidance on the secured party's initial measurement of collateral recognized. See paragraph [860-30-40-1](#) for further guidance if the debtor has sold the collateral.)
- d. Except as provided in paragraph [860-30-40-1](#) the obligor (transferor) shall continue to carry the collateral as its asset, and the secured party (transferee) shall not recognize the pledged asset.

> Cash or Securities Received as Proceeds

- 860-30-25-6** Paragraph [860-10-55-55A](#) discusses securities lending transactions in which the criteria in paragraph [860-10-40-5](#) for a sale are met. The following guidance relates to securities lending or similar transactions in which a transferor (lender) transfers securities and receives either cash or securities as collateral and the transfer does not meet the sale criteria in that paragraph.
- 860-30-25-7** Many securities lending transactions are accompanied by an agreement that both entitles and obligates the transferor to repurchase or redeem the transferred financial assets before their maturity. Paragraph [860-10-40-24](#) states that an agreement that both entitles and obligates the transferor to repurchase or redeem transferred financial assets from the transferee maintains the transferor's effective control over those assets as described in paragraph [860-10-40-5\(c\)\(1\)](#), if all of the conditions in paragraph [860-10-40-24](#) are met. Those transactions shall be accounted for as secured borrowings, in which either cash or securities that the holder is permitted by contract or custom to sell or repledge received as collateral are considered the amount borrowed, the securities loaned are considered pledged as collateral against the cash borrowed and reclassified as set forth in paragraph [860-30-25-5\(a\)](#), and any rebate paid to the transferee of securities is interest on the cash the transferor is considered to have borrowed.
- 860-30-25-8** In a securities lending transaction, the transferor of securities being loaned accounts for cash received in the same way whether the transfer is accounted for as a sale or a secured borrowing. Cash collateral or securities received as collateral that a securities lender is permitted to sell or repledge are the proceeds of a borrowing secured by them. The cash received shall be recognized as the transferor's asset, as shall investments made with that cash, even if made by [agents](#) or in pools with other securities lenders, along with the obligation to return the cash. If securities that may be sold or repledged are received, the transferor of the securities being loaned accounts for those securities in the same way as it would account for cash received. See Example 1 (paragraph [860-30-55-1](#)) for an illustration of a securities lending transaction that is accounted for as a secured borrowing in which cash collateral is transferred.
- 860-30-25-9** As noted in paragraphs [860-30-25-4](#) and [860-30-25-8](#), the collateral accounting provisions do not apply to cash, or securities that can be sold or pledged for cash, received as so-called collateral for noncash financial assets, for example, in certain securities lending transactions. Such cash or securities that can be sold or pledged for cash are accounted for as proceeds of either a sale or a borrowing.

> Sales of Collateral Held

- 860-30-25-10** Obligations to return to the transferor assets borrowed and then sold have sometimes been effectively recognized as part of a liability for securities sold but not yet purchased, and this Section does not require any change in that practice.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Noncash Collateral

860-30-30-1 Noncash [collateral](#) recognized by the secured party as its asset under paragraph [860-30-25-5\(c\)](#) that the secured party has not already sold shall be initially measured at fair value.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

860-30-35-1 This Section provides subsequent measurement guidance for the following assets and liabilities related to [transfers](#) that are accounted for as secured borrowings:

- a. Pledged assets required to be reclassified
- b. Obligation to return transferred [collateral](#).

> Pledged Assets Required to Be Reclassified

860-30-35-2 A [transferor](#) that has transferred collateral that must be reclassified in accordance with paragraph [860-30-25-5\(a\)](#) (for example, as securities pledged to creditors) shall not change its measurement of that collateral. The transferor shall follow the same measurement principles as before the transfer. For example, securities reclassified from the available-for-sale category to securities pledged to creditors should continue to be measured at fair value, with changes in fair value reported in comprehensive income, while debt securities reclassified from the held-to-maturity category to securities pledged to creditors should continue to be measured at amortized cost. See Topic [320](#) for guidance related to measurement of investments in securities classified as available for sale and held to maturity.

> Obligation to Return Transferred Collateral

860-30-35-3 This Section does not provide specific guidance on the subsequent measurement of the obligation to return transferred collateral. The liability to return the collateral shall be measured in accordance with other relevant accounting guidance. Paragraph [942-405-35-1](#) requires that a bank or savings institution that, as [transferee](#), sells transferred collateral subsequently measure that liability like a short sale at fair value.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 860-30-40-1** In circumstances where an obligor ([transferor](#)) [transfers](#) noncash [collateral](#) in a secured borrowing and the obligor (transferor) defaults under the terms of the secured contract and is no longer entitled to redeem the pledged asset, the obligor shall [derecognize](#) the pledged asset. If the secured party has already sold the collateral, the secured party shall derecognize its obligation to return the collateral.
- 860-30-40-2** Otherwise paragraph [860-30-25-5\(c\)](#) addresses the secured party's accounting for the collateral.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 860-30-45-1** If the secured party ([transferee](#)) has the right by contract or custom to sell or repledge the [collateral](#), then the obligor ([transferor](#)) shall reclassify that asset and report that asset in its statement of financial position separately (for example, as security pledged to creditors) from other assets not so encumbered.
- 860-30-45-2** Liabilities incurred by either the secured party or obligor in securities borrowing or resale transactions shall be separately classified.

 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

Liabilities, including accrued interest, incurred by either the secured party or obligor in securities borrowing or resale transactions shall be separately classified.

860-30-45-2A PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

If as of the date of the most recent statement of financial position the aggregate carrying amount of reverse repurchase agreements (securities or other assets purchased under agreements to resell) exceeds 10 percent of total assets, the assets shall be separately classified.

860-30-45-3

This Section does not specify the classification or the terminology to be used to describe the following:

- a. Pledged assets reclassified by the transferor of securities loaned or transferred under a [repurchase agreement accounted for as a collateralized borrowing](#) if the transferee is permitted to sell or repledge those securities
- b. Liabilities incurred by either the secured party or obligor in securities borrowing or resale transactions.

Example 1 (see paragraph [860-30-55-1](#)) illustrates possible classifications and terminology.

 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

This Section does not specify the classification or the terminology to be used to describe the following:

- a. Pledged assets reclassified by the transferor of securities loaned or transferred under a [repurchase agreement accounted for as a collateralized borrowing](#) if the transferee is permitted to sell or repledge those securities
- b. Liabilities, including accrued interest, incurred by either the secured party or obligor in securities borrowing or resale transactions.

Example 1 (see paragraph [860-30-55-1](#)) illustrates possible classifications and terminology.

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

860-30-50-1 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

- 860-30-50-1A** An entity shall disclose all of the following for [collateral](#):
- a. If the entity has entered into [repurchase agreements](#) or securities lending transactions, it shall disclose its policy for requiring collateral or other security.
 - b. As of the date of the latest statement of financial position presented, both of the following:
 1. The carrying amount and classifications of both of the following:
 - i. Any assets pledged as collateral that are not reclassified and separately reported in the statement of financial position in accordance with paragraph [860-30-25-5\(a\)](#)
 - ii. Associated liabilities.
 2. Qualitative information about the relationship(s) between those assets and associated liabilities; for example, if assets are restricted solely to satisfy a specific obligation, a description of the nature of restrictions placed on those assets.
 - c. If the entity has accepted collateral that it is permitted by contract or custom to sell or repledge, it shall disclose all of the following:
 1. The fair value as of the date of each statement of financial position presented of that collateral
 2. The fair value as of the date of each statement of financial position presented of the portion of that collateral that it has sold or repledged
 3. Information about the sources and uses of that collateral.

For overall guidance on Topic [860](#)'s disclosures, see Section [860-10-50](#).

 PENDING CONTENT


Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, an entity shall disclose all of the following for [collateral](#):

- a. If the entity has entered into [repurchase agreements](#) or securities lending transactions, it shall disclose its policy for requiring collateral or other security.
- b. As of the date of the latest statement of financial position presented, both of the following:
 1. The carrying amount and classifications of both of the following:
 - i. Any assets pledged as collateral that are not reclassified and separately reported in the statement of financial position in accordance with paragraph [860-30-25-5\(a\)](#)
 - ii. Associated liabilities.
 2. Qualitative information about the relationship(s) between those assets and associated liabilities; for example, if assets are restricted solely to satisfy a specific obligation, a description of the nature of restrictions placed on those assets.
- c. If the entity has accepted collateral that it is permitted by contract or custom to sell or repledge, it shall disclose all of the following:
 1. The fair value as of the date of each statement of financial position presented of that collateral
 2. The fair value as of the date of each statement of financial position presented of the portion of that collateral that it has sold or repledged
 3. Information about the sources and uses of that collateral.

For overall guidance on Topic [860](#)'s disclosures, see Section [860-10-50](#).

860-30-50-2 Paragraphs [860-30-50-2](#) through [50-5](#) superseded by Accounting Standards Update No. 2009-16.

860-30-50-6 Paragraph superseded by Accounting Standards Update No. 2014-11.

> Disclosures for Repurchase Agreements, Securities Lending Transactions, and Repurchase-to-Maturity Transactions

- 860-30-50-7** To provide an understanding of the nature and risks of short-term collateralized financing obtained through [repurchase agreements](#), securities lending transactions, and [repurchase-to-maturity transactions](#), that are accounted for as secured borrowings at the reporting date, an entity shall disclose the following information for each interim and annual period about the collateral pledged and the associated risks to which the transferor continues to be exposed after the transfer:
- a. A disaggregation of the gross obligation by the class of collateral pledged. An entity shall determine the appropriate level of disaggregation and classes to be presented on the basis of the nature, characteristics, and risks of the collateral pledged.
 1. Total borrowings under those agreements shall be reconciled to the amount of the gross liability for repurchase agreements and securities lending transactions disclosed in accordance with paragraph [210-20-50-3\(a\)](#) before any adjustments for offsetting. Any difference between the amount of the gross obligation disclosed under this paragraph and the amount disclosed in accordance with paragraph [210-20-50-3\(a\)](#) shall be presented as reconciling item(s).

- b. The remaining contractual maturity of the repurchase agreements, securities lending transactions, and repurchase-to-maturity transactions. An entity shall use judgment to determine an appropriate range of maturity intervals that would convey an understanding of the overall maturity profile of the entity's financing agreements.
- c. A discussion of the potential risks associated with the agreements and related collateral pledged, including obligations arising from a decline in the fair value of the collateral pledged and how those risks are managed.

PENDING CONTENT



Transition Date:  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

To provide an understanding of the nature and risks of short-term collateralized financing obtained through [repurchase agreements](#), securities lending transactions, and [repurchase-to-maturity transactions](#), that are accounted for as secured borrowings at the reporting date, an entity shall disclose the following information for each interim and annual period about the collateral pledged and the associated risks to which the transferor continues to be exposed after the transfer:

- a. A disaggregation of the gross obligation by the class of collateral pledged. An entity shall determine the appropriate level of disaggregation and classes to be presented on the basis of the nature, characteristics, and risks of the collateral pledged.
 - 1. Total borrowings under those agreements shall be reconciled to the amount of the gross liability for repurchase agreements and securities lending transactions disclosed in accordance with paragraph [210-20-50-3\(a\)](#) before any adjustments for offsetting. Any difference between the amount of the gross obligation disclosed under this paragraph and the amount disclosed in accordance with paragraph [210-20-50-3\(a\)](#) shall be presented as reconciling item(s).
- b. The remaining contractual maturity of the repurchase agreements, securities lending transactions, and repurchase-to-maturity transactions. An entity shall use judgment to determine an appropriate range of maturity intervals that would convey an understanding of the overall maturity profile of the entity's financing agreements.
- c. A discussion of the potential risks associated with the agreements and related collateral pledged, including obligations arising from a decline in the fair value of the collateral pledged and how those risks are managed.
- d. For a [public business entity](#), the weighted-average interest rate of the repurchase liability and the related repurchase liability.

860-30-50-8

A reporting entity also shall disclose the information required by paragraphs [210-20-50-1 through 50-6](#) for both of the following that are either offset in accordance with Section [210-20-45](#) or subject to an enforceable master netting arrangement or similar agreement:

- a. Recognized [repurchase agreements accounted for as a collateralized borrowing](#) and [reverse repurchase agreements accounted for as a collateralized borrowing](#)
- b. Recognized securities borrowing and securities lending transactions.

> Disclosures for Counterparty Risk for Repurchase Agreements, Securities Lending Transactions, and Repurchase-to-Maturity Transactions

860-30-50-9 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

If as of the date of the most recent statement of financial position the amount at risk under repurchase agreements or the amount at risk under reverse repurchase agreements with any individual counterparty or group of related counterparties exceeds 10 percent of stockholders' equity, an entity shall disclose the name(s) of those counterparties or group of related counterparties, the amount at risk with each, and the weighted-average maturity of the repurchase agreements or reverse repurchase agreements with each.

860-30-50-10 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

As used in this Subtopic, the amount at risk under repurchase agreements is the excess of the carrying amount (or market value, if higher than the carrying amount or if there is no carrying amount) of the securities or other assets sold under agreement to repurchase, including accrued interest plus any cash or other assets on deposit to secure the repurchase obligation, over the amount of the repurchase liability (adjusted for accrued interest).

860-30-50-11 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

As used in this Subtopic, the amount at risk under reverse repurchase agreements is the excess of the carrying amount of the reverse repurchase agreements over the market value of assets delivered in accordance with the agreements by the counterparty to an entity (or to a third-party agent that has affirmatively agreed to act on behalf of the entity) and not returned to the counterparty, except in exchange for their approximate market value in a separate transaction.

860-30-50-12 PENDING CONTENT **Transition Date:**  June 30, 2027;  June 30, 2027 | **Transition Guidance:** [105-10-65-7](#)

If the aggregate carrying amount of reverse repurchase agreements exceeds 10 percent of total assets as described in paragraph [860-30-45-2A](#), an entity shall disclose whether there are any provisions to ensure that the market value of the underlying assets remains sufficient to protect the entity in the event that the counterparty defaults and, if so, the nature of those provisions.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

> Example 1: Securities Lending Transaction Accounted for as a Secured Borrowing

860-30-55-1 This Example illustrates the guidance in paragraph 860-30-25-8 related to accounting for a securities lending transaction treated as a secured borrowing, in which the securities borrower sells the securities upon receipt and later buys similar securities to return to the securities lender. This Example has the following assumptions:

- a. Transferor's carrying amount and fair value of security loaned: \$1,000
- b. Cash collateral: \$1,020
- c. Transferor's return from investing cash collateral at a 5 percent annual rate: \$5
- d. Transferor's rebate to the securities borrower at a 4 percent annual rate: \$4.

860-30-55-2 For simplicity, the fair value of the security is assumed not to change during the 35-day term of the transaction.

860-30-55-3 The journal entries for the transferor and the transferee are as follows.

Journal Entries for the Transferor		
<i>At inception:</i>		
Cash	\$1,020	
Payable under securities loan agreements		\$1,020
To record the receipt of cash collateral		
Securities pledged to creditors	1,000	
Securities		1,000
To reclassify loaned securities that the secured party has the right to sell or repledge		
Money market instrument	1,020	
Cash		1,020
To record investment of cash collateral		
<i>At conclusion:</i>		
Cash	1,025	
Interest		5
Money market instrument		1,020
To record results of investment		
Securities	1,000	
Securities pledged to creditors		1,000
To record return of security		
Payable under securities loan agreements	1,020	
Interest (rebate)	4	
Cash		1,024
To record repayment of cash collateral plus interest		

Journal Entries for the Transferee

<i>At inception:</i>			
Receivable under securities loan agreements	\$1,020		
Cash		\$1,020	
To record transfer of cash collateral			
Cash	1,000		
Obligation to return borrowed securities		1,000	
To record sale of borrowed securities to a third party and the resulting obligation to return securities that it no longer holds			
<i>At conclusion:</i>			
Obligation to return borrowed securities	1,000		
Cash		1,000	
To record the repurchase of securities borrowed			
Cash	1,024		
Receivable under securities loan agreements		1,020	
Interest revenue (rebate)			4
To record the receipt of cash collateral and rebate interest			

> Example 2: Disclosures for Repurchase Agreements, Securities Lending Transactions, and Repurchase-to-Maturity Transactions Accounted for as Secured Borrowings

860-30-55-4 This Example illustrates one approach for satisfying the quantitative disclosure requirements in paragraph 860-30-50-7.

Repurchase Agreements, Securities Lending Transactions, and Repurchase-to-Maturity Transactions Accounted for as Secured Borrowings (Dollars in millions)						
20XX						
	Remaining Contractual Maturity of the Agreements				Total	
	Overnight and Continuous	Up to 30 days	30–90 days	Greater Than 90 days		
Repurchase agreements and repurchase-to-maturity transactions						
U.S. Treasury and agency securities	XXX	\$ XXX	XXX	\$ XXX	\$ XXX	
State and municipal securities	XXX	XXX	XXX	XXX	XXX	
Asset-backed securities	XXX	XXX	XXX	XXX	XXX	
Corporate securities	XXX	XXX	XXX	XXX	XXX	
Equity securities	XXX	XXX	XXX	XXX	XXX	
Non-U.S. sovereign debt	XXX	XXX	XXX	XXX	XXX	
Loans	XXX	XXX	XXX	XXX	XXX	
Other	XXX	XXX	XXX	XXX	XXX	
Total	XXX	XXX	XXX	XXX	XXX	
Securities lending transactions						
U.S. Treasury and agency securities	XXX	XXX	XXX	XXX	XXX	
State and municipal securities	XXX	XXX	XXX	XXX	XXX	
Corporate securities	XXX	XXX	XXX	XXX	XXX	
Equity securities	XXX	XXX	XXX	XXX	XXX	
Non-U.S. sovereign debt	XXX	XXX	XXX	XXX	XXX	
Loans	XXX	XXX	XXX	XXX	XXX	
Other	XXX	XXX	XXX	XXX	XXX	
Total	XXX	XXX	XXX	XXX	XXX	
Total borrowings	XXX	\$ XXX	XXX	\$ XXX	\$ XXX	
Gross amount of recognized liabilities for repurchase agreements and securities lending in note X					\$ XXX	
Amounts related to agreements not included in offsetting disclosure in note X					\$ XXX	

PENDING CONTENT



Transition Date: P June 30, 2027; N June 30, 2027 | Transition Guidance: [105-10-65-7](#)

This Example illustrates one approach for satisfying the quantitative disclosure requirements in paragraph [860-30-50-7\(a\) through \(b\)](#).

Repurchase Agreements, Securities Lending Transactions, and Repurchase-to-Maturity Transactions Accounted for as Secured Borrowings (Dollars in millions)						
20XX						
	Remaining Contractual Maturity of the Agreements				Total	
	Overnight and Continuous	Up to 30 days	30–90 days	Greater Than 90 days		
Repurchase agreements and repurchase-to-maturity transactions						
U.S. Treasury and agency securities	XXX	\$ XXX	XXX	\$ XXX	\$ XXX	
State and municipal securities	XXX	XXX	XXX	XXX	XXX	
Asset-backed securities	XXX	XXX	XXX	XXX	XXX	
Corporate securities	XXX	XXX	XXX	XXX	XXX	
Equity securities	XXX	XXX	XXX	XXX	XXX	
Non-U.S. sovereign debt	XXX	XXX	XXX	XXX	XXX	
Loans	XXX	XXX	XXX	XXX	XXX	
Other	XXX	XXX	XXX	XXX	XXX	
Total	XXX	XXX	XXX	XXX	XXX	
Securities lending transactions						
U.S. Treasury and agency securities	XXX	XXX	XXX	XXX	XXX	
State and municipal securities	XXX	XXX	XXX	XXX	XXX	
Corporate securities	XXX	XXX	XXX	XXX	XXX	
Equity securities	XXX	XXX	XXX	XXX	XXX	
Non-U.S. sovereign debt	XXX	XXX	XXX	XXX	XXX	
Loans	XXX	XXX	XXX	XXX	XXX	
Other	XXX	XXX	XXX	XXX	XXX	
Total	XXX	XXX	XXX	XXX	XXX	
Total borrowings	XXX	\$ XXX	XXX	\$ XXX	\$ XXX	
Gross amount of recognized liabilities for repurchase agreements and securities lending in note X					\$ XXX	
Amounts related to agreements not included in offsetting disclosure in note X					\$ XXX	

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Balance Sheet

860-30-60-1 For the conditions that must be met for an entity to be permitted to offset amounts recognized as payables under [repurchase agreements accounted for as collateralized borrowings](#) and amounts recognized as receivables under [reverse repurchase agreements accounted for as collateralized borrowings](#), see paragraphs [210-20-45-11 through 45-12](#).

S50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Assets Subject to Lien

860-30-S50-1 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08(b), for required disclosures for assets subject to lien.

860 Transfers and Servicing

40 Transfers to Qualifying Special Purpose Entities

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

860-40-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Affiliate	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Agent	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009

Beneficial Interests	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Commingling	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Condominium Structure	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Consolidated Affiliate	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Consolidated Affiliate of the Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Derivative Financial Instrument	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Embedded Call Option	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Financial Asset	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Guaranteed Mortgage Securitization	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Qualifying Special-Purpose Entity	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Securitization	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Transfer	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Transferee	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Transferor	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
Unilateral Ability	Removed from Subtopic	Accounting Standards Update No. 2009-16	12/23/2009
860-40-05-1 through 05-4	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-05-6	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-10-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-15-1 through 15-29	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-25-1 through 25-3	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-40-1 through 40-11	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-40-45-1 through 45-4	Superseded	Accounting Standards Update No. 2009-16	12/23/2009

860-40-55-1 through 55-29

Superseded

Accounting Standards
Update No. 2009-16

12/23/2009

05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 860-40-05-1** Paragraphs 860-40-05-1 through 05-4 superseded by Accounting Standards Update No. 2009-16.
- 860-40-05-5** Paragraph not used.
- 860-40-05-6** Paragraph superseded by Accounting Standards Update No. 2009-16.
- 860-40-05-7** Paragraph not used.

10 Objectives

- General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 860-40-10-1** Paragraph superseded by Accounting Standards Update No. 2009-16.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

860-40-15-1 Paragraphs 860-40-15-1 through 15-29 superseded by Accounting Standards Update No. 2009-16.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not

recognition.

General

860-40-25-1 Paragraphs 860-40-25-1 through 25-3 superseded by Accounting Standards Update No. 2009-16.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

860-40-40-1 Paragraphs 860-40-40-1 through 40-11 superseded by Accounting Standards Update No. 2009-16.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

860-40-45-1 Paragraphs 860-40-45-1 through 45-4 superseded by Accounting Standards Update No. 2009-16.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

860-40-55-1 Paragraphs 860-40-55-1 through 55-29 superseded by Accounting Standards Update No. 2009-16.

860 Transfers and Servicing

50 Servicing Assets and Liabilities

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

860-50-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Beneficial Interests	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Consolidated Affiliate	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Consolidated Affiliate of the Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Contractually Specified	Amended	Accounting Standards Update No. 2009-16	12/23/2009

Servicing Fees			
Financial Asset (2nd def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Financial Asset	Added	Accounting Standards Update No. 2009-16	12/23/2009
Guaranteed Mortgage Securitization			
	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
Transferee	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Transferor	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-05-3	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-05-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-15-3	Amended	Accounting Standards Update No. 2016-19	12/14/2016
860-50-25-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-25-2	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-25-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-25-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-25-9	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-25-10	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-5	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-6	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-8	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-30-9	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-35-8	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-35-15	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-35-16	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-40-6	Amended	Accounting Standards Update No. 2016-19	12/14/2016
860-50-50-1	Amended	Maintenance Update No. 2025-05 	06/20/2025
860-50-50-1 through 50-5	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-50-2 through 50-5	Amended	Accounting Standards Update No. 2025-11	12/08/2025
860-50-50-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
860-50-50-3	Amended	Maintenance Update 2020-18 	11/25/2020
860-50-50-4	Amended	Maintenance Update 2018-02 	02/02/2018
860-50-50-5	Amended	Maintenance Update 2014-20 	09/29/2014
860-50-50-6 through 50-9	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-1	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-2	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-3 through 55-7	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-9	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-10	Amended	Accounting Standards Update No. 2009-16	12/23/2009

860-50-55-11	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-12 through 55-19	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-20 through 55-22	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-23	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-24	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-26	Amended	Accounting Standards Update No. 2009-16	12/23/2009
860-50-55-27	Superseded	Accounting Standards Update No. 2009-16	12/23/2009

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 860-50-05-1** This Subtopic provides accounting guidance for [servicing assets](#) and [servicing liabilities](#).
- 860-50-05-2** Servicing is inherent in all [financial assets](#); it becomes a distinct asset or liability for accounting purposes only in the circumstances described in paragraph [860-50-25-1](#).
- 860-50-05-3** Servicing of mortgage loans, credit card receivables, or other financial assets commonly includes, but is not limited to, the following activities:
 - a. Collecting principal, interest, and escrow payments from borrowers
 - b. Paying taxes and insurance from escrowed funds
 - c. Monitoring delinquencies
 - d. Executing foreclosure if necessary
 - e. Temporarily investing funds pending distribution
 - f. Remitting fees to guarantors, trustees, and others providing services
 - g. Accounting for and remitting principal and interest payments to the holders of [beneficial interests](#) or [participating interests](#) in the financial assets.
- 860-50-05-4** A servicer of financial assets commonly receives the following [benefits of servicing](#):
 - a. Revenues from [contractually specified servicing fees](#)
 - b. A portion of the interest from the financial assets
 - c. Late charges
 - d. Other ancillary sources, including float.

A servicer is entitled to receive all of those benefits of servicing only if it performs the servicing and incurs the costs of servicing the financial assets.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

860-50-15-1 This Subtopic has its own discrete scope, which is separate and distinct from the pervasive scope for this Topic as outlined in Section [860-10-15](#).

> Entities

860-50-15-2 The guidance in this Subtopic applies to all entities.

> Transactions

860-50-15-3 The guidance in this Subtopic applies to transactions in which [servicing assets](#) are obtained and [servicing liabilities](#) are incurred, including transactions in which loans are transferred with servicing retained by the [transferor](#). The guidance in this Subtopic also applies to transactions in which servicing assets are transferred with loans retained by the transferor.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Adequate Compensation

The amount of benefits of servicing that would fairly compensate a substitute servicer should one be required, which includes the profit that would be demanded in the marketplace. It is the amount demanded by the marketplace to perform the specific type of servicing. Adequate compensation is determined by the marketplace; it does not vary according to the specific servicing costs of the servicer.

Beneficial Interests

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Benefits of Servicing

Revenues from contractually specified servicing fees, late charges, and other ancillary sources, including float.

Consolidated Affiliate

An entity whose assets and liabilities are included in the consolidated, combined, or other financial statements being presented.

Contractually Specified Servicing Fees

All amounts that, per contract, are due to the servicer in exchange for servicing the financial asset and would no longer be received by a servicer if the beneficial owners of the serviced assets (or their trustees or agents) were to exercise their actual or potential authority under the contract to shift the servicing to another servicer. Depending on the servicing contract, those fees may include some or all of the difference between the interest rate collectible on the financial asset being serviced and the rate to be paid to the beneficial owners of those financial assets.

Derecognize

Remove previously recognized assets or liabilities from the statement of financial position.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Interest-Only Strip

A contractual right to receive some or all of the interest due on a bond, mortgage loan, collateralized mortgage obligation, or other interest-bearing financial asset.

Participating Interest

Paragraph [860-10-40-6A](#) defines the term participating interest.

Protection Provisions

Provisions in some contracts to sell or transfer mortgage servicing rights that could affect the amount ultimately paid to the transferor. For example, the transferor may agree to adjust the sales price for loan prepayments, defaults, or foreclosures that occur within a specified period of time.

Recourse

The right of a transferee of receivables to receive payment from the transferor of those receivables for any of the following:

- a. Failure of debtors to pay when due
- b. The effects of prepayments
- c. Adjustments resulting from defects in the eligibility of the transferred receivables.

Revolving-Period Securitizations

Securitizations in which receivables are transferred at the inception and also periodically (daily or monthly) thereafter for a defined period (commonly three to eight years), referred to as the revolving period. During the revolving period, the special-purpose entity uses most of the cash collections to purchase additional receivables from the transferor on prearranged terms.

Seller

A transferor that relinquishes control over financial assets by transferring them to a transferee in exchange for consideration.

Servicing Assets

A contract to service financial assets under which the benefits of servicing are expected to more than adequately compensate the servicer for performing the servicing. A servicing contract is either:

- a. Undertaken in conjunction with selling or securitizing the financial assets being serviced
- b. Purchased or assumed separately.

Servicing Liabilities

A contract to service financial assets under which the estimated future revenues from contractually specified servicing fees, late charges, and other ancillary revenues (benefits of servicing) are not expected to adequately compensate the servicer for performing the servicing.

Transfer

The conveyance of a noncash financial asset by and to someone other than the issuer of that financial asset.

A transfer includes the following:

- a. Selling a receivable
- b. Putting a receivable into a securitization trust
- c. Posting a receivable as collateral.

A transfer excludes the following:

- a. The origination of a receivable
- b. Settlement of a receivable
- c. The restructuring of a receivable into a security in a troubled debt restructuring.

Transferee

An entity that receives a financial asset, an interest in a financial asset, or a group of financial assets from a transferor.

Transferor

An entity that transfers a financial asset, an interest in a financial asset, or a group of financial assets that it controls to another entity.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 860-50-25-1** An entity shall recognize a [servicing asset](#) or [servicing liability](#) each time it undertakes an obligation to service a [financial asset](#) by entering into a servicing contract in any of the following situations:
- a. A servicer's [transfer](#) of any of the following, if that transfer meets the requirements for sale accounting:
 1. An entire financial asset
 2. A group of entire financial assets
 3. A participating interest in an entire financial asset, in which circumstance the transferor shall recognize a servicing asset or a servicing liability only related to the participating interest sold.
 - b. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
 - c. An acquisition or assumption of a servicing obligation that does not relate to financial assets of the servicer or its [consolidated affiliates](#) included in the financial statements being presented.

Example 1 (see paragraph [860-50-55-20](#)) illustrates accounting for a sale of receivables with servicing obtained by the transferor.

- 860-50-25-2** A servicer that transfers or securitizes financial assets in a transaction that does not meet the requirements for sale accounting and is accounted for as a secured borrowing with the underlying financial assets remaining on the transferor's balance sheet shall not recognize a servicing asset or a servicing liability.

- 860-50-25-3** A servicer that recognizes a servicing asset or servicing liability shall account for the contract to service financial assets separately from those financial assets.
- 860-50-25-4** An entity that transfers its financial assets to an unconsolidated entity in a transfer that qualifies as a sale in which the transferor obtains the resulting securities and classifies them as debt securities held to maturity in accordance with Topic 320 may either separately recognize its servicing assets or servicing liabilities or report those servicing assets or servicing liabilities together with the asset being serviced.
- 860-50-25-5** The guidance in this Section is organized as follows:
- a. Distinguishing servicing from an [interest-only strip](#)
 - b. [Revolving-period securitizations](#)
 - c. Regaining control of previously transferred assets.

> Distinguishing Servicing from an Interest-Only Strip

- 860-50-25-6** A servicer shall account separately for rights to future interest income from the serviced assets that exceed [contractually specified servicing fees](#). Those rights are not servicing assets; they are financial assets, effectively interest-only strips to be accounted for in accordance with paragraph [860-20-35-2](#).
- 860-50-25-7** Whether a right to future interest income from serviced assets should be accounted for as an interest-only strip, a servicing asset, or a combination thereof, depends on whether a servicer would continue to receive that amount (that is, the value of the right to future interest income) if a substitute servicer began servicing the assets. Therefore, any portion of the right to future interest income from the serviced assets that would continue to be received even if the servicing were shifted to another servicer would be reported separately as a financial asset in accordance with paragraph [860-20-35-2](#). For guidance on why an interest-only strip precludes a portion of a financial asset from meeting the definition of a participating interest, see paragraph [860-10-55-17K](#).
- 860-50-25-8** The value of the right to receive future cash flows from ancillary sources such as late fees shall be included in the measurement of the servicing asset, not the interest-only strip, if retention of the right to receive the cash flows from those fees depends on servicing being performed satisfactorily, as is generally the case.

> Revolving-Period Securitizations

- 860-50-25-9** Recognition of servicing assets or servicing liabilities for revolving-period receivables shall be limited to the servicing for the receivables that exist and have been sold. As new receivables are sold, rights to service them may become assets or liabilities that are recognized. Therefore, additional transfers under revolving-period securitizations (for example, home equity loans or credit card receivables) may result in the recognition of additional servicing assets or servicing liabilities.

> Regaining Control of Financial Assets Sold

- 860-50-25-10** Paragraph [860-20-25-10\(b\)](#) explains that, after a paragraph [860-10-40-41](#) change, the transferor shall not change, the accounting for the servicing asset related to the previously sold financial assets and provides related guidance.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 860-50-30-1** An entity shall initially measure at fair value, a [servicing asset](#) or [servicing liability](#) that qualifies for separate recognition regardless of whether explicit consideration was exchanged.
- 860-50-30-2** Typically, the [benefits of servicing](#) are expected to be more than [adequate compensation](#) to a servicer for performing the servicing, and the contract results in a servicing asset. However, if the benefits of servicing are not expected to adequately compensate a servicer for performing the servicing, the contract results in a servicing liability. Paragraph [860-50-35-1A](#) states that a servicing asset may become a servicing liability, or vice versa, if circumstances change. The initial measure for servicing may be zero if the benefits of servicing are just adequate to compensate the servicer for its servicing responsibilities. A servicing contract that entitles the servicer to receive benefits of servicing just equal to adequate compensation, regardless of the servicer's own servicing costs, does not result in recognizing a servicing asset or a servicing liability. A purchaser would neither pay nor receive payment to obtain the right to service for a rate just equal to adequate compensation.
- 860-50-30-3** The determination of whether the servicer is adequately compensated for servicing specified assets is based on the amount demanded by the marketplace, not the contractual amount to be paid to a replacement servicer. However, that contractual provision would be relevant for determining the amount of [contractually specified servicing fees](#). Therefore, the amount that would be paid to a replacement servicer under the terms of the servicing contract can be more or less than adequate compensation.
- 860-50-30-4** Whether a servicing asset or servicing liability is recorded is a function of the marketplace, not the servicer's cost of servicing. For example, a loss shall not be recognized if a servicing fee that is equal to or greater than adequate compensation is to be received but the servicer's anticipated cost of servicing would exceed the fee.
- 860-50-30-5** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)
- 860-50-30-6** When valuing the right to receive future cash flows from ancillary sources such as late fees, an entity shall estimate the value of the right to benefit from the cash flows of potential future transactions, not the value of the expected cash flows to be derived from future transactions.
- 860-50-30-7** Entities shall consider the nature of the assets being serviced as a factor in determining the fair value of a servicing asset or servicing liability. The types of assets being serviced affect the amount required to adequately compensate the servicer. Several variables, including the nature of the underlying assets, shall be considered in determining whether a servicer is adequately compensated. For example, the amount of effort required to service a home equity loan likely would be different from the amount of effort required to service a credit card receivable or a small business administration loan.
- 860-50-30-8** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

860-50-30-9

Paragraph superseded by Accounting Standards Update No. 2009-16.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 860-50-35-1** An entity shall subsequently measure each class of [servicing assets](#) and [servicing liabilities](#) using either of the following methods:
- Amortization method. Amortize servicing assets or servicing liabilities in proportion to and over the period of estimated net servicing income (if servicing revenues exceed servicing costs) or net servicing loss (if servicing costs exceed servicing revenues), and assess servicing assets or servicing liabilities for impairment or increased obligation based on fair value at each reporting date.
 - Fair value measurement method. Measure servicing assets or servicing liabilities at fair value at each reporting date and report changes in fair value of servicing assets and servicing liabilities in earnings in the period in which the changes occur.
- 860-50-35-1A** A servicing asset may become a servicing liability, or vice versa, if circumstances change.
- 860-50-35-2** The election described in paragraphs [860-50-35-1 through 35-5](#) shall be made separately for each class of servicing assets and servicing liabilities.
- 860-50-35-3** The following guidance applies to the election of a method for subsequent measurement of servicing assets and servicing liabilities:
- Once an entity elects the fair value measurement method for a class of servicing assets and servicing liabilities, that election shall not be reversed.
 - Different elections can be made for different classes of servicing assets and servicing liabilities.
 - Once a servicing asset or a servicing liability is reported in a class of servicing assets and servicing liabilities that an entity elects to subsequently measure at fair value, that servicing asset or servicing liability shall not be placed in a class of servicing assets and servicing liabilities that is subsequently measured using the amortization method.
 - An entity may make an irrevocable decision to subsequently measure a class of servicing assets and servicing liabilities at fair value at the beginning of any fiscal year.
 - Transferring servicing assets and servicing liabilities from a class subsequently measured using the amortization method to a class subsequently measured at fair value is permitted as of the beginning of any fiscal year. If an entity makes such a [transfer](#), subsequent measurement of servicing assets and servicing liabilities at fair value shall be applied prospectively with a cumulative-effect adjustment to retained earnings as of the beginning of the fiscal year to reflect

the difference between the fair value and the carrying amount, net of any related valuation allowance, of the servicing assets and servicing liabilities that exist at the beginning of the fiscal year in which the entity makes the fair value election.

f. If an entity recognizes a new class of servicing assets and servicing liabilities, and no servicing assets and servicing liabilities that would belong to this class had previously been recognized by the entity, the entity may elect to subsequently measure that new class of servicing assets and servicing liabilities at fair value at the date of initial recognition of those servicing assets and servicing liabilities.

860-50-35-4 An entity shall apply the same subsequent measurement method to each servicing asset and servicing liability in a class.

860-50-35-5 Classes of servicing assets and servicing liabilities shall be identified based on any of the following:

- a. The availability of market inputs used in determining the fair value of servicing assets or servicing liabilities
- b. An entity's method for managing the risks of its servicing assets or servicing liabilities.

860-50-35-6 Under the approach in the preceding paragraph, a servicer may or may not consider the major asset type of the underlying [financial asset](#) being serviced when identifying its classes of separately recognized servicing assets and servicing liabilities. Further, this approach for defining classes of servicing assets and servicing liabilities is not analogous to the stratification guidance for determining impairment of servicing assets or servicing liabilities that are subsequently measured using the amortization method.

860-50-35-7 An entity shall first identify its classes of separately recognized servicing assets and servicing liabilities under the approach in paragraph [860-50-35-5](#). For any class subsequently measured using the amortization method, an entity shall then stratify that class to determine if impairment has occurred, as discussed in paragraph [860-50-35-9\(a\)](#).

860-50-35-8 The remainder of this Section discusses the following matters:

- a. Amortization method—measurement of impairment or increased obligation
- b. [Subparagraph superseded by Accounting Standards Update No. 2009-16](#).
- c. Obligation to service refinanced financial assets.

> Amortization Method—Measurement of Impairment or Increased Obligation

860-50-35-9 An entity shall evaluate and measure impairment of each class of separately recognized servicing assets that are subsequently measured using the amortization method described in paragraph [860-50-35-1\(a\)](#) as follows:

- a. Stratify servicing assets within a class based on one or more of the predominant risk characteristics of the underlying financial assets. Those characteristics may include financial asset type, size, interest rate, date of origination, term, and geographic location. For mortgage loans, financial asset type refers to the various conventional or government guaranteed or insured mortgage loans and adjustable-rate or fixed-rate mortgage loans.
- b. Recognize impairment through a valuation allowance for an individual stratum. The amount of impairment recognized separately shall be the amount by which the carrying amount of servicing assets for a stratum exceeds their fair value. The fair value of servicing assets that have not been recognized shall not be used in the evaluation of impairment.

c. Adjust the valuation allowance to reflect changes in the measurement of impairment after the initial measurement of impairment. Fair value in excess of the carrying amount of servicing assets for that stratum, however, shall not be recognized.

- 860-50-35-10** This Subtopic does not address when an entity should record a direct write-down of recognized servicing assets.
- 860-50-35-11** For servicing liabilities subsequently measured using the amortization method, if subsequent events have increased the fair value of the liability above the carrying amount, for example, because of significant changes in the amount or timing of actual or expected future cash flows relative to the cash flows previously projected, the servicer shall revise its earlier estimates and recognize the increased obligation as a loss in earnings. That is, if subsequent events increase the fair value of a stratum of servicing liabilities within a class that an entity has elected to subsequently measure using the amortization method, that increase shall be recognized in earnings as a loss. Similar to the accounting for changes in a valuation allowance for an impaired asset, increases in the servicing obligation may be recovered, but the obligation shall not be reduced below the amortized measurement of the initially recognized servicing liability.
- 860-50-35-12** The impairment provisions of paragraphs [860-50-35-9](#) and [860-50-35-11](#) for classes of servicing assets and servicing liabilities subsequently measured using the amortization method are based on the fair value of the contract rather than the gain or loss from subsequently carrying out the terms of the contract.
- 860-50-35-13** An entity is not required to use either the most predominant risk characteristic or more than one predominant risk characteristic to stratify the servicing assets for purposes of evaluating and measuring impairment. An entity must exercise judgment when determining how to stratify servicing assets (that is, when selecting the most appropriate characteristic[s] for stratification). An entity may use different stratification criteria for the purposes of impairment testing under this Subtopic and for the purposes of grouping similar assets to be designated as a hedged portfolio in a fair value hedge under Subtopic [815-20](#). If an entity chooses not to restratify servicing assets for impairment testing under this Subtopic consistent with any restratification done for compliance with hedging criteria under Subtopic [815-20](#), the entity shall record any adjustments resulting from a fair value hedge to the risk strata used for impairment testing under paragraph [860-50-35-9](#).
- 860-50-35-14** Once an entity has determined the predominant risk characteristics to be used in identifying the resulting strata within each class of servicing assets subsequently measured using the amortization method, that decision shall be applied consistently unless significant changes in economic facts and circumstances clearly indicate that the predominant risk characteristics and resulting strata should be changed. If a significant change in economic facts and circumstances occurs, that change shall be accounted for prospectively as a change in accounting estimate in accordance with paragraphs [250-10-45-17 through 45-19](#) and [250-10-50-4](#).
- 860-50-35-15** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)
- 860-50-35-16** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

> Obligation to Service Refinanced Mortgage Loans

- 860-50-35-17** When an entity that is servicing mortgage loans refinances a mortgage loan that is being serviced (resulting in prepayment of the old mortgage loan and origination of a new mortgage loan), the entity shall not consider the estimated future net servicing income (that is, servicing revenue in excess of servicing costs) from the new mortgage loan in determining how to amortize any capitalized cost related to acquiring the mortgage servicing asset for the old mortgage loan. The mortgage servicing

asset represents a contractual relationship between the servicer and the investor in the mortgage loan, not between the servicer and the borrower.

- 860-50-35-18** The cost of a mortgage servicing asset that is subsequently measured using the amortization method may require adjustment as a result of the refinancing transaction depending on the servicer's assumptions in recording the servicing asset. If the refinancing transaction represents prepayment activity anticipated by the servicer when the servicing asset was recorded, an adjustment would not be necessary. However, if actual prepayments differ from anticipated prepayments, an adjustment to the servicing asset would be required. If the servicing assets or liabilities are subsequently measured using the fair value measurement method, the entity shall recognize any adjustment as a result of the refinancing transaction directly in earnings.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 860-50-40-1** This Section is organized as follows:
- Overall
 - [Transfers](#) with a subservicing contract
 - Transfers involving participation in an income stream.

> Overall

- 860-50-40-2** The following criteria shall be considered when evaluating whether a transfer of servicing rights qualifies as a sale:
- Whether the [transferor](#) has received written approval from the investor if required.
 - Whether the [transferee](#) is a currently approved transferor-servicer and is not at risk of losing approved status.
 - If the transferor finances a portion of the sales price, whether an adequate nonrefundable down payment has been received (necessary to demonstrate the transferee's commitment to pay the remaining sales price) and whether the note receivable from the transferee provides full [recourse](#) to the transferee. Nonrecourse notes or notes with limited recourse (such as to the servicing) do not satisfy this criterion.
 - Temporary servicing performed by the transferor for a short period of time shall be compensated in accordance with a subservicing contract that provides [adequate compensation](#).

- 860-50-40-3** Also, the following additional criteria shall be considered when evaluating whether a transfer of servicing rights qualifies as a sale:

- a. Title has passed.
- b. Substantially all risks and rewards of ownership have irrevocably passed to the buyer.
- c. Any [protection provisions](#) retained by the [seller](#) are minor and can be reasonably estimated.

- 860-50-40-4** If a sale is recognized and minor protection provisions exist, a liability shall be accrued for the estimated obligation associated with those provisions. The seller retains only minor protection provisions if both of the following conditions are met:
- a. The obligation associated with those provisions is estimated to be no more than 10 percent of the sales price.
 - b. Risk of prepayment is retained for no longer than 120 days.

- 860-50-40-5** A temporary subservicing contract in which the subservicing will be performed by the transferor for a short period of time would not necessarily preclude recognizing a sale at the closing date.

- 860-50-40-6** The criteria in paragraphs [860-50-40-2 through 40-4](#) apply to transfers of servicing rights relating to loans previously sold and to transfers of servicing rights relating to loans that are retained by the transferor. The carrying amount of servicing rights sold relating to loans that have been retained shall be allocated at the date of sale between the servicing rights and the loans retained using relative fair values.

> Sales of Servicing Rights with a Subservicing Contract

- 860-50-40-7** A sale of mortgage servicing rights with a subservicing contract shall be treated as a sale with gain deferred if substantially all the risks and rewards inherent in owning the mortgage servicing rights have been effectively transferred to the transferee, as discussed in paragraph [860-50-40-3](#). Attributes of the transferee (for example, ability to perform servicing) would not be significant to the accounting for the transaction. The risks and rewards associated with a transferor performing purely administrative functions under a subservicing contract would not necessarily preclude sales treatment. A loss shall be recognized currently if the transferor determines that prepayments of the underlying mortgage loans may result in performing the future servicing at a loss.

- 860-50-40-8** Substantially all the risks and rewards inherent in owning the mortgage servicing rights have not been transferred to the transferee and, therefore, the transaction shall be accounted for as a financing if any of the following factors are present:
- a. The transferor-subservicer directly or indirectly guarantees a yield to the transferee. For example, the transferor-subservicer guarantees prepayment speeds or maximum loan default ratios to the buyer.
 - b. The transferor-subservicer is obligated to advance a portion or all of the servicing fees on a nonrecoverable basis to the transferee before receipt of the loan payment from the mortgagor.
 - c. The transferor-subservicer indemnifies the transferee for damages due to causes other than failure to perform its duties under the terms of the subservicing contract.
 - d. The transferor-subservicer absorbs losses on mortgage loan foreclosures not covered by the Federal Housing Administration, Department of Veterans Affairs, or other guarantors, if any, including absorption of foreclosure costs and costs of managing foreclosed property.
 - e. Title to the servicing rights is retained by the transferor-subservicer.

- 860-50-40-9** The presence of any of the following factors creates a rebuttable presumption that substantially all the risks and rewards inherent in owning the mortgage servicing rights have not been transferred to the transferee and that the transaction shall be accounted for as a financing:

- a. The transferor-subservicer directly or indirectly provides financing or guarantees the transferee's financing. Nonrecourse financing, for example, would indicate that risks have not been transferred to the transferee. Topic [450](#) requires a guarantor to recognize, at inception of the guarantee, a liability for the obligation undertaken in issuing the guarantee.
- b. The terms of the subservicing contract unduly limit the transferee's ability to exercise ownership control over the servicing rights or result in the seller's retaining some of the risks and rewards of ownership. For example, if the transferee cannot cancel or decline to renew the subservicing contract after a reasonable period of time, the transferee is precluded from exercising certain rights of ownership. Conversely, if the transferor cannot cancel the subservicing contract after a reasonable period of time, the transferor has not transferred substantially all of the risks of ownership.
- c. The transferee is a special-purpose entity without substantive capital at risk.

> Sales of Servicing Rights for Participation in an Income Stream

860-50-40-10 The following addresses a situation in which an entity sells the right to service mortgage loans that are owned by other parties. The related mortgage loans have been previously sold, with servicing retained, in a separate transaction. Because of the ability to invest the float that results from payments received from borrowers but not yet passed to the owners of the mortgages, the mortgage servicing rights can be sold for immediate cash or for a participation in the future interest stream of the loans.

860-50-40-11 If a transfer of mortgage servicing rights qualifies as a sale under the criteria beginning in paragraph [860-50-40-2](#) and the sale is for a participation in the future interest income stream, gain recognition is appropriate at the sale date. There are difficulties in measuring the amount of the gain if the sales price is based on a participation in future payments and there is no specified upper limit on the computed sales price. The transferor of mortgage servicing rights shall consider all available information, including the amount of gain that would be recognized if the servicing rights were to be sold outright for a fixed cash price.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

860-50-45-1 An entity shall report recognized [servicing assets](#) and [servicing liabilities](#) that are subsequently measured using the fair value measurement method in a manner that separates those carrying amounts on the face of the statement of financial position from the carrying amounts for separately

recognized servicing assets and servicing liabilities that are subsequently measured using the amortization method.

860-50-45-2

To accomplish that separate reporting, an entity may do either of the following:

- a. Display separate line items for the amounts that are subsequently measured using the fair value measurement method and amounts that are subsequently measured using the amortization method
- b. Present the aggregate of those amounts that are subsequently measured at fair value and those amounts that are subsequently measured using the amortization method (see paragraphs [860-50-35-9 through 35-11](#)) and disclose parenthetically the amount that is subsequently measured at fair value that is included in the aggregate amount.

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

> All Entities within the Scope of Subtopic

860-50-50-1

This Section is organized as follows:

- a. All [servicing assets](#) and [servicing liabilities](#)
- b. Servicing assets and servicing liabilities subsequently measured at fair value
- c. Servicing assets and servicing liabilities subsequently amortized
- d. Servicing assets and servicing liabilities for which subsequent measurement at fair value is elected as of the beginning of the fiscal year.

For overall guidance on Topic [860](#)'s disclosures, see Section [860-10-50](#).

· > All Servicing Assets and Servicing Liabilities

860-50-50-2

For all servicing assets and servicing liabilities, all of the following shall be disclosed:

- a. Management's basis for determining its classes of servicing assets and servicing liabilities.
- b. A description of the risks inherent in servicing assets and servicing liabilities and, if applicable, the instruments used to mitigate the income statement effect of changes in fair value of the servicing assets and servicing liabilities.
- c. The amount of [contractually specified servicing fees](#), late fees, and ancillary fees recognized for each period for which results of operations are presented, including a description of where each amount is reported in the statement of income.
- d. Quantitative and qualitative information about the assumptions used to estimate fair value (for example, discount rates, anticipated credit losses, and prepayment speeds).

Disclosure of quantitative information about the instruments used to manage the risks inherent in servicing assets and servicing liabilities, including the fair value of those instruments at the beginning and end of the period, is encouraged but not required. An entity that provides such quantitative information is also encouraged, but not required, to disclose quantitative and qualitative information about the assumptions used to estimate the fair value of those instruments. Section [235-10-50](#) provides guidance on disclosures of accounting policies.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For all servicing assets and servicing liabilities, all of the following shall be disclosed in interim and annual reporting periods:

- a. Management's basis for determining its classes of servicing assets and servicing liabilities.
- b. A description of the risks inherent in servicing assets and servicing liabilities and, if applicable, the instruments used to mitigate the income statement effect of changes in fair value of the servicing assets and servicing liabilities.
- c. The amount of [contractually specified servicing fees](#), late fees, and ancillary fees recognized for each period for which results of operations are presented, including a description of where each amount is reported in the statement of income.
- d. Quantitative and qualitative information about the assumptions used to estimate fair value (for example, discount rates, anticipated credit losses, and prepayment speeds).

Disclosure of quantitative information about the instruments used to manage the risks inherent in servicing assets and servicing liabilities, including the fair value of those instruments at the beginning and end of the period, is encouraged but not required. An entity that provides such quantitative information is also encouraged, but not required, to disclose quantitative and qualitative information about the assumptions used to estimate the fair value of those instruments. Section [235-10-50](#) provides guidance on disclosures of accounting policies.

· > Servicing Assets and Servicing Liabilities Subsequently Measured at Fair Value

860-50-50-3

For servicing assets and servicing liabilities subsequently measured at fair value, the following shall be disclosed:

- a. For each class of servicing assets and servicing liabilities, the activity in the balance of servicing assets and the activity in the balance of servicing liabilities (including a description of where changes in fair value are reported in the statement of income for each period for which results of operations are presented), including, but not limited to, the following:
 1. The beginning and ending balances
 2. Additions through any of the following:
 - i. Purchases of servicing assets
 - ii. Assumptions of servicing obligations
 - iii. Recognition of servicing obligations that result from [transfers of financial assets](#).
 3. Disposals
 4. Changes in fair value during the period resulting from either of the following:
 - i. Changes in valuation inputs or assumptions used in the valuation model
 - ii. Other changes in fair value and a description of those changes.

5. Other changes that affect the balance and a description of those changes.

b. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For servicing assets and servicing liabilities subsequently measured at fair value, the following shall be disclosed in interim and annual reporting periods:

a. For each class of servicing assets and servicing liabilities, the activity in the balance of servicing assets and the activity in the balance of servicing liabilities (including a description of where changes in fair value are reported in the statement of income for each period for which results of operations are presented), including, but not limited to, the following:

1. The beginning and ending balances
2. Additions through any of the following:
 - i. Purchases of servicing assets
 - ii. Assumptions of servicing obligations
 - iii. Recognition of servicing obligations that result from [transfers of financial assets](#).
3. Disposals
4. Changes in fair value during the period resulting from either of the following:
 - i. Changes in valuation inputs or assumptions used in the valuation model
 - ii. Other changes in fair value and a description of those changes.
5. Other changes that affect the balance and a description of those changes.

b. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

· > Servicing Assets and Servicing Liabilities Subsequently Amortized

860-50-50-4

For servicing assets and servicing liabilities measured subsequently under the amortization method in paragraph [860-50-35-1\(a\)](#), all of the following shall be disclosed:

a. For each class of servicing assets and servicing liabilities, the activity in the balance of servicing assets and the activity in the balance of servicing liabilities (including a description of where changes in the carrying amount are reported in the statement of income for each period for which results of operations are presented), including, but not limited to, the following:

1. The beginning and ending balances
2. Additions through any of the following:
 - i. Purchases of servicing assets
 - ii. Assumptions of servicing obligations
 - iii. Recognition of servicing obligations that result from transfers of financial assets.
3. Disposals
4. Amortization
5. Application of valuation allowance to adjust carrying value of servicing assets

6. Other-than-temporary impairments

7. Other changes that affect the balance and a description of those changes.

b. For each class of servicing assets and servicing liabilities, the fair value of recognized servicing assets and servicing liabilities at the beginning and end of the period.

c. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

d. The risk characteristics of the underlying financial assets used to stratify recognized servicing assets for purposes of measuring impairment in accordance with paragraph [860-50-35-9](#). If the predominant risk characteristics and resulting stratum are changed, that fact and the reasons for those changes shall be included in the disclosures about the risk characteristics of the underlying financial assets used to stratify the recognized servicing assets in accordance with this paragraph.

e. For each period for which results of operations are presented, the activity by class in any valuation allowance for impairment of recognized servicing assets, including all of the following:

1. Beginning and ending balances
2. Aggregate additions charged and recoveries credited to operations
3. Aggregate write-downs charged against the allowance.

 PENDING CONTENT


Transition Date: P December 16, 2027; N December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For servicing assets and servicing liabilities measured subsequently under the amortization method in paragraph [860-50-35-1\(a\)](#), all of the following shall be disclosed in interim and annual reporting periods:

a. For each class of servicing assets and servicing liabilities, the activity in the balance of servicing assets and the activity in the balance of servicing liabilities (including a description of where changes in the carrying amount are reported in the statement of income for each period for which results of operations are presented), including, but not limited to, the following:

1. The beginning and ending balances
2. Additions through any of the following:
 - i. Purchases of servicing assets
 - ii. Assumptions of servicing obligations
 - iii. Recognition of servicing obligations that result from transfers of financial assets.
3. Disposals
4. Amortization
5. Application of valuation allowance to adjust carrying value of servicing assets
6. Other-than-temporary impairments
7. Other changes that affect the balance and a description of those changes.

b. For each class of servicing assets and servicing liabilities, the fair value of recognized servicing assets and servicing liabilities at the beginning and end of the period.

c. [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)

d. The risk characteristics of the underlying financial assets used to stratify recognized servicing assets for purposes of measuring impairment in accordance with paragraph [860-50-35-9](#). If the predominant risk characteristics and resulting stratum are changed, that fact and the reasons for those changes shall be included in the disclosures about the risk characteristics of the underlying financial assets used to stratify the recognized servicing assets in accordance with this paragraph.

e. For each period for which results of operations are presented, the activity by class in any valuation allowance for impairment of recognized servicing assets, including all of the following:

1. Beginning and ending balances
2. Aggregate additions charged and recoveries credited to operations
3. Aggregate write-downs charged against the allowance.

· > Servicing Assets and Servicing Liabilities for Which Subsequent Measurement at Fair Value Is Elected as of the Beginning of the Fiscal Year

860-50-50-5 If an entity elects under paragraph [860-50-35-3\(d\)](#) to subsequently measure a class of servicing assets and servicing liabilities at fair value at the beginning of the fiscal year, the amount of the

cumulative-effect adjustment to retained earnings shall be separately disclosed.

 PENDING CONTENT 

Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

If an entity elects under paragraph [860-50-35-3\(d\)](#) to subsequently measure a class of servicing assets and servicing liabilities at fair value at the beginning of the fiscal year, the amount of the cumulative-effect adjustment to retained earnings shall be separately disclosed in the interim or annual reporting period in which the adjustment is recorded.

860-50-50-6

Paragraphs 860-50-50-6 through 50-9 superseded by Accounting Standards Update No. 2009-16.

55 Implementation Guidance and Illustrations

 **General Note:**The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

860-50-55-1

Paragraph superseded by Accounting Standards Update No. 2009-16.

860-50-55-2

Paragraph superseded by Accounting Standards Update No. 2009-16.

> Implementation Guidance

· > Recognition of Servicing Assets and Servicing Liabilities

- 860-50-55-3**
- The following guidance addresses the accounting for servicing assets and servicing liabilities in certain transactions, specifically:
- a. Recognition of servicing upon sale of a participating interest

b. Servicer not entitled to receive a contractually specified servicing fee

c. Servicing assets assumed without cash payment

d. Subservicing contracts.

· · > Recognition of Servicing upon Sale of a Participating Interest

860-50-55-4 If the entity that transfers a portion of a loan under a participation agreement that meets the definition of a participating interest and qualifies for sale accounting under Subtopic [860-10](#) obtains the right to receive [benefits of servicing](#) that more than adequately compensate it for servicing the loan, and the entity would continue to service the loan regardless of the [transfer](#) because it retains part of the participated loan, the entity shall record a servicing asset for the portion of the loan it sold. The assumption that the entity would service the loan because it retains part of the participated loan does not affect the requirement to recognize a servicing asset. Conversely, an entity could not avoid recording a servicing liability if the benefits of servicing are not expected to adequately compensate the servicer for performing the servicing. However, if the benefits of servicing are significantly above an amount that would fairly compensate a substitute service provider, should one be required, the transferred portion does not meet the definition of a participating interest, and, therefore, the transfer does not qualify for sale accounting (see paragraph [860-10-40-6A\(b\)](#)).

· · > Servicer Is Not Entitled to Receive a Contractually Specified Servicing Fee

860-50-55-5 The following guidance addresses whether an entity should recognize a servicing liability if it transfers all or some of a [financial asset](#) that meets the definition of a participating interest that is accounted for as a sale and undertakes an obligation to service the asset but is not entitled to receive a contractually specified servicing fee. In the circumstances described, the transferor-servicer would be required to recognize a servicing liability at fair value if the benefits of servicing are less than [adequate compensation](#). The requirements in paragraph [860-50-25-1](#) apply even if it is not customary to charge a contractually specified servicing fee. Example 1, Case C (paragraph [860-50-55-25](#)) illustrates a transaction in which a transferor agrees to service loans without explicit compensation.

· · > Servicing Assets Assumed without Cash Payment

860-50-55-6 The following guidance addresses transactions in which servicing assets are assumed without cash payment, and the appropriate offsetting entry by the [transferee](#).

860-50-55-7 The offsetting entry depends on whether an exchange or capital transaction has occurred. If an exchange has occurred, then the transaction should be recorded based on the facts and circumstances. For example, the servicing asset may represent consideration for goods or services provided by the transferee to the [transferor](#) of the servicing. In that case, the offsetting entry by the transferee would be the same as if cash was received in exchange for the goods and services (that is, revenue or a liability as appropriate).

860-50-55-8 The servicing assets also might be received in full or partial satisfaction of a receivable from the transferor of the servicing. In those cases, the offsetting entry by the transferee would be to [derecognize](#) all or part of the receivable satisfied in the exchange. Another possibility is that an investor is in substance making a capital contribution to the investee (the party receiving the servicing asset, that is, the transferee) in exchange for an increased ownership interest. In that case, the investee should recognize an increase in equity from a contribution by owner.

860-50-55-9 [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

· · > Subservicing Contracts

860-50-55-10 A transferor may transfer mortgage loans in their entirety to a third party in a transfer that is accounted for as a sale and undertake an obligation to service the loans. After the transfer, the transferor enters into a subservicing arrangement with a third party.

860-50-55-11 If the transferor's benefits of servicing exceed its obligation under the subservicing contract, that differential shall not be accounted for as an interest-only strip. Rather, the transferor should account for the two transactions separately. First, the transferor should account for the transfer of mortgage loans in accordance with Subtopic [860-20](#). The obligation to service the loans should be initially

recognized and measured at fair value according to paragraph [860-50-30-1](#) as proceeds obtained from the sale of the mortgage loans. Second, the transferor should account for the subcontract with the subservicer.

860-50-55-12 Paragraphs [860-50-55-12 through 55-19](#) superseded by Accounting Standards Update No. 2009-16.

> Illustrations

· > Example 1: Sale of Receivables with Servicing Obtained by the Transferor

860-50-55-20 The following Cases illustrate the guidance in paragraph [860-50-25-1](#):

- Transferor continues to service the loans (Case A).
- [Subparagraph superseded by Accounting Standards Update No. 2009-16.](#)
- Future benefits of servicing do not provide adequate compensation (Case C).

860-50-55-21 Entity A originates \$1,000 of loans that yield 10 percent interest income for their estimated lives of 9 years. Entity A transfers the entire loans to an unconsolidated entity and the transfer is accounted for as a sale.

· · > Case A: Transferor Continues to Service the Loans

860-50-55-22 Entity A receives as proceeds \$1,000 cash, a beneficial interest to receive 1 percent of the contractual interest on the loans (an interest-only strip receivable), and an additional 1 percent of the contractual interest as compensation for servicing the loans. The fair values of the servicing asset and the interest-only strip receivable are \$40 and \$60, respectively. This Case illustrates Entity A's (the transferor's) accounting for a sale with the servicing obtained by Entity A (the transferor), as follows.

Fair Values

Cash proceeds	\$1,000
Servicing asset	40
Interest-only strip receivable	60

Net Proceeds

Cash proceeds	\$1,000
Servicing asset	40
Interest-only strip receivable	60
Net proceeds	<u>\$1,100</u>

Gain on Sale

Net proceeds	\$ 1,100
Less: Carrying amount of loans sold	(1,000)
Gain on sale	<u>\$ 100</u>

Journal Entries

Cash	\$ 1,000	
Interest-only strip receivable	60	
Servicing asset	40	
Loans		\$ 1,000
Gain on sale		100
To record transfer and to recognize interest-only strip receivable and servicing asset		

860-50-55-23 Paragraph superseded by Accounting Standards Update No. 2009-16.

860-50-55-24 Paragraph superseded by Accounting Standards Update No. 2009-16.

· · > Case C: Future Benefits of Servicing Do Not Provide Adequate Compensation

- 860-50-55-25** Transferees sometimes agree to take on servicing responsibilities when the future benefits of servicing are not expected to adequately compensate them for performing that servicing. In that circumstance, the result is a servicing liability rather than a servicing asset.
- 860-50-55-26** For example, if in the transaction illustrated in paragraphs [860-20-55-43 through 55-45](#), the transferor (Entity A) had agreed to service the loans without explicit compensation and it estimated the fair value of that servicing obligation at \$50, net proceeds would be reduced to \$980, gain on sale would become a loss on sale of \$20, and the transferor would report a servicing liability of \$50.
- 860-50-55-27** [Paragraph superseded by Accounting Standards Update No. 2009-16.](#)

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Derivatives and Hedging

- 860-50-60-1** For guidance on whether an entity may designate as the hedged item in a fair value hedge a portion of a recognized servicing right asset subsequently measured using the amortization method, see paragraph [815-20-55-65](#).

> Financial Services—Mortgage Banking

- 860-50-60-2** For guidance on the capitalization of interest costs on certain Government National Mortgage Association (GNMA) securities, and the determination of net future servicing income for this purpose, see paragraph [948-340-30-1](#).